

Economics Visual Memory Book

300 exam-critical terms & picture-first memory hooks & every trap pair separated

300 terms

~100 moderate

~120 tough

~80 advanced

50 MCQs

20 match sets

20 assertion-reason

BASIC CONCEPTS

1 Scarcity MODERATE

Simple meaning: We have unlimited wants but only limited resources.

Technical definition: Scarcity is the fundamental economic problem that resources (land, labour, capital) are limited while human wants are unlimited, forcing choice.

TNPSC key point: Scarcity is the ROOT of all economic problems; without scarcity, economics as a subject would not exist.

Visual memory: A giant queue of 10,000 hungry people stretching to the horizon, all holding empty plates, while one tiny table holds just ONE idli. Everyone is shouting "I want it!" but the idli can feed only one.

Image idea: The word SCARCITY in large bold text above a single tiny idli on a huge empty table, surrounded by a massive crowd of cartoon people with empty plates reaching toward it, clean white background.

Hook: SCARCITY = ONE IDLI, THOUSAND PLATES & LIMITED RESOURCES, UNLIMITED WANTS.

Example: During summer, Chennai faces water scarcity & limited Cauvery/lake water but every household wants more, so water must be rationed by tankers.

2 Opportunity Cost MODERATE

Simple meaning: What you give up when you choose one thing over another.

Technical definition: Opportunity cost is the value of the next best alternative foregone when a choice is made.

TNPSC key point: It is the NEXT BEST alternative sacrificed not all alternatives, only the second-best one given up.

Visual memory: A student proudly buying a Rs.5000 book while behind him a Rs.5000 movie ticket sits on the floor crying loudly with giant cartoon tears, holding a sign "You gave me up!"

Image idea: The words OPPORTUNITY COST in large bold text, a happy student hugging a big book while a sad crying movie ticket with cartoon eyes is abandoned behind him, clean background.

Hook: OPPORTUNITY COST = THE CRYING TICKET THE NEXT BEST THING YOU GAVE UP.

Example: If Tamil Nadu government spends Rs.1000 crore on a new flyover, the opportunity cost may be the new hospitals that money could have built.

3 Production Possibility Curve (PPC) MODERATE

Simple meaning: A curve showing the maximum combinations of two goods an economy can produce with its resources.

Technical definition: The PPC shows all possible combinations of two goods that can be produced with full and efficient use of given resources and technology; it is concave to the origin due to increasing opportunity cost.

TNPSC key point: Points ON the curve = efficient; INSIDE = underutilisation of resources; OUTSIDE = unattainable with current resources.

Visual memory: A giant curved seesaw slide with a farmer at the top: on one end mountains of rice, on the other end mountains of tractors. As he slides toward more tractors, rice bags dramatically fly away. You can only get more of one by losing the other.

Image idea: The letters PPC in large bold text over a big curved slide; a cartoon farmer sliding along it with rice sacks on one end and tractors on the other, one rice sack flying off, clean background.

Hook: PPC = THE TRADE-OFF SLIDE. MORE OF ONE GOOD MEANS LESS OF THE OTHER.

Example: If India shifts more land and labour from foodgrains to industrial goods, the PPC shows how much foodgrain output must be sacrificed.

Factors of Production

MODERATE

Simple meaning: The four ingredients needed to produce anything: land, labour, capital and entrepreneur.

Technical definition: The inputs used in production
Land (natural resources, earns rent), Labour (human effort, earns wages), Capital (man-made assets, earns interest) and Entrepreneur/Organisation (risk-taker, earns profit).

TNPSC key point: Match factor to reward: Land-Rent, Labour-Wages, Capital-Interest, Entrepreneur-Profit a classic MCQ pairing question.

Visual memory: A dosa shop as a four-member superhero team: Mother Earth holding the plot (Land), a muscular cook flipping dosas (Labour), a giant shining tawa and grinder (Capital), and a boss in sunglasses taking the risk and pocketing profit (Entrepreneur).

Image idea: The words FACTORS OF PRODUCTION in large bold text above four cartoon superheroes standing in a row: an earth-woman with land, a strong cook, a walking machine, and a boss with a money bag on a clean background.

Hook: FACTORS OF PRODUCTION = THE 4-HERO TEAM
LAND, LABOUR, CAPITAL, ENTREPRENEUR.

Example: A Coimbatore textile mill needs land for the factory, labour of workers, capital like looms and machines, and an entrepreneur who bears the risk.

5 Positive Economics TOUGH

Simple meaning: Economics that describes facts as they ARE, which can be tested true or false.

Technical definition: Positive economics deals with objective, verifiable statements about "what is" in the economy, without value judgements.

TNPSC key point: A positive statement can be TESTED with data (e.g., "India's inflation rose last year") **no opinion words** like "should" or "ought".

Visual memory: A robot scientist in a lab coat coldly reading numbers from a giant thermometer stuck into the economy: "Inflation IS 6 degrees. Fact. Beep." No feelings, no advice **just the reading.**

Image idea: The words POSITIVE ECONOMICS in large bold text with a cartoon robot scientist holding a giant thermometer and a clipboard of pure numbers, emotionless face, clean background.

Hook: POSITIVE = ROBOT WITH FACTS **WHAT IS, TESTABLE, NO OPINION.**

DO NOT CONFUSE: vs Normative Economics

Positive states testable facts ("what is"); Normative gives value judgements ("what should be").

Example: "Tamil Nadu's literacy rate is higher than the national average" is a positive statement **it can be checked against census data.**

6 Normative Economics TOUGH

Simple meaning: Economics that says what SHOULD be done based on opinions and value judgements.

Technical definition: Normative economics involves subjective statements about "what ought to be", based on values and ethics, which cannot be proved true or false by data.

TNPSC key point: Spot the words "should", "ought to", "must", "fair" as these signal a normative statement in MCQs.

Visual memory: A grandmother in a debate stage banging the table and shouting "The government SHOULD reduce petrol price! Rich people OUGHT to pay more tax!" pure opinion, zero lab instruments.

Image idea: The words NORMATIVE ECONOMICS in large bold text with a passionate cartoon grandmother at a podium, finger raised, a giant speech bubble saying only "SHOULD!", clean background.

Hook: NORMATIVE = THE "SHOULD!" SPEECH. OPINIONS ON WHAT OUGHT TO BE.

DO NOT CONFUSE: vs Positive Economics

Normative is opinion-based "what should be"; Positive is fact-based "what is".

Example: "The government should give free electricity to all farmers" is a normative statement as it is a value judgement, not a testable fact.

7 Ceteris Paribus MODERATE

Simple meaning: A Latin phrase meaning "all other things remaining constant".

Technical definition: An assumption used in economic analysis where the effect of one variable is studied while all other influencing factors are held unchanged.

TNPSC key point: The Law of Demand and Law of Supply are both stated under the ceteris paribus assumption. Only price changes, everything else is frozen.

Visual memory: A scientist presses a giant PAUSE button and the whole world freezes. People, traffic, weather, all statues while only ONE price tag keeps moving up and down for him to study.

Image idea: The words CETERIS PARIBUS in large bold text over a frozen grey city of statue-people, with one glowing price tag still moving, a scientist watching it with a magnifying glass, clean background.

Hook: CETERIS PARIBUS = WORLD ON PAUSE. OTHER THINGS CONSTANT, ONE THING STUDIED.

Example: "If onion prices rise, demand for onions falls" assumes ceteris paribus. Incomes, tastes and other vegetable prices in the Koyambedu market stay unchanged.

8 Barter System MODERATE

Simple meaning: Exchanging goods directly for goods, without money.

Technical definition: A moneyless system of exchange where goods and services are traded directly; it requires "double coincidence of wants" each party must want what the other offers.

TNPSC key point: The biggest defect of barter is the DOUBLE COINCIDENCE OF WANTS; money was invented mainly to remove this problem.

Visual memory: A man dragging a huge cow through a market shouting "Who will give me a haircut for this cow?!" the barber wants rice, not a cow, so the man walks for days, exhausted, cow mooing angrily.

Image idea: The words BARTER SYSTEM in large bold text with a tired cartoon man pulling a giant annoyed cow toward a confused barber holding scissors, no money anywhere in the frame, clean background.

Hook: BARTER = COW FOR A HAIRCUT the barber wants rice, not a cow, so the man walks for days, exhausted, cow mooing angrily. GOODS FOR GOODS, NO MONEY.

Example: In old Tamil villages, farmers exchanged paddy directly for pots or cloth with artisans a barter practice before money became common.

Simple meaning: The idea that self-interest in free markets automatically guides the economy to good outcomes.

Technical definition: Adam Smith's concept (in "The Wealth of Nations", 1776) that individuals pursuing their own self-interest in free markets unintentionally promote the welfare of society, as if guided by an invisible hand.

TNPSC key point: The term belongs to ADAM SMITH, the "Father of Economics", from his 1776 book "The Wealth of Nations".

Visual memory: A busy bazaar where every shopkeeper thinks only of his own profit yet a giant glowing ghost hand floats above, secretly arranging all the shops, prices and buyers into perfect order like a puppet master nobody can see.

Image idea: The words INVISIBLE HAND in large bold text with a giant translucent glowing hand hovering over a tiny cartoon market, gently arranging stalls like chess pieces, clean background.

Hook: INVISIBLE HAND = GHOST HAND OVER THE MARKET
SELF-INTEREST QUIETLY ORDERS THE ECONOMY.

Example: No officer orders vegetables into Chennai daily thousands of self-interested farmers and traders supply the city on their own, as if guided by an invisible hand.

Simple meaning: An economy where both government and private businesses operate together.

Technical definition: An economic system in which the public sector and private sector coexist, combining features of capitalism (market) and socialism (state control).

TNPSC key point: India adopted a MIXED ECONOMY model after independence (formalised through the Industrial Policy Resolutions of 1948 and 1956).

Visual memory: A giant mixer-grinder jar with two flavours being blended: red "GOVERNMENT" syrup and blue "PRIVATE" syrup swirling into one purple milkshake labelled INDIA – neither flavour alone, both together.

Image idea: The words MIXED ECONOMY in large bold text on a huge mixer-grinder blending a government building and a private factory into one swirling purple shake, clean background.

Hook: MIXED ECONOMY = GOVERNMENT + PRIVATE IN ONE MIXER
BOTH SECTORS TOGETHER.

Example: In India, government-run Indian Railways and private companies like TVS and Infosys operate side by side – the classic mixed economy.

Simple meaning: The desire to buy a good, backed by money and willingness to pay.

Technical definition: Demand is the quantity of a good a consumer is willing AND able to buy at a given price during a given period. Desire without purchasing power is not demand.

TNPSC key point: Demand = Desire + Ability to pay + Willingness to pay; a beggar's wish for a car is desire, NOT demand.

Visual memory: Two people outside a phone shop: one drools at the phone with empty pockets turned inside-out (mere desire, rejected by a buzzer), the other waves a fat wallet and shouts "I WANT it and I can PAY!" A green DEMAND stamp slams on him.

Image idea: The word DEMAND in large bold text over a cartoon buyer holding cash in one hand and pointing at a product with the other, a big green tick above him, clean background.

Hook: DEMAND = DESIRE + WALLET I WANT IT AND CAN PAY FOR IT.

Example: During Pongal, demand for new clothes and sugarcane in Tamil Nadu shoots up people both want them and are ready to spend.

Simple meaning: When price rises, people buy less; when price falls, people buy more.

Technical definition: Ceteris paribus, there is an inverse relationship between the price of a good and its quantity demanded. The demand curve slopes downward.

TNPSC key point: The relationship is INVERSE and holds only ceteris paribus; exceptions include Giffen goods and Veblen goods.

Visual memory: A price tag and a shopping cart on the two ends of a seesaw: when the price tag rockets UP, the cart crashes DOWN empty; when the price tag drops, the cart flies up overflowing with goods.

Image idea: The words LAW OF DEMAND in large bold text over a giant seesaw with a rising price tag on one side and a falling overloaded shopping cart on the other, big arrows showing opposite directions, clean background.

Hook: LAW OF DEMAND = SEESAW. PRICE UP, QUANTITY DOWN.

DO NOT CONFUSE: vs Giffen Good exception

for a Giffen good, demand RISES when price rises, breaking the law of demand.

Example: When tomato prices cross Rs.100/kg in Chennai markets, households sharply cut tomato purchases; when prices crash, they buy in kilos.

Simple meaning: The quantity of a good sellers are willing to sell at a given price.

Technical definition: Supply is the quantity of a good producers are willing and able to offer for sale at a given price in a given period; by the law of supply, higher price means higher quantity supplied (direct relationship).

TNPSC key point: Supply and price move in the SAME direction
the supply curve slopes UPWARD (opposite of demand).

Visual memory: A farmer sees the mango price board flip to Rs.200/kg and instantly backs up three overflowing lorries of mangoes into the market, grinning ear to ear: "Higher price? Take EVERYTHING I have!"

Image idea: The word SUPPLY in large bold text with a delighted cartoon farmer pushing a mountain of mango crates toward a big rising price board with an up-arrow, clean background.

Hook: SUPPLY = FARMER CHASING HIGH PRICE
PRICE UP, SELLERS OFFER MORE.

Example: When sugarcane prices announced are attractive, Tamil Nadu farmers plant and supply more cane to the mills the next season.

Market Equilibrium

MODERATE

Simple meaning: The point where the quantity buyers want equals the quantity sellers offer.

Technical definition: Market equilibrium occurs at the price where quantity demanded equals quantity supplied; at this price there is neither shortage nor surplus.

TNPSC key point: Equilibrium price is set where the demand curve INTERSECTS the supply curve; above it lies surplus, below it lies shortage.

Visual memory: A tug-of-war between a team of buyers and a team of sellers pulling a giant price tag suddenly both teams freeze in perfect balance, the rope dead still, referee shouting "EQUILIBRIUM! Nobody moves!"

Image idea: The words MARKET EQUILIBRIUM in large bold text over a perfectly balanced tug-of-war, buyers on one side, sellers on the other, the price tag hanging motionless at the exact centre, clean background.

Hook: EQUILIBRIUM = FROZEN TUG-OF-WAR DEMAND EQUALS SUPPLY, PRICE SETTLES.

Example: In an uzhar sandhai (farmers market), if brinjal is priced too high it goes unsold, too low it vanishes instantly the day's steady price is the equilibrium.

Simple meaning: The extra satisfaction from consuming ONE more unit of a good.

Technical definition: Marginal utility is the addition made to total utility by consuming one additional unit of a commodity ($MU = \frac{\text{change in TU}}{\text{change in quantity}}$).

TNPSC key point: When marginal utility is ZERO, total utility is MAXIMUM. A favourite MCQ fact.

Visual memory: A boy eating laddus with a satisfaction meter above his head: laddu 1 sends the needle soaring, laddu 2 a bit less, laddu 5 barely a wiggle. Each NEW laddu adds its own little jolt to the meter.

Image idea: The words MARGINAL UTILITY in large bold text with a cartoon boy holding one extra glowing laddu, a big meter above his head showing the small extra jump from just that one laddu, clean background.

Hook: MARGINAL UTILITY = ONE MORE LADDU'S JOLT
EXTRA SATISFACTION FROM THE NEXT UNIT.

DO NOT CONFUSE: vs Total Utility
Marginal utility is the extra satisfaction from ONE more unit; total utility is the SUM of satisfaction from all units consumed.

Example: Your first cup of filter coffee in the morning gives huge satisfaction; the fourth cup adds very little. That shrinking extra is marginal utility.

Law of Diminishing Marginal Utility

MODERATE

Simple meaning: Each extra unit you consume gives less satisfaction than the one before.

Technical definition: As a consumer consumes successive units of a commodity continuously, the marginal utility from each additional unit goes on falling, other things remaining equal (associated with H.H. Gossen; Marshall popularised it).

TNPSC key point: The law explains why the demand curve slopes downward; it assumes continuous consumption of identical units.

Visual memory: A man at a buffet: dosa 1 fireworks and joyful tears; dosa 3 a polite smile; dosa 6 green face, waving a white flag begging "NO MORE!" His joy staircase goes down step by step with every dosa.

Image idea: The words DIMINISHING MARGINAL UTILITY in large bold text over one cartoon man shown three times in a row eating dosas ecstatic, then bored, then sick with a descending staircase of hearts above, clean background.

Hook: DIMINISHING MU = DOSA 1 JOY, DOSA 6 MISERY
EACH EXTRA UNIT SATISFIES LESS.

Example: At a Tamil wedding feast, the first serving of payasam is heavenly; by the third forced serving, satisfaction has almost vanished.

Simple meaning: A curve showing different combinations of two goods that give the consumer EQUAL satisfaction.

Technical definition: An indifference curve joins all combinations of two goods yielding the same level of satisfaction; it slopes downward, is convex to the origin, and two indifference curves never intersect.

TNPSC key point: Its convex shape is due to the diminishing Marginal Rate of Substitution (MRS); a higher curve means higher satisfaction.

Visual memory: A shrugging customer at a snack counter facing trays: 2 samosas + 8 biscuits, 4 samosas + 4 biscuits, 8 samosas + 2 biscuits. He shrugs at all of them with the same flat face: "Same happiness. I truly do not care which."

Image idea: The words INDIFFERENCE CURVE in large bold text with a cartoon man shrugging with a totally flat expression between several snack trays connected by one smooth curved line, clean background.

Hook: INDIFFERENCE CURVE = THE GIANT SHRUG
ALL COMBINATIONS, SAME SATISFACTION.

Example: A Chennai commuter equally happy with "more metro rides + fewer auto rides" or "fewer metro rides + more auto rides" is on one indifference curve.

Consumer Surplus

TOUGH

Simple meaning: The bonus you enjoy when you pay LESS than what you were willing to pay.

Technical definition: Consumer surplus is the difference between the maximum price a consumer is willing to pay and the actual price paid (concept developed by Alfred Marshall).

TNPSC key point: Consumer Surplus = Willingness to pay MINUS Price actually paid; on a diagram it is the area below the demand curve and above the price line.

Visual memory: A woman ready to pay Rs.500 for a saree finds it priced Rs.300. She dances out of the shop while shiny Rs.200 worth of golden "FREE JOY" coins rain down on her head from the sky.

Image idea: The words CONSUMER SURPLUS in large bold text with a dancing cartoon shopper holding a bag while golden bonus coins shower on her, a price tag showing a big happy gap, clean background.

Hook: CONSUMER SURPLUS = THE JOY RAIN. WILLING PRICE MINUS PAID PRICE.

DO NOT CONFUSE: vs Producer Surplus. Consumer surplus is the BUYER's gain (paid less than willing); producer surplus is the SELLER's gain (received more than the minimum acceptable).

Example: If you were ready to pay Rs.50 for a bus ride but Tamil Nadu's free bus travel scheme for women makes it Rs.0, the whole Rs.50 becomes consumer surplus.

Producer Surplus

TOUGH

Simple meaning: The bonus a seller enjoys when the market price is HIGHER than the minimum he would accept.

Technical definition: Producer surplus is the difference between the actual price received by a producer and the minimum price at which he was willing to sell.

TNPSC key point: Producer Surplus = Price received MINUS Minimum acceptable price; it is the area above the supply curve and below the price line.

Visual memory: A farmer whispers "I would happily sell this pumpkin for Rs.30..." the market bell rings Rs.70! He bites his fist to hide a giant grin as a secret Rs.40 bonus note slides into his shirt pocket.

Image idea: The words PRODUCER SURPLUS in large bold text with a secretly delighted cartoon farmer holding a pumpkin, a bonus currency note sticking out of his pocket, price board glowing above, clean background.

Hook: PRODUCER SURPLUS = FARMER'S SECRET GRIN

GOT MORE THAN THE MINIMUM HE'D ACCEPT.

DO NOT CONFUSE: vs Consumer Surplus

Producer surplus is the SELLER's extra gain; consumer surplus is the BUYER's extra gain.

Example: A Thanjavur paddy farmer willing to sell at Rs.1800 per quintal who receives a higher procurement price earns the difference as producer surplus.

Simple meaning: As a family gets richer, the SHARE of income spent on food falls.

Technical definition: Ernst Engel's law states that as household income rises, the proportion (percentage) of income spent on food declines, even if actual food spending rises.

TNPSC key point: It is the PERCENTAGE share of food in the budget that falls, not necessarily the absolute amount. The classic trick in MCQs.

Visual memory: A poor man's wallet is one giant chapati almost all of it is food. He becomes rich: his wallet balloons enormous, but the chapati inside stays small, now a tiny corner, squeezed by a car, a phone and movie tickets.

Image idea: The words ENGEL'S LAW in large bold text over two wallets. A small wallet almost fully stuffed with food, and a huge rich wallet where food is only a tiny slice among gadgets and tickets, clean background.

Hook: ENGEL'S LAW = SHRINKING FOOD SLICE. RICHES, SMALLER FOOD SHARE.

Example: A daily-wage family in rural Tamil Nadu may spend over half its income on food, while an IT couple in Chennai spends a small fraction though the couple's food bill in rupees is larger.

Price Elasticity of Demand**TOUGH**

Simple meaning: How strongly the quantity demanded reacts when PRICE changes.

Technical definition: Price elasticity of demand = percentage change in quantity demanded / percentage change in price. If the value (ignoring sign) is greater than 1 demand is elastic; less than 1 it is inelastic; equal to 1 it is unitary.

TNPSC key point: Necessities (salt, medicines) have INELASTIC demand; luxuries have ELASTIC demand a standard MCQ classification.

Visual memory: Two rubber bands hanging from price tags: pull the "PERFUME" band slightly and it stretches wildly across the room (elastic); pull the "SALT" band with all your might and it barely moves a millimetre (inelastic).

Image idea: The words PRICE ELASTICITY in large bold text with a cartoon man stretching a giant rubber band tied to a price tag

one band super-stretchy, one stiff as iron, clean background.

Hook: PRICE ELASTICITY = RUBBER BAND TEST HOW MUCH DEMAND STRETCHES WHEN PRICE PULLS.

DO NOT CONFUSE: vs Income Elasticity Price elasticity measures response to a PRICE change; income elasticity measures response to an INCOME change.

Example: When petrol prices rise, demand falls only slightly (inelastic); when movie ticket prices rise, many people simply skip the cinema (elastic).

Income Elasticity of Demand

TOUGH

Simple meaning: How strongly demand changes when the consumer's INCOME changes.

Technical definition: Income elasticity = percentage change in quantity demanded / percentage change in income. Positive for normal goods, negative for inferior goods, and greater than 1 for luxuries.

TNPSC key point: The SIGN identifies the good: positive = normal good, negative = inferior good, above +1 = luxury. Memorise this mapping.

Visual memory: A man's salary balloon inflates and lifts him into the sky as he rises, he throws away his old kanji pot (inferior good falls) and grabs floating pizzas and iPhones (luxuries soar with him).

Image idea: The words INCOME ELASTICITY in large bold text with a cartoon man lifted by a giant salary balloon, dropping an old pot downward while shiny luxury goods float up with him, clean background.

Hook: INCOME ELASTICITY = SALARY BALLOON RIDE
INCOME MOVES, DEMAND MOVES WITH IT.

DO NOT CONFUSE: vs Price Elasticity
Income elasticity tracks INCOME changes; price elasticity tracks PRICE changes.

Example: As Indian household incomes rise, demand for cars and air travel grows fast (high income elasticity), while demand for coarse grains falls.

Cross Elasticity of Demand

TOUGH

Simple meaning: How demand for one good changes when the price of ANOTHER good changes.

Technical definition: Cross elasticity = percentage change in quantity demanded of good X / percentage change in price of good Y. Positive for substitutes, negative for complements, zero for unrelated goods.

TNPSC key point: Remember the sign rule: SUBSTITUTES positive cross elasticity; COMPLEMENTS negative; UNRELATED zero.

Visual memory: Tea's price board shoots up and across the street the COFFEE shop suddenly explodes with a stampede of customers! Tea's price pressed a remote-control button on coffee's demand.

Image idea: The words CROSS ELASTICITY in large bold text with a rising tea price board firing a glowing zig-zag arrow across the frame into a coffee shop bursting with a happy crowd, clean background.

Hook: CROSS ELASTICITY = TEA'S PRICE, COFFEE'S CROWD
ONE GOOD'S PRICE MOVES ANOTHER'S DEMAND.

Example: If train ticket prices rise sharply, demand for private buses on the Chennai-Madurai route increases positive cross elasticity between substitutes.

Price Elasticity of Supply TOUGH

Simple meaning: How strongly the quantity supplied reacts when price changes.

Technical definition: Price elasticity of supply = percentage change in quantity supplied / percentage change in price. Supply is more elastic in the long run and for easily-produced goods; perishables and fixed-supply goods are inelastic.

TNPSC key point: Agricultural goods have INELASTIC supply (crops take a season to grow); factory goods have more ELASTIC supply; land is perfectly inelastic.

Visual memory: Price of biscuits doubles a factory instantly roars to triple speed, biscuits flying out like bullets. Price of coconuts doubles the coconut tree just stands there yawning: "See you in five years, boss."

Image idea: The words SUPPLY ELASTICITY in large bold text split-frame: a hyperactive factory spraying out products versus a lazy yawning coconut tree ignoring a rising price board, clean background.

Hook: SUPPLY ELASTICITY = FACTORY SPRINTS, TREE YAWNS
HOW FAST OUTPUT ANSWERS PRICE.

Example: Even if onion prices triple today, Tamil Nadu farmers cannot supply more until the next harvest farm supply is inelastic in the short run.

Simple meaning: A cheap basic food whose demand RISES when its price rises – breaking the law of demand.

Technical definition: A Giffen good is a highly inferior staple where the negative income effect of a price rise outweighs the substitution effect, so quantity demanded increases as price increases (named after Sir Robert Giffen; classic example: bread/potatoes of the poor).

TNPSC key point: Giffen goods are the classic EXCEPTION to the law of demand; every Giffen good is inferior, but not every inferior good is Giffen.

Visual memory: Bread price rises in a poor man's town so he CANCELS his tiny weekly chicken treat and buys MORE bread to fill his stomach! The bread loaf wears a villain crown laughing: "Raise my price, they buy me MORE!"

Image idea: The words GIFFEN GOOD in large bold text with a giant bread loaf wearing a villain crown on a rising price arrow, while a poor cartoon man stuffs more loaves into his basket, clean background.

Hook: GIFFEN GOOD = VILLAIN BREAD – PRICE UP, POOR BUY EVEN MORE.

DO NOT CONFUSE: vs Veblen Good – Giffen is a POOR man's staple bought more when dearer (survival); Veblen is a RICH man's luxury bought more when dearer (status show-off).

Example: If the price of cheap rice rises, a very poor family may drop vegetables and buy MORE rice to stay full – Giffen-type behaviour.

Simple meaning: A luxury good people buy MORE of just because it is expensive to show off.

Technical definition: A Veblen good exhibits conspicuous consumption: demand rises as price rises because the high price itself signals prestige and status (named after Thorstein Veblen).

TNPSC key point: Veblen goods violate the law of demand due to SNOB/PRESTIGE value the high price IS the attraction.

Visual memory: A rich man in a jewellery shop pushes away a Rs.1 lakh watch in disgust: "Too cheap! Insulting!" The shopkeeper flips the tag to Rs.10 lakh the man's eyes turn to stars and he buys TWO, wearing one on each wrist for the crowd.

Image idea: The words VEBLEN GOOD in large bold text with a cartoon rich man in sunglasses proudly flashing a diamond watch whose giant price tag glows like a trophy, admiring crowd silhouettes behind, clean background.

Hook: VEBLEN GOOD = PRICE TAG AS TROPHY the COSTLIER IT IS, MORE THEY WANT IT.

DO NOT CONFUSE: vs Giffen Good Veblen is a luxury bought more when dearer for STATUS; Giffen is a poor man's staple bought more when dearer for SURVIVAL.

Example: Designer wedding sarees and luxury cars in India often sell better at higher prices the price itself announces the family's status.

Simple meaning: A good people buy LESS of when their income rises.

Technical definition: An inferior good has negative income elasticity of demand as consumer income increases, its quantity demanded falls because buyers shift to better substitutes.

TNPSC key point: Inferior good = NEGATIVE income elasticity; "inferior" refers to the demand pattern, not to bad quality.

Visual memory: A man gets a promotion letter and in the same second dramatically flings his bicycle off a cliff, shouting "Goodbye old friend!" as he leaps into a shiny new car. Richer man, dumped good.

Image idea: The words INFERIOR GOOD in large bold text with a cartoon man in a new suit tossing an old bicycle over his shoulder while stepping into a gleaming car, salary slip in hand, clean background.

Hook: INFERIOR GOOD = DUMPED ON PAYDAY
INCOME UP, DEMAND DOWN.

DO NOT CONFUSE: vs Giffen Good every Giffen good is inferior, but a Giffen good additionally sees demand RISE when its own PRICE rises; a normal inferior good only reacts to income.

Example: As household incomes rise in Tamil Nadu, families shift from coarse grains and bus travel toward fine rice and two-wheelers the older items act as inferior goods.

Simple meaning: A good people buy MORE of when their income rises.

Technical definition: A normal good has positive income elasticity of demand. Quantity demanded increases as consumer income increases, other things equal.

TNPSC key point: Normal good = POSITIVE income elasticity (between 0 and 1 for necessities, above 1 for luxuries).

Visual memory: A woman's purse grows bigger every month like a levelling-up video game and with each level, her shopping basket grows with it: more fruits, better clothes, a mixer, then a fridge. Purse and basket rising together like best friends.

Image idea: The words NORMAL GOOD in large bold text with a cartoon woman whose money purse and shopping basket both grow in three rising steps side by side, upward arrows above both, clean background.

Hook: NORMAL GOOD = PURSE AND BASKET GROW TOGETHER
INCOME UP, DEMAND UP.

DO NOT CONFUSE: vs Inferior Good. Normal goods have POSITIVE income elasticity (buy more when richer); inferior goods have NEGATIVE (buy less when richer).

Example: As incomes grow, Indian families buy more milk, eggs and branded clothes. Classic normal goods.

Simple meaning: Goods that can replace each other if one gets costly, people switch to the other.

Technical definition: Substitutes are goods that satisfy the same want; a rise in the price of one increases the demand for the other (positive cross elasticity).

TNPSC key point: Substitutes have POSITIVE cross elasticity of demand price of X up, demand for Y up.

Visual memory: Tea and Coffee as jealous rival twins on a stage: the moment Tea raises its price card, the audience stampedes over to Coffee's side, and Coffee blows a mocking kiss at furious Tea.

Image idea: The words SUBSTITUTE GOODS in large bold text with two rival cartoon cups of tea and coffee glaring at each other while a crowd of tiny people runs from the costlier cup to the cheaper one, clean background.

Hook: SUBSTITUTES = RIVAL TWINS. ONE GETS COSTLY, CROWD RUNS TO THE OTHER.

DO NOT CONFUSE: vs Complementary Goods
substitutes REPLACE each other (positive cross elasticity);
complements are USED TOGETHER (negative cross elasticity).

Example: Tea and coffee, or train and bus travel between Chennai and Coimbatore. When one becomes expensive, demand shifts to the other.

Complementary Goods

MODERATE

Simple meaning: Goods used TOGETHER buying one makes you need the other.

Technical definition: Complements are goods consumed jointly; a rise in the price of one reduces the demand for the other (negative cross elasticity).

TNPSC key point: Complements have NEGATIVE cross elasticity petrol price up, car demand down.

Visual memory: A car and a petrol can handcuffed together as inseparable best friends. When petrol's price tag suddenly triples, BOTH friends faint together on the showroom floor hurt one, and the other collapses too.

Image idea: The words COMPLEMENTARY GOODS in large bold text with a cartoon car and a petrol can handcuffed together holding hands, one hit by a rising price arrow and both falling over together, clean background.

Hook: COMPLEMENTS = HANDCUFFED FRIENDS USED TOGETHER, FALL TOGETHER.

DO NOT CONFUSE: vs Substitute Goods complements are partners used together; substitutes are rivals that replace each other.

Example: Idli and sambar, or smartphones and mobile data packs a costly data pack reduces the appeal of buying a new smartphone.

Perfect Competition

MODERATE

Simple meaning: A market with very many sellers selling the SAME product, so no single seller can set the price.

Technical definition: A market structure with a large number of buyers and sellers, homogeneous products, free entry and exit, and perfect knowledge; each firm is a PRICE TAKER facing a horizontal demand curve.

TNPSC key point: In perfect competition the firm is a PRICE TAKER, and in the long run firms earn only NORMAL profit.

Visual memory: A market street with 500 identical stalls selling identical tomatoes at the exact same price. One seller tries charging Rs.1 extra instantly his shop is a ghost town with tumbleweed rolling past, customers gone to the other 499.

Image idea: The words PERFECT COMPETITION in large bold text over an endless row of identical cartoon tomato stalls with identical price boards, one empty stall with a lonely crying seller who raised his price, clean background.

Hook: PERFECT COMPETITION = 500 CLONE STALLS

EVERYONE A PRICE TAKER.

Example: Vegetable sellers in a large uzhar sandhai come close to perfect competition many sellers, near-identical produce, one going rate.

Simple meaning: A market with only ONE seller and no close substitute for the product.

Technical definition: A market structure with a single seller controlling the entire supply of a good with no close substitutes and strong barriers to entry; the monopolist is a PRICE MAKER.

TNPSC key point: Monopoly = ONE SELLER, price maker, entry blocked; "mono" means single.

Visual memory: A king on a throne made of the only water tap in the desert, wearing a crown labelled "ONLY SELLER", lazily flipping the price board to any number he likes while a thirsty queue can do nothing but pay.

Image idea: The word MONOPOLY in large bold text with a smug cartoon king seated on a giant single shop-throne holding a price board he writes himself, a long helpless queue below, clean background.

Hook: MONOPOLY = ONE-SELLER KING HE ALONE MAKES THE PRICE.

DO NOT CONFUSE: vs Monopsony monopoly is ONE SELLER facing many buyers; monopsony is ONE BUYER facing many sellers.

Example: Indian Railways is effectively a monopoly in train transport one seller for the whole country's rail travel.

Oligopoly

TOUGH

Simple meaning: A market ruled by a FEW big sellers who constantly watch each other.

Technical definition: A market structure with a small number of large firms whose decisions are interdependent. Each firm's price and output strategy depends on rivals' expected reactions; often analysed with the kinked demand curve.

TNPSC key point: The defining feature of oligopoly is INTERDEPENDENCE among a few large firms.

Visual memory: Four giant company bosses sitting around one table, each holding binoculars pointed at the others, all frozen mid-move like a poker game. If one dares cut his price, the other three instantly slam their own price levers in response.

Image idea: The word OLIGOPOLY in large bold text with four huge cartoon bosses at a round table spying on each other with binoculars, price levers at each seat, clean background.

Hook: OLIGOPOLY = FEW GIANTS WITH BINOCULARS
EVERY MOVE WATCHES THE RIVALS.

DO NOT CONFUSE: vs Monopolistic Competition
oligopoly has FEW large interdependent firms; monopolistic competition has MANY small firms with differentiated products.

Example: India's telecom market
Jio, Airtel and Vi is an oligopoly; one operator's tariff cut forces the others to respond.

Monopolistic Competition**TOUGH**

Simple meaning: Many sellers selling SIMILAR but slightly different (branded) products.

Technical definition: A market structure (developed by Edward Chamberlin) with many sellers, differentiated products, free entry and exit, and heavy use of advertising; each firm has limited price-making power over its own brand.

TNPSC key point: The key feature is PRODUCT DIFFERENTIATION. Same basic product, different brands, packaging and advertising.

Visual memory: A soap aisle where 50 nearly identical soaps stand on a beauty-contest stage, each wearing a different fancy costume and sash. "Extra Glow!", "Herbal!", "Sandal!" all screaming through megaphones that they are unique, though inside they are all just... soap.

Image idea: The words MONOPOLISTIC COMPETITION in large bold text over a beauty pageant of near-identical cartoon soap bars in different glamorous costumes and sashes, each with a megaphone, clean background.

Hook: MONOPOLISTIC COMPETITION = SOAP BEAUTY CONTEST. MANY SELLERS, SLIGHTLY DIFFERENT BRANDS.

DO NOT CONFUSE: vs Oligopoly. Monopolistic competition = MANY firms with brand differences; oligopoly = FEW big firms watching each other.

Example: India's soap, toothpaste and biryani-restaurant markets. Dozens of brands selling close substitutes with heavy advertising.

Monopsony

ADVANCED

Simple meaning: A market with only ONE BUYER and many sellers.

Technical definition: A market structure where a single buyer faces many sellers, giving the buyer power to push down the price it pays (e.g., a lone large employer setting low wages in a town).

TNPSC key point: Monopoly = one SELLER; Monopsony = one BUYER
the mirror image, and a favourite exam trick.

Visual memory: One giant customer with a crown labelled "ONLY BUYER" stands before a hundred desperate farmers, all begging him to buy their sugarcane. He yawns, holds up a tiny price card, and they must accept it because there is nobody else to sell to.

Image idea: The word MONOPSONY in large bold text with one enormous cartoon buyer holding a small price card while a huge crowd of tiny sellers offers him goods from all sides, clean background.

Hook: MONOPSONY = ONE-BUYER KING vs MANY SELLERS, HE SETS THE BUYING PRICE.

DO NOT CONFUSE: vs Monopoly
monopsony has power on the BUYING side (one buyer); monopoly has power on the SELLING side (one seller).

Example: When a single sugar mill is the only buyer of sugarcane from all farmers in its zone, the mill acts as a monopsonist.

Simple meaning: A secret club of rival firms that agree to fix prices or output instead of competing.

Technical definition: A cartel is a formal collusive agreement among independent producers to fix prices, limit output or divide markets, so they jointly behave like a monopoly. Cartelisation is illegal in India under the Competition Act, 2002.

TNPSC key point: OPEC is the classic international cartel; in India the Competition Commission of India (CCI) acts against cartels.

Visual memory: Rival businessmen in a dark room at midnight, shaking hands under a single lamp and whispering "Nobody sells below Rs.100... agreed?"

while outside their shops pretend to be fierce enemies with fake angry posters.

Image idea: The word CARTEL in large bold text with cartoon businessmen in a shadowy huddle secretly shaking hands over one shared price tag, masks of rivalry hanging on the wall behind them, clean background.

Hook: CARTEL = MIDNIGHT HANDSHAKE
RIVALS SECRETLY FIX ONE PRICE.

Example: OPEC nations jointly deciding oil output is a cartel; in India, CCI has fined cement companies for cartel-like price fixing.

Price Discrimination**TOUGH**

Simple meaning: Charging DIFFERENT prices to different buyers for the SAME product.

Technical definition: Price discrimination is a monopolist's practice of selling the same good at different prices to different consumers or markets, based on their willingness or ability to pay, where resale between them is not possible.

TNPSC key point: It is possible only when the seller has MONOPOLY power and the markets can be SEPARATED (no resale between them).

Visual memory: A doctor with three billing counters for the same treatment: "Rich patient ₹1000", "Middle class ₹500", "Poor ₹100" same stethoscope, same medicine, three different bills printed with a wink.

Image idea: The words PRICE DISCRIMINATION in large bold text with one cartoon seller holding three different price tags toward three different customers for the identical product on the counter, clean background.

Hook: PRICE DISCRIMINATION = SAME PRODUCT, THREE TAGS
DIFFERENT BUYERS, DIFFERENT PRICES.

Example: Electricity boards in India charge lower tariffs for domestic users and farmers but higher tariffs for industries the same electricity at different prices.

Simple meaning: The bigger the production, the cheaper each unit becomes.

Technical definition: Economies of scale are the reductions in long-run average cost per unit that arise as a firm expands its scale of output (through bulk buying, specialisation, better machinery, spread of fixed costs).

TNPSC key point: Economies of scale = falling AVERAGE COST as output expands; beyond a point, DISECONOMIES of scale set in and average cost rises.

Visual memory: A tiny kitchen makes 10 laddus at Rs.10 each; a giant laddu MEGA-FACTORY with conveyor belts makes 10 lakh laddus and the per-laddu cost tag shrinks dramatically as the factory grows HUGE while the cost tag becomes tiny as an ant.

Image idea: The words ECONOMIES OF SCALE in large bold text with a giant cartoon factory pouring out a river of laddus, holding a magnifying glass over a comically tiny per-unit price tag, clean background.

Hook: ECONOMIES OF SCALE = GIANT FACTORY, ANT-SIZED COST TAG
PRODUCE MORE, EACH UNIT COSTS LESS.

Example: Large two-wheeler plants in Tamil Nadu (like those around Chennai's auto belt) produce lakhs of vehicles, cutting the cost per vehicle far below what a small workshop could achieve.

Law of Variable Proportions

ADVANCED

Simple meaning: Keep adding workers to a fixed farm
extra output first rises, then falls.

Technical definition: In the short run, as more units of a variable factor are added to a fixed factor, total product passes through three stages: increasing returns, diminishing returns and finally negative returns to the variable factor.

TNPSC key point: It is a SHORT-RUN law (one factor fixed); rational production happens in Stage II the stage of DIMINISHING returns.

Visual memory: One small field, workers added one by one: 3 workers harvest doubles, cheering! 8 workers only a little extra grain. 15 workers they are standing on each other's shoulders, trampling the crop, and output actually FALLS as they fight for space.

Image idea: The words LAW OF VARIABLE PROPORTIONS in large bold text over one small field shown with an overflowing crowd of cartoon farmers squeezed in, trampling plants, a rise-then-fall arrow above them, clean background.

Hook: VARIABLE PROPORTIONS = TOO MANY FARMERS, ONE FIELD
EXTRA OUTPUT RISES, THEN SHRINKS, THEN FALLS.

Example: On a fixed one-acre paddy plot in the Cauvery delta, the first few labourers add a lot of output, but the fifteenth labourer adds almost nothing.

Simple meaning: The extra cost of producing ONE more unit.

Technical definition: Marginal cost is the addition to total cost from producing one additional unit of output ($MC = \text{change in TC} / \text{change in Q}$); the MC curve is U-shaped and cuts the average cost curve at its minimum point.

TNPSC key point: Profit is maximised where Marginal Cost = Marginal Revenue ($MC = MR$) the golden rule of the firm.

Visual memory: A baker finishing his 100th cake when order 101 arrives a bill for ONLY that one extra cake pops out of the oven with a "DING!": Rs.45 for cake number 101 alone, printed on its own tiny receipt.

Image idea: The words MARGINAL COST in large bold text with a cartoon baker holding ONE extra glowing cake while a tiny receipt for just that single cake pops out of the oven, clean background.

Hook: MARGINAL COST = THE ONE-EXTRA-CAKE BILL
COST OF THE NEXT UNIT ONLY.

Example: For a Chennai idli shop, the marginal cost of one more idli is just the extra batter and gas far below the average cost that includes rent and wages.

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Market Failure**TOUGH**

Simple meaning: When the free market on its own gives a bad or unfair result for society.

Technical definition: Market failure occurs when the free market fails to allocate resources efficiently due to externalities, public goods, monopoly power or information problems justifying government intervention.

TNPSC key point: The four classic causes: EXTERNALITIES, PUBLIC GOODS, MONOPOLY and ASYMMETRIC/IMPERFECT INFORMATION.

Visual memory: The market as a proud self-driving car that suddenly veers off the road and lands in a smoky ditch pollution everywhere, no streetlights built, one giant shop crushing all others while a government traffic officer runs in with a tow rope.

Image idea: The words MARKET FAILURE in large bold text with a cartoon "market" car crashed nose-first in a ditch, smoke rising, a government officer arriving with a repair kit, clean background.

Hook: MARKET FAILURE = SELF-DRIVING MARKET IN THE DITCH
FREE MARKET MISALLOCATES, STATE STEPS IN.

Example: Factories polluting rivers like the Noyyal in Tamil Nadu is a market failure the market alone would never pay for the cleanup, so courts and government must intervene.

Externality**TOUGH**

Simple meaning: A side effect of one person's activity on OTHERS who are not part of the deal.

Technical definition: An externality is a cost (negative) or benefit (positive) imposed on third parties not involved in a transaction and not reflected in market prices e.g., pollution (negative), vaccination (positive).

TNPSC key point: Negative externality overproduction, corrected by taxes (Pigouvian tax); positive externality underproduction, corrected by subsidies.

Visual memory: A man happily smoking a giant cigar in a bus though his smoke cloud drifts and turns every other passenger's face green, though THEY never bought the cigar. Meanwhile next seat, a man getting vaccinated accidentally shields everyone around him with a golden glow they never paid for.

Image idea: The word EXTERNALITY in large bold text with a cartoon smoker whose huge grey cloud engulfs innocent bystanders coughing beside him, the smoke shaped like a hand tapping their shoulders, clean background.

Hook: EXTERNALITY = SMOKE ON STRANGERS YOUR DEAL, THEIR SIDE EFFECT.

Example: Firecracker smoke during Deepavali affects neighbours who never bought crackers (negative externality); one child's polio drops protect the whole street (positive externality).

Simple meaning: A good everyone can use together and nobody can be stopped from using like street lights.

Technical definition: A public good is NON-RIVALROUS (one person's use does not reduce another's) and NON-EXCLUDABLE (non-payers cannot be kept out) e.g., defence, street lighting; markets underprovide them, so the state supplies them.

TNPSC key point: The two-word test: NON-RIVAL + NON-EXCLUDABLE = public good; national defence is the textbook example.

Visual memory: A street light shining on a whole street at midnight a rich man, a beggar, a dog and a thief all stand under the same glow. The light shrugs: "I cannot choose! I shine on ALL, paid or not, and my light never runs out."

Image idea: The words PUBLIC GOOD in large bold text with one giant friendly cartoon street light beaming over a diverse crowd everyone lit equally, no ticket counter anywhere, clean background.

Hook: PUBLIC GOOD = STREET LIGHT FOR ALL NON-RIVAL, NON-EXCLUDABLE.

DO NOT CONFUSE: vs Merit Good a public good CANNOT exclude non-payers (street light); a merit good CAN be sold privately but the state promotes it because it is good for people (education).

Example: National defence by the Indian Army protects every citizen equally no one can be excluded and one person's protection does not reduce another's.

Simple meaning: A good so beneficial that the government pushes people to consume more of it like education.

Technical definition: A merit good is one whose consumption benefits both the individual and society more than people realise, so it would be under-consumed if left to the market; the state subsidises or provides it free (education, vaccination, school meals).

TNPSC key point: Merit goods are UNDER-CONSUMED if left to the market, so the government subsidises them the opposite of demerit goods.

Visual memory: A giant motherly government hand gently pushing a reluctant child through a school gate while dropping free books, free meals and a free bus pass into his bag: "You may not realise it, kanna, but this is GOOD for you take more!"

Image idea: The words MERIT GOOD in large bold text with a giant kind cartoon hand showering free books and meals onto a surprised schoolchild at a school gate, gold stars around, clean background.

Hook: MERIT GOOD = "TAKE MORE, IT'S GOOD FOR YOU"

STATE PUSHES UNDER-CONSUMED GOOD THINGS.

DO NOT CONFUSE: vs Public Good a merit good (education) CAN be priced and sold privately; a public good (defence) cannot exclude anyone at all.

Example: Tamil Nadu's free noon-meal scheme in schools and free bus travel for women are merit goods the state promotes consumption because society gains.

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Demerit Good**TOUGH**

Simple meaning: A good that harms people more than they realise, so the government discourages it like tobacco.

Technical definition: A demerit good is over-consumed because consumers underestimate its harm to themselves and society; the state discourages it through high taxes, warnings, regulation or bans (tobacco, alcohol, gutka).

TNPSC key point: Demerit goods are OVER-CONSUMED if left to the market, so governments impose "sin taxes" (e.g., highest GST slab plus cess on tobacco).

Visual memory: A candy-sweet-looking bottle winking seductively at a customer but behind it stands a stern government inspector slapping on warning stickers, a giant tax weight and a red danger cage around the shelf: "You want it, but I must make it hard for you!"

Image idea: The words DEMERIT GOOD in large bold text with a tempting cartoon bottle-and-cigarette pair locked behind a red warning cage covered in tax stamps and skull stickers, clean background.

Hook: DEMERIT GOOD = TEMPTING BUT CAGED OVER-CONSUMED HARM, STATE TAXES IT DOWN.

Example: Tobacco and alcohol in India carry heavy taxes and statutory warnings; liquor sale in Tamil Nadu is tightly state-controlled through TASMAL to regulate its consumption.

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Free Rider Problem

TOUGH

Simple meaning: People enjoying a benefit WITHOUT paying for it, because they cannot be stopped.

Technical definition: The free rider problem arises with public goods: since non-payers cannot be excluded, individuals avoid paying and rely on others, so private markets underprovide the good.

TNPSC key point: Free riding is WHY markets fail to supply public goods and WHY the government must fund them through compulsory taxes.

Visual memory: Ten neighbours plan a common street light; nine quietly slip away whispering "the others will pay..." Finally ONE man pays, and that night all ten stand happily under HIS light, the nine free riders grinning in hammocks.

Image idea: The words FREE RIDER in large bold text with one exhausted cartoon man feeding coins into a street light while nine relaxed neighbours lounge in hammocks enjoying the same glow, clean background.

Hook: FREE RIDER = ENJOY THE LIGHT, SKIP THE BILL

NON-PAYERS RIDE ON OTHERS' PAYMENT.

Example: Residents who never pay for a colony's common security guard still enjoy the safety he provides classic free riding, which is why such services end up tax-funded.

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Moral Hazard

ADVANCED

Simple meaning: People behave more carelessly AFTER they are protected from the consequences.

Technical definition: Moral hazard is the change in behaviour that occurs AFTER a contract or protection is in place. The protected party takes more risk because someone else bears the cost (e.g., insured drivers driving rashly; banks lending recklessly expecting bailouts).

TNPSC key point: Moral hazard happens AFTER the deal (hidden ACTION); adverse selection happens BEFORE the deal (hidden TYPE). The timeline is the exam key.

Visual memory: A man signs a car insurance paper, and the INSTANT the ink dries he transforms sunglasses on, drives blindfolded through traffic doing donuts, shouting "Who cares! Insurance will pay!" while the insurance agent faints behind him.

Image idea: The words MORAL HAZARD in large bold text with a cartoon driver recklessly steering with his feet, waving a giant signed insurance paper like a shield, sparks flying, clean background.

Hook: MORAL HAZARD = RECKLESS AFTER INSURED
PROTECTION FIRST, CARELESSNESS AFTER.

DO NOT CONFUSE: vs Adverse Selection. Moral hazard is bad BEHAVIOUR after the contract; adverse selection is bad SELECTION of customers before the contract.

Example: If banks believe the government will always rescue them, they may give risky loans freely. A moral hazard often discussed in India's NPA debates.

Simple meaning: The WRONG kind of customers get selected because the seller cannot see hidden facts BEFORE the deal.

Technical definition: Adverse selection occurs before a transaction under asymmetric information: the party with hidden information (e.g., a sick person buying health insurance, a bad-car seller) is the most eager to transact, so the market attracts the worst risks (Akerlof's "market for lemons").

TNPSC key point: Adverse selection is a BEFORE-contract, hidden-INFORMATION problem linked to George Akerlof's "lemons" used-car market.

Visual memory: An insurance counter with a queue every person hides something behind their back: crutches, an X-ray, a cough syrup bottle. The healthiest man walked away long ago saying "too costly for me!" The clerk happily signs them all, not seeing what is hidden.

Image idea: The words ADVERSE SELECTION in large bold text with a queue of cartoon customers each hiding crutches and medicines behind their backs at an insurance counter, the clueless clerk smiling, clean background.

Hook: ADVERSE SELECTION = HIDDEN CRUTCHES IN THE QUEUE THE RISKIEST ONES SIGN UP FIRST.

DO NOT CONFUSE: vs Moral Hazard adverse selection is the wrong people chosen BEFORE the contract; moral hazard is good people behaving badly AFTER the contract.

Example: In a used-car bazaar, sellers of defective cars ("lemons") are the keenest to sell at any price, so buyers fear every car good cars quietly exit the market.

Asymmetric Information

ADVANCED

Simple meaning: One side of a deal knows much MORE than the other side.

Technical definition: Asymmetric information exists when one party to a transaction has more or better information than the other, distorting decisions and causing market failure. Its two offspring are adverse selection and moral hazard (studied by Akerlof, Spence and Stiglitz).

TNPSC key point: Asymmetric information is the PARENT concept; adverse selection (before contract) and moral hazard (after contract) are its two consequences.

Visual memory: A used-car seller with a glowing X-ray view of the engine's cracks smiles across the table at a buyer wearing a thick blindfold. Between them, a see-saw of knowledge: the seller's side loaded with files, the buyer's side holding a single question mark.

Image idea: The words ASYMMETRIC INFORMATION in large bold text with a lopsided seesaw. One cartoon man buried under stacks of secret files high in the air, the other holding one giant question mark, clean background.

Hook: ASYMMETRIC INFORMATION = LOPSIDED KNOWLEDGE SEESAW. ONE KNOWS, ONE GUESSES.

Example: A moneylender in a Tamil Nadu village cannot fully know a borrower's true repayment ability. The borrower knows more, so lenders charge everyone higher interest.

Tragedy of the Commons**TOUGH**

Simple meaning: When a shared resource is free for all, everyone overuses it until it is destroyed.

Technical definition: The tragedy of the commons (Garrett Hardin, 1968) describes how individuals acting in self-interest over-exploit a common-pool resource like open pastures, fisheries, groundwater because no one owns it, leading to its depletion.

TNPSC key point: The cause is ABSENCE OF PROPERTY RIGHTS over a shared resource; remedies include regulation, community management or pricing the resource.

Visual memory: A lush green common field with a "FREE FOR ALL" board and ten herders each sneak in "just one more" cow, then one more, until a hundred cows chew the field to bare cracked mud, and all ten herders stand crying together on the dust they created.

Image idea: The words TRAGEDY OF THE COMMONS in large bold text over a split scene of one field lush green with a few cows on one side, barren cracked mud crowded with skinny cows and weeping herders on the other, clean background.

Hook: TRAGEDY OF THE COMMONS = FREE FIELD EATEN TO DUST
NOBODY OWNS IT, EVERYBODY RUINS IT.

Example: Over-pumping of free groundwater by all farmers together has crashed water tables in many Tamil Nadu districts
each acts sensibly alone, all lose together.

Aggregate Demand**TOUGH**

Simple meaning: The total demand for all goods and services in the whole economy.

Technical definition: Total planned spending on final goods and services in an economy at each price level: $AD = C + I + G + (X - M)$, i.e. consumption + investment + government spending + net exports.

TNPSC key point: The four components of aggregate demand are Consumption, Investment, Government expenditure and Net exports ($C + I + G + X - M$).

Visual memory: The ENTIRE population of India pushes ONE colossal shopping cart the size of a stadium. Families throw in groceries, businessmen throw in machines, a minister throws in a highway, and a ship dumps in exports. One cart holding the demand of a whole nation.

Image idea: "AGGREGATE DEMAND" in large bold text above a gigantic overflowing shopping cart pushed by a huge crowd of tiny people; inside the cart: groceries, a factory machine, a government building and a cargo ship; clean background.

Hook: AGGREGATE DEMAND = ONE GIANT NATIONAL SHOPPING CART. Total spending of the whole economy.

Example: During Diwali and Pongal seasons, household spending across India surges, pushing up aggregate demand.

Aggregate Supply

TOUGH

Simple meaning: The total amount of goods and services all producers in the economy are willing to supply.

Technical definition: The total value of final goods and services that all firms in an economy plan to produce and sell at each price level in a given period.

TNPSC key point: In the long run, aggregate supply depends on the economy's productive capacity — land, labour, capital and technology — not on the price level.

Visual memory: Every factory, farm and shop in India tips its output onto ONE mega conveyor belt stretching across the country — rice sacks, cars, sarees and software boxes all rolling out together as one national mountain of production.

Image idea: "AGGREGATE SUPPLY" in large bold text over one enormous conveyor belt spanning the frame, loaded with rice sacks, cars, textiles and crates, fed by rows of tiny factories and farms; clean background.

Hook: AGGREGATE SUPPLY = ONE MEGA CONVEYOR BELT

total output the whole economy delivers.

Example: A good monsoon lifts farm output across Tamil Nadu and the country, raising aggregate supply.

Simple meaning: The natural ups and downs of an economy over time.

Technical definition: Alternating phases of expansion (boom), peak, contraction (recession), trough (depression) and recovery in overall economic activity.

TNPSC key point: Remember the order of phases: boom (peak) recession depression (trough) recovery boom again.

Visual memory: The whole economy strapped into a giant roller coaster screaming with joy at the top (boom), plunging down (recession), stuck at the bottom (depression), then slowly climbing back up (recovery) and the ride never ends.

Image idea: "BUSINESS CYCLE" in large bold text above a giant roller coaster shaped like a wave, with a coin-shaped cart of passengers cheering at the peak and gripping the rails in the dip; clean background.

Hook: BUSINESS CYCLE = ECONOMY ON A ROLLER COASTER boom, bust and back again.

Example: India boomed in the 2000s, contracted sharply during the 2020-21 COVID lockdown, then recovered one full swing of the cycle.

Simple meaning: The economy shrinking for a short period.

Technical definition: A significant decline in economic activity falling output, income and employment; commonly identified as a fall in real GDP for two consecutive quarters.

TNPSC key point: The standard rule of thumb: two successive quarters of negative real GDP growth = technical recession.

Visual memory: A giant economy-elephant catches a cold sneezing, shivering under a blanket, GDP thermometer dipping sick and slower, but still on its feet and expected to recover soon.

Image idea: "RECESSION" in large bold text beside a huge sad elephant wrapped in a blanket, holding a thermometer with a small downward-arrow chart on it; clean background.

Hook: RECESSION = ECONOMY DOWN WITH A COLD

short slowdown, two negative quarters.

DO NOT CONFUSE: vs Depression a recession is a short and milder decline; a depression is a recession that becomes severe and drags on for years.

Example: India's GDP contracted in the first two quarters of 2020-21 during the COVID lockdown a technical recession.

Depression (Economic)

MODERATE

Simple meaning: A very deep and very long economic collapse.

Technical definition: A severe and prolonged recession marked by massive unemployment, collapsing output, falling prices and widespread business failures.

TNPSC key point: The Great Depression of 1929 (starting with the US stock market crash) is the classic example of an economic depression.

Visual memory: The economy-elephant is no longer sneezing it has fallen into a deep dark pit and lies flat for YEARS, factories rusting around it, while people queue endlessly outside a closed job office.

Image idea: "DEPRESSION" in large bold text above a huge elephant lying at the bottom of a deep dark pit, with rusted factory silhouettes and a long queue of tiny people at the rim; clean background.

Hook: DEPRESSION = ECONOMY FLAT IN A DEEP PIT
recession gone severe and long.

DO NOT CONFUSE: vs Recession
depression = a recession that is far deeper, harsher and lasts years, not quarters.

Example: During the 1930s Great Depression, world crop prices collapsed and Indian farmers under British rule suffered crushing losses.

Simple meaning: Prices keep rising while the economy stays stuck.

Technical definition: A situation of high inflation occurring together with stagnant output growth and high unemployment. Stagnation + inflation.

TNPSC key point: Stagflation breaks the Phillips curve trade-off (inflation and unemployment high TOGETHER); the classic trigger was the 1970s oil price shock.

Visual memory: A car sunk axle-deep in mud, wheels spinning, going NOWHERE while a giant red PRICES balloon tied to its roof keeps inflating bigger and bigger. Stuck car + swelling balloon = stagflation.

Image idea: "STAGFLATION" in large bold text over a car stuck in thick mud with spinning wheels, a huge inflating red balloon labelled with an up-arrow tied to its roof; clean background.

Hook: STAGFLATION = STUCK CAR WITH A SWELLING BALLOON
no growth, yet prices rise.

Example: Mid-1970s India: the oil shock plus droughts brought high inflation alongside sluggish growth stagflationary conditions.

Simple meaning: A curve saying low unemployment usually comes with high inflation.

Technical definition: A curve (A.W. Phillips, 1958) showing an inverse relationship between the rate of inflation and the rate of unemployment in the short run.

TNPSC key point: The inflation-unemployment trade-off shown by the Phillips curve breaks down under stagflation, when both rise together.

Visual memory: A giant see-saw in a park: a fat INFLATION balloon sits on one end and a gloomy UNEMPLOYMENT queue sits on the other. When one end goes up, the other MUST come down... until stagflation jumps on and snaps the see-saw in half.

Image idea: "PHILLIPS CURVE" in large bold text over a big see-saw with a red balloon on one seat high in the air and a sad queue of tiny figures weighing down the other; clean background.

Hook: PHILLIPS CURVE = INFLATION-UNEMPLOYMENT SEE-SAW. When one goes up, the other down.

Example: RBI's dilemma: tightening policy to cool inflation can slow growth and job creation. The see-saw in action.

Multiplier Effect**TOUGH**

Simple meaning: One rupee of new spending ends up creating more than one rupee of income.

Technical definition: An initial rise in spending raises incomes, which are partly re-spent, raising incomes again. Total income rises by a multiple: $K = 1 / (1 - MPC)$.

TNPSC key point: Multiplier $K = 1 / (1 - MPC)$; the higher the marginal propensity to consume, the bigger the multiplier (concept popularised by Keynes, building on R.F. Kahn).

Visual memory: Drop ONE Rs. 100 note into a village pond and watch it ripple outward, each ripple sprouting MORE Rs. 100 notes on the water, ring after ring, until the whole pond glitters with money.

Image idea: "MULTIPLIER EFFECT" in large bold text above one coin splashing into a pond, with expanding ripple rings each carrying more and more floating currency notes; clean background.

Hook: MULTIPLIER = ONE SPLASH, MANY MONEY RIPPLES
 Spending multiplies into income.

DO NOT CONFUSE: vs Fiscal Multiplier (see term 158)
 Multiplier Effect is the general spending-to-income concept; the Fiscal Multiplier measures it specifically for government spending.

Example: A Rs. 100 MGNREGA wage spent at the village shop becomes the shopkeeper's income, who spends again. Income multiplies through the village.

Paradox of Thrift

ADVANCED

Simple meaning: If everyone saves more at the same time, everyone can end up poorer.

Technical definition: Keynes' idea that when all households raise saving together, total demand, output and income fall so total saving may not rise, and can even fall.

TNPSC key point: Given by J.M. Keynes saving is a private virtue but can become a public vice during a slump.

Visual memory: A whole town proudly locks every rupee inside giant piggy banks the shops stand empty, the shopkeepers earn nothing, salaries stop... and one by one the proud piggy banks themselves go hungry and shrink.

Image idea: "PARADOX OF THRIFT" in large bold text over a row of huge smug piggy banks stuffed with cash while behind them an entire street of shops sits dark and empty with cobwebs; clean background.

Hook: PARADOX OF THRIFT = FAT PIGGY BANKS, STARVING SHOPS
all saving, no spending, all poorer.

Example: If every Indian household cut festival spending to save more, shops would sell less, incomes would fall and so would saving itself.

Simple meaning: Whatever is produced will automatically find buyers.

Technical definition: Classical economist J.B. Say's proposition that "supply creates its own demand" — production itself generates exactly enough income to purchase the output.

TNPSC key point: Say's Law is the foundation of classical economics; it was rejected by Keynes, who showed during the Great Depression that goods can pile up unsold.

Visual memory: A magical factory: the moment a chair rolls off the assembly line, a buyer POOFS into existence beside it, cash in hand — every product instantly conjures its own customer out of thin air.

Image idea: "SAY'S LAW" in large bold text above a factory conveyor where each finished product has a buyer magically appearing beside it in a puff of smoke, holding money; clean background.

Hook: SAY'S LAW = EVERY PRODUCT CONJURES ITS BUYER

supply creates its own demand.

Example: The Great Depression proved goods can remain unsold in warehouses — the failure Keynes used to demolish Say's Law.

Simple meaning: The total income earned by a country's people in one year.

Technical definition: The money value of all final goods and services produced by the normal residents of a country in a year; strictly, National Income = NNP at factor cost.

TNPSC key point: National Income = NNP at factor cost; first estimated for India by Dadabhai Naoroji, and today estimated officially by the NSO (earlier CSO).

Visual memory: On Republic Day, every earner in India — farmer, weaver, techie, tea-seller — marches past and drops one pay slip into a single gigantic national piggy bank shaped like the map of India, which swells to the size of a mountain.

Image idea: "NATIONAL INCOME" in large bold text over a mountain-sized piggy bank shaped like India's map, with a long parade of tiny workers dropping pay slips into its slot; clean background.

Hook: NATIONAL INCOME = INDIA-SHAPED PIGGY BANK OF ALL PAY SLIPS — the nation's yearly earnings.

Example: India's national income estimates are released by the National Statistical Office (NSO).

Gross Domestic Product (GDP)

MODERATE

Simple meaning: The value of everything produced INSIDE a country in a year.

Technical definition: The money value of all final goods and services produced within the domestic territory of a country in a year, whoever produces them.

TNPSC key point: GDP is location-based; GDP at market price includes indirect taxes minus subsidies (unlike factor cost), and India's GDP base year is 2011-12.

Visual memory: A gigantic glowing fence traced along India's border. EVERYTHING made inside the fence, even by a Korean or American company, gets stamped "COUNTS!", while anything made outside the fence is bounced away by the fence itself.

Image idea: "GDP" in large bold text over a glowing fence outlining India's map, packed inside with factories, farms and offices all stamped with big green ticks; clean background.

Hook: GDP = EVERYTHING INSIDE THE FENCE. production counted by LOCATION.

DO NOT CONFUSE: vs GNP. GDP counts by LOCATION (made inside India); GNP counts by NATIONALITY (made by Indians anywhere).

Example: Cars built by Hyundai (a Korean company) in its Chennai plant count fully in India's GDP.

Gross National Product (GNP)

MODERATE

Simple meaning: The value of everything produced by a country's own people, wherever in the world they are.

Technical definition: $GNP = GDP + \text{Net Factor Income from Abroad (NFIA)}$
income earned by normal residents both at home and abroad.

TNPSC key point: $GNP = GDP + NFIA$; since India's NFIA is negative, India's GNP is less than its GDP.

Visual memory: A giant passport with legs strides across the globe, hugging every Indian worker it finds in Dubai, Singapore, Silicon Valley and stuffing their earnings into a sack labelled with the tricolour, while politely ignoring foreigners working inside India.

Image idea: "GNP" in large bold text over a giant walking Indian passport carrying a money sack, collecting coins from tiny Indian workers scattered across a world map; clean background.

Hook: $GNP = \text{THE PASSPORT COLLECTS WORLDWIDE}$
production counted by NATIONALITY.

DO NOT CONFUSE: vs GDP GNP follows the passport (nationality), GDP follows the fence (location); and $NNP = GNP - \text{depreciation}$.

Example: Profits TCS earns in the USA add to India's GNP but not to India's GDP.

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Net Domestic Product (NDP)

TOUGH

Simple meaning: GDP after subtracting the wear and tear of machines.

Technical definition: $NDP = GDP - \text{depreciation (consumption of fixed capital)}$ domestic output net of the capital used up in producing it.

TNPSC key point: $NDP = GDP - \text{depreciation}$, so NDP is ALWAYS less than GDP (depreciation is always positive).

Visual memory: Inside the glowing GDP fence, a grumpy mechanic with a giant spanner walks machine to machine, filing down a rusty slice from every one the shiny GDP pile minus his bucket of rust shavings is NDP.

Image idea: "NDP" in large bold text over a huge gleaming coin pile inside a fenced map, with a mechanic scraping a rusty slice off the top into a bucket labelled with a wrench; clean background.

Hook: $NDP = GDP - \text{THE RUST BUCKET}$ domestic output after wear and tear.

DO NOT CONFUSE: vs NNP NDP is DOMESTIC (GDP - depreciation); NNP is NATIONAL (GNP - depreciation, i.e. it also includes net factor income from abroad).

Example: From the value of trucks produced in India, subtract the year's wear of plant machinery to reach NDP.

65

Net National Product (NNP)

TOUGH

Simple meaning: GNP minus the wear and tear of capital.

Technical definition: $NNP = GNP - \text{depreciation}$; NNP measured at factor cost is defined as the National Income of the country.

TNPSC key point: NNP at factor cost = National Income; India's official per capita income is per capita Net National Income.

Visual memory: The globe-trotting GNP passport returns home dragging its worldwide money sack but at the door the same grumpy mechanic snatches out a rusty handful for machine wear. What is left in the sack, pure and net, is NNP.

Image idea: "NNP" in large bold text over a giant passport handing over a money sack at a doorway while a mechanic pulls out one rusty scoop with a wrench; clean background.

Hook: $NNP = \text{PASSPORT SACK} - \text{RUST SCOOP}$ national income after depreciation.

DO NOT CONFUSE: vs GNP and NDP
 $NNP = GNP - \text{depreciation}$; $NDP = GDP - \text{depreciation}$. "Net" always means depreciation removed; "National" always means NFIA included.

Example: India's widely quoted per capita income figure is derived from Net National Income, an NNP measure.

Simple meaning: The average income earned per person in a country.

Technical definition: National income divided by total population; in India, per capita Net National Income estimated by the NSO.

TNPSC key point: Per Capita Income = National Income / Population
It is only an AVERAGE and hides inequality between rich and poor.

Visual memory: A giant cake labelled NATIONAL INCOME is sliced into exactly 140 crore identical pieces by a robotic knife. A billionaire and a daily-wage worker each receive the SAME polite little slice on identical plates, which fools no one.

Image idea: "PER CAPITA INCOME" in large bold text over one enormous cake being cut by a robotic arm into a sea of identical tiny slices handed to an endless crowd; clean background.

Hook: PER CAPITA INCOME = NATIONAL CAKE CUT INTO EQUAL SLICES
the average per head, not the reality.

Example: Tamil Nadu's per capita income is higher than the all-India average, yet averages still hide gaps within the state.

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Factor Cost

TOUGH

Simple meaning: The value producers actually receive for making goods after payments to land, labour, capital.

Technical definition: Output valued as the sum of payments to factors of production (rent, wages, interest, profit) excluding indirect taxes and including subsidies.

TNPSC key point: Factor Cost = Market Price - indirect taxes + subsidies.

Visual memory: Backstage at a shirt factory, the REAL earning is shared on a table by four people - the landlord, the worker, the banker and the boss while the tax collector who inflated the shop price is firmly locked outside the door.

Image idea: "FACTOR COST" in large bold text over four figures splitting one pile of coins at a backstage table while a tax collector peers through a locked window; clean background.

Hook: FACTOR COST = THE BACKSTAGE SHARE-OUT
producers' true earnings, tax kept out.

DO NOT CONFUSE: vs Market Price
market price INCLUDES indirect taxes; factor cost strips taxes out and adds subsidies back.

Example: A shirt sells for Rs. 112 including Rs. 12 GST its factor cost is Rs. 100.

68

Market Price (National Income)

TOUGH

Simple meaning: The price buyers actually pay at the shop, tax included.

Technical definition: Output valued at prices paid by final buyers: Market Price = Factor Cost + indirect taxes - subsidies.

TNPSC key point: Since the 2015 revision, India's headline GDP is reported at MARKET PRICES (earlier it was at factor cost).

Visual memory: At the shop counter, a grinning tax collector piggy-backs on every product, adding his weight to the bill while a kindly subsidy fairy occasionally shaves a bit off. What the customer finally pays, collector and fairy included, is the market price.

Image idea: "MARKET PRICE" in large bold text over a shop billing counter where a tiny tax collector sits on top of a product on the weighing scale, tipping the price tag higher; clean background.

Hook: MARKET PRICE = SHOP PRICE WITH THE TAXMAN ON TOP
factor cost plus net indirect taxes.

DO NOT CONFUSE: vs Factor Cost
market price is what the buyer pays (with taxes); factor cost is what the producer keeps (without taxes, with subsidies).

Example: A subsidised LPG cylinder's market price paid by the household is LOWER than its factor cost by the subsidy amount.

Gross Value Added (GVA)

ADVANCED

Simple meaning: The value each producer ADDS at their own stage of production.

Technical definition: Value of output minus value of intermediate inputs used up; it measures the supply-side contribution of each sector at basic prices.

TNPSC key point: $GDP = GVA + \text{product taxes} - \text{product subsidies}$.

Visual memory: A cotton boll travels a relay race: the farmer, the spinner, the weaver and the tailor each hold it for one lap and each glues ONE golden brick onto it. The finished shirt arrives as a tower of golden bricks, one per runner. Each brick = value added.

Image idea: "GVA" in large bold text over a relay track where four runners pass a product that grows a new stacked golden brick at every handover; clean background.

Hook: $GVA = \text{ONE GOLDEN BRICK PER STAGE}$ of each producer's own addition of value.

DO NOT CONFUSE: vs GDP. GVA is the production-side measure at basic prices; add net product taxes to GVA and you get GDP at market prices.

Example: India's sector-wise growth figures for agriculture, industry, services are published in GVA terms.

Circular Flow of Income

MODERATE

Simple meaning: Money keeps moving in a circle between households and firms.

Technical definition: Households supply factors of production and receive income; firms supply goods and receive spending. Income, output and expenditure flow round and round continuously.

TNPSC key point: The circular flow gives the three equivalent methods of measuring national income: product (output) method, income method and expenditure method.

Visual memory: A giant water wheel between two houses: from HOUSEHOLDS, buckets of labour pour onto the wheel and come back as salary; from FIRMS, buckets of goods pour out and come back as payments. The wheel never stops turning, round and round forever.

Image idea: "CIRCULAR FLOW" in large bold text at the centre of a giant spinning wheel of coins connecting a family house on one side and a factory on the other with flowing arrows; clean background.

Hook: CIRCULAR FLOW = THE MONEY WATER WHEEL

Income and spending chase each other in a loop.

Example: A Kanchipuram weaver earns wages from the loom firm, spends them at the grocery shop, whose owner buys sarees from the loom firm. The rupee circles back.

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Nominal GDP**TOUGH**

Simple meaning: GDP measured at today's prices, inflation and all.

Technical definition: GDP valued at current market prices of the same year, with no adjustment for inflation.

TNPSC key point: Nominal GDP rises when prices rise, even if actual production does not grow at all.

Visual memory: An economy stands on a weighing scale wearing a huge puffy inflation jacket stuffed with balloons. The scale screams a giant number, but most of the "weight" is just hot air, not muscle.

Image idea: "NOMINAL GDP" in large bold text over a figure on a weighing scale wearing an absurdly puffy balloon-stuffed jacket, the scale display showing an inflated number; clean background.

Hook: NOMINAL GDP = WEIGHED WITH THE PUFFY JACKET ON today's prices, hot air included.

DO NOT CONFUSE: vs Real GDP. Nominal uses CURRENT-year prices; real uses CONSTANT base-year prices, removing inflation.

Example: In a high-inflation year, India's nominal GDP growth can look impressive even when real output growth is weak.

Simple meaning: GDP after removing the effect of rising prices.

Technical definition: GDP valued at constant prices of a chosen base year; it measures the true change in the volume of output.

TNPSC key point: India's real GDP is measured at constant 2011-12 prices; the "GDP growth rate" in headlines is real GDP growth.

Visual memory: The same economy steps on the scale again but first the referee yanks off the puffy inflation jacket and every balloon. Now the scale shows the honest muscle weight: the real size of the economy.

Image idea: "REAL GDP" in large bold text over a fit figure on a weighing scale, the discarded puffy balloon jacket lying deflated beside it, the scale showing a smaller honest number; clean background.

Hook: REAL GDP = WEIGHED WITH THE JACKET OFF
pure output, inflation removed.

DO NOT CONFUSE: vs Nominal GDP real GDP strips out price changes using base-year prices; nominal GDP keeps them in.

Example: India's official growth rate is computed from real GDP at constant 2011-12 prices.

Simple meaning: The price index hiding inside the GDP numbers themselves.

Technical definition: $\text{GDP Deflator} = (\text{Nominal GDP} / \text{Real GDP}) \times 100$
the broadest measure of the price level in the economy.

TNPSC key point: The deflator covers ALL goods and services produced domestically, unlike the CPI which tracks only a fixed consumer basket.

Visual memory: A giant needle-wielding referee grabs the puffy nominal-GDP balloon suit and PSSSHHH deflates it down to the real body, then holds up a ruler measuring exactly how much air escaped. The escaped air = the deflator's reading.

Image idea: "GDP DEFLATOR" in large bold text over a referee pressing a giant pin into an oversized balloon suit, air whooshing out past a measuring ruler; clean background.

Hook: $\text{GDP DEFLATOR} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$

DO NOT CONFUSE: vs CPI the deflator covers everything the economy produces (basket changes with output); the CPI covers only a fixed basket of consumer goods and services.

Example: If India's nominal GDP is Rs. 220 lakh crore and real GDP is Rs. 200 lakh crore, the deflator is 110.

Simple meaning: The reference year against which prices and growth are compared.

Technical definition: A chosen normal year whose prices are treated as constant for computing real GDP and index numbers; the index equals 100 in the base year.

TNPSC key point: India's GDP base year is 2011-12 (WPI base 2011-12; CPI base 2012).

Visual memory: One calendar year is frozen inside a giant glass trophy case labelled "100" every later year must walk up and measure itself against this frozen champion, taller or shorter, richer or poorer, always compared to the year in the glass.

Image idea: "BASE YEAR" in large bold text over a glowing calendar page frozen inside a glass trophy case marked "100", with later years queuing up beside it holding measuring tapes; clean background.

Hook: BASE YEAR = THE YEAR FROZEN AT 100 every other year is measured against.

Example: India's real GDP is always announced "at constant 2011-12 prices" 2011-12 is the frozen yardstick.

Purchasing Power Parity (PPP)

ADVANCED

Simple meaning: Comparing countries' money by what it can actually BUY, not by exchange rates.

Technical definition: A method of comparing currencies and economies by equalising the price of an identical basket of goods and services across countries.

TNPSC key point: Measured by PPP, India ranks as the world's third-largest economy far higher than its market-exchange-rate rank.

Visual memory: One identical burger placed on two pans of a giant world-sized balance scale priced in rupees in Chennai on one pan, in dollars in New York on the other and the balance bends the currencies until the SAME burger costs the same. The burger is the judge, not the bank.

Image idea: "PPP" in large bold text over a giant balance scale with one identical burger on each pan, rupee notes stacked under one and dollar notes under the other until the pans level; clean background.

Hook: PPP = THE BURGER BALANCES THE CURRENCIES

compare money by what it buys.

DO NOT CONFUSE: vs Exchange Rate the market exchange rate is set by currency demand and supply; the PPP rate is set by comparing the cost of one common basket of goods.

Example: A haircut costs about Rs. 100 in Chennai but 20 dollars in New York PPP captures this gap that exchange rates ignore.

Simple meaning: GDP after subtracting the damage done to nature.

Technical definition: Conventional GDP minus the monetary cost of environmental degradation and depletion of natural resources caused by production.

TNPSC key point: Ordinary GDP OVERSTATES growth that destroys forests, rivers and air; Green GDP corrects this by deducting environmental cost.

Visual memory: A proud giant GDP trophy made of gold coins
until a stern tree-judge walks up and chops off one big chunk for every smoking chimney, dead fish and felled tree behind it. The trimmed, leafy trophy that remains is Green GDP.

Image idea: "GREEN GDP" in large bold text over a golden coin-trophy with one side being trimmed away by a giant leaf-shaped blade, revealing a smaller trophy wrapped in green vines; clean background.

Hook: GREEN GDP = TROPHY MINUS THE POLLUTION SLICE
growth after nature's bill is paid.

DO NOT CONFUSE: vs Green Economy
Green GDP is a measurement adjustment to GDP; Green Economy (term 217) is a whole low-carbon, resource-efficient model of running the economy.

Example: Pollution of the Noyyal river by Tiruppur dyeing units would be deducted when computing Tamil Nadu's Green GDP.

Output Gap

ADVANCED

Simple meaning: The gap between what the economy IS producing and what it COULD produce.

Technical definition: Actual GDP minus potential GDP (usually expressed as a percentage of potential); a negative gap means slack, a positive gap means overheating.

TNPSC key point: Negative output gap = economy running below capacity with weak demand; positive output gap = overheating that fuels inflation.

Visual memory: A giant measuring jug labelled POTENTIAL stands beside the economy-machine but the machine's actual output only fills the jug halfway. The huge empty air space at the top glows red, screaming "WASTED CAPACITY!"

Image idea: "OUTPUT GAP" in large bold text over a giant transparent jug marked with a full-capacity line, filled only halfway with golden liquid, the empty top half highlighted in glowing red; clean background.

Hook: OUTPUT GAP = THE EMPTY TOP OF THE JUG actual output versus full capacity.

Example: During the COVID lockdown, Indian factories sat idle actual output fell far below potential, a large negative output gap.

78

Hindu Rate of Growth

TOUGH

Simple meaning: The mocking name for India's slow growth in the decades before the 1980s.

Technical definition: The sluggish average annual GDP growth of about 3.5 percent that India recorded from the 1950s to the 1980s, despite planning efforts.

TNPSC key point: Term coined by economist RAJ KRISHNA; the rate is approximately 3.5 percent per year.

Visual memory: A bullock cart labelled "3.5%" plods along a dusty road for THIRTY years while sports cars of other economies zoom past honking. The patient bullock never speeds up, never stops, just plods at exactly the same crawl, decade after decade.

Image idea: "HINDU RATE OF GROWTH" in large bold text over a slow bullock cart carrying a big speedometer stuck at 3.5, with blurred speeding cars whooshing past it; clean background.

Hook: HINDU RATE = THE 3.5% BULLOCK CART. Raj Krishna's name for India's stuck pre-reform growth.

Example: In the licence-permit era before the 1991 reforms, India's growth stayed stuck near 3.5 percent; liberalisation finally broke the crawl.

Transfer Payments**TOUGH**

Simple meaning: Money given to people without getting any good or service in return.

Technical definition: One-way payments such as old-age pensions, scholarships, subsidies and unemployment allowances, made without any productive service rendered in exchange.

TNPSC key point: Transfer payments are NOT included in national income, because no production corresponds to them.

Visual memory: A one-way conveyor belt carries envelopes of cash from a government building straight into people's hands and the return belt is completely EMPTY, carrying nothing back: no goods, no work, no service, just air.

Image idea: "TRANSFER PAYMENTS" in large bold text over two conveyor belts between a government building and a grandmother. The outgoing belt loaded with cash envelopes, the return belt visibly empty; clean background.

Hook: TRANSFER PAYMENT = FULL BELT OUT, EMPTY BELT BACK. Money for nothing, so not in national income.

Example: The old-age pension paid by the Tamil Nadu government is a transfer payment excluded from national income.

Depreciation (Capital Consumption)**TOUGH**

Simple meaning: The wear and tear of machines and buildings used in production.

Technical definition: Consumption of fixed capital the fall in the value of capital assets during a year because of use, wear and obsolescence.

TNPSC key point: "Gross minus depreciation = Net": $GNP - \text{depreciation} = NNP$, and $GDP - \text{depreciation} = NDP$.

Visual memory: A shiny new factory machine ages in fast-forward rust creeping over it like grey hair, bolts dropping like falling teeth, until it leans on a walking stick while a rust-meter beside it ticks up the value it loses every year.

Image idea: "DEPRECIATION" in large bold text over one machine shown ageing across the frame from gleaming new to rusty and bandaged with a walking stick, a meter above ticking downward; clean background.

Hook: $DEPRECIATION = \text{THE MACHINE GROWING OLD}$
yearly wear that turns Gross into Net.

DO NOT CONFUSE: vs Currency Depreciation
capital depreciation is the wearing out of machines; currency depreciation (term 257) is the rupee losing value against other currencies.

Example: A power loom in Erode loses part of its value every year through constant running that loss is capital depreciation.

Simple meaning: Prices keep going up, so money buys less and less.

Technical definition: A sustained rise in the GENERAL price level over time, which reduces the purchasing power of money.

TNPSC key point: Inflation must be a sustained, general rise. A one-time jump in one good's price is not inflation; India's headline inflation is measured by CPI (Combined).

Visual memory: A giant red balloon labelled PRICES inflates bigger and bigger, filling the sky while directly below it, a leather wallet shrivels and shrinks in terror, squeezing its last coins tight.

Image idea: "INFLATION" in large bold text beside a giant swelling red PRICES balloon towering over a tiny shrinking wallet on the ground; clean background.

Hook: INFLATION = BALLOON UP, WALLET DOWN. prices swell, money shrinks.

DO NOT CONFUSE: vs Deflation. Inflation is the general price level RISING; deflation is the general price level FALLING.

Example: The same Rs. 500 note buys fewer groceries in a Chennai market every passing year.

Simple meaning: Prices falling everywhere, across the whole economy.

Technical definition: A sustained FALL in the general price level. The inflation rate turns negative (below zero).

TNPSC key point: Deflation = negative inflation rate; it is harmful because buyers postpone purchases, so output and jobs collapse.

Visual memory: The giant PRICES balloon has a puncture. It sags and crumples toward the ground while shoppers stand frozen with folded arms, whispering "wait, it will be cheaper tomorrow" and the shops behind them slowly go dark.

Image idea: "DEFLATION" in large bold text over a huge sagging, crumpling red balloon deflating onto a street of dim shops, with shoppers standing back with folded arms; clean background.

Hook: DEFLATION = THE PUNCTURED BALLOON. Prices actually falling, and that is dangerous.

DO NOT CONFUSE: vs Disinflation. Deflation means prices actually FALL (rate below 0%); disinflation means prices still RISE, just more slowly.

Example: India's WPI inflation turned negative during 2015. Wholesale prices of goods were actually falling.

Simple meaning: Prices still rising, but more slowly than before.

Technical definition: A fall in the RATE of inflation; the price level continues to rise, but at a decreasing speed; the inflation rate stays positive.

TNPSC key point: Inflation easing from 8% to 4% is DISINFLATION; only when the rate crosses below 0% does it become deflation.

Visual memory: The giant PRICES balloon is STILL being blown up but the man inflating it is out of breath, puffing slower and slower. The balloon keeps growing, just lazily now. Growing slower is NOT shrinking!

Image idea: "DISINFLATION" in large bold text over a still-growing red balloon attached to an exhausted, sweating man puffing weakly into the pump, the balloon rising gently rather than violently; clean background.

Hook: DISINFLATION = THE TIRED BALLOON-BLOWER

inflation slowing down but still positive.

DO NOT CONFUSE: vs Deflation in disinflation prices still rise (slower); in deflation prices actually fall below last year's level.

Example: India's CPI inflation cooling from near double digits in 2013 to around 5% in later years was disinflation, not deflation.

Simple meaning: The government deliberately pumping prices and demand back UP after a slump.

Technical definition: A deliberate policy of stimulating the economy through tax cuts, higher public spending, cheaper money to lift it out of deflation or recession back toward normal price levels.

TNPSC key point: Reflation is the intended, policy-driven counter-attack on deflation, using expansionary fiscal and monetary policy together.

Visual memory: The crumpled, punctured PRICES balloon lies flat until a doctor in a government uniform rushes in with a giant air pump labelled STIMULUS, patches the hole, and pumps furiously until the balloon slowly rises off the ground again.

Image idea: "REFLATION" in large bold text over a uniformed doctor pumping air into a patched red balloon with an enormous pump marked with a plus sign, the balloon just lifting off the floor; clean background.

Hook: REFLATION = THE DOCTOR RE-PUMPS THE BALLOON
policy revival of prices and demand.

Example: Post-COVID stimulus spending by the Centre plus RBI rate cuts worked as reflationary policy to revive demand.

🔗 **Simple meaning:** Prices exploding totally out of control.

🔗 **Technical definition:** Extremely rapid, runaway inflation (classically defined by Cagan as over 50 percent PER MONTH), where money loses value so fast people abandon it.

🔗 **TNPSC key point:** Classic cases: Germany 1923, Zimbabwe 2008, Venezuela 🇻🇪 India has never experienced hyperinflation.

🔗 **Visual memory:** A man pushes a WHEELBARROW overflowing with cash to buy ONE loaf of bread 🍞 and by the time he reaches the counter, the price has doubled again, so he runs home for a second wheelbarrow while children fly kites made of banknotes.

🔗 **Image idea:** "HYPERINFLATION" in large bold text over a man racing a wheelbarrow piled mountain-high with banknotes toward a single tiny loaf of bread on a pedestal with a skyrocketing price tag; clean background.

🔗 **Hook:** HYPERINFLATION = A WHEELBARROW OF CASH FOR ONE BREAD 🍞 money dying by the hour.

🔗 **Example:** Zimbabwe printed 100-trillion-dollar notes in 2008 🇿🇼 the note itself became cheaper than the bread it could not buy; India has never come close.

Demand-Pull Inflation**TOUGH**

Simple meaning: Too much money chasing too few goods.

Technical definition: Inflation caused by aggregate demand exceeding aggregate supply at existing prices. Excess spending pulls prices upward.

TNPSC key point: The phrase "too much money chasing too few goods" ALWAYS refers to demand-pull inflation.

Visual memory: A stampede of shoppers waving fat wallets chases ONE terrified little basket of goods down the street and with every grasping hand, the basket's price tag is PULLED higher and higher into the air.

Image idea: "DEMAND-PULL INFLATION" in large bold text over a huge crowd waving cash while chasing one tiny running basket of goods whose price tag is being yanked skyward by their outstretched hands; clean background.

Hook: DEMAND-PULL = THE MONEY MOB CHASES ONE BASKET of buyers' excess demand pulls prices up.

DO NOT CONFUSE: vs Cost-Push Inflation

demand-pull starts on the BUYERS' side (excess demand); cost-push starts on the PRODUCERS' side (rising input costs).

Example: Festival-season buying surges in India pull up prices of gold, clothes and electronics. Demand-pull at work.

Cost-Push Inflation**TOUGH**

Simple meaning: Costlier inputs push selling prices up.

Technical definition: Inflation caused by rising costs of production such as wages, raw materials, fuel which push firms to raise prices even without extra demand.

TNPSC key point: An oil price shock is the classic cost-push trigger and severe cost-push can produce stagflation.

Visual memory: Underneath a huge price tag, three burly wrestlers named WAGES, FUEL and RAW MATERIALS crouch and PUSH it upward on their shoulders like a heavy barbell the shopkeeper on top shrugs helplessly: "not me, THEY are pushing!"

Image idea: "COST-PUSH INFLATION" in large bold text over three muscular figures labelled with a wage slip, a fuel can and a steel rod, shoulder-pressing a giant price tag high into the air; clean background.

Hook: COST-PUSH = WRESTLERS SHOIVING THE PRICE TAG UP
producers' costs push prices, not buyers.

DO NOT CONFUSE: vs Demand-Pull Inflation

cost-push is supply-side (inputs get costlier); demand-pull is demand-side (spending gets excessive).

Example: A global crude oil spike raises transport costs, pushing up vegetable prices at Chennai's Koyambedu market.

Core Inflation**TOUGH**

Simple meaning: Inflation measured AFTER leaving out food and fuel.

Technical definition: Inflation excluding the volatile food and fuel components, revealing the underlying, persistent trend of prices.

TNPSC key point: Core inflation = headline inflation MINUS food and fuel; it shows the sticky, long-lasting part of inflation.

Visual memory: A giant apple sliced open the juicy outer flesh (tomatoes, onions, petrol pumps) is carved away and tossed aside, leaving only the hard unshakeable CORE standing on the plate. That stubborn core is what refuses to cool down.

Image idea: "CORE INFLATION" in large bold text over a giant apple with its outer flesh (drawn as vegetables and a fuel pump) peeled away, spotlighting the solid glowing core at the centre; clean background.

Hook: CORE INFLATION = THE APPLE WITHOUT ITS FLESH
strip food and fuel, see the stubborn core.

DO NOT CONFUSE: vs Headline Inflation

core EXCLUDES food and fuel; headline INCLUDES the full basket.

Example: When tomato prices crash in India, headline inflation drops sharply but core inflation barely moves.

Headline Inflation**TOUGH**

Simple meaning: The total inflation number, everything included.

Technical definition: Overall CPI inflation covering the complete consumer basket, including volatile food and fuel prices.

TNPSC key point: RBI's 4% inflation target applies to HEADLINE CPI inflation, not core.

Visual memory: A newspaper front page with a SCREAMING banner headline and crammed into that one headline are onions, petrol pumps, rice bags, rents and school fees all shouting together. Nothing is left out of the front page.

Image idea: "HEADLINE INFLATION" in large bold text as a newspaper masthead, with the front page below stuffed edge to edge with onions, a fuel pump, rice sacks and price tags all rising on one big red arrow; clean background.

Hook: HEADLINE INFLATION = THE FULL FRONT PAGE

every item, food and fuel included.

DO NOT CONFUSE: vs Core Inflation headline includes everything (food and fuel in); core deliberately leaves food and fuel out.

Example: An onion price spike can swing India's headline inflation sharply within a single month.

Simple meaning: Prices of a FEW items skyrocket while everything else stays calm.

Technical definition: A sustained price rise concentrated in a small group of commodities while the overall inflation rate remains moderate. Inflation that is "skewed" toward a few goods.

TNPSC key point: The term was popularised in India by the Economic Survey to describe episodes like isolated food-price spikes (onions, pulses).

Visual memory: In a peaceful market where every price tag sleeps quietly, ONE single onion strapped to a rocket blasts through the roof trailing fire while the rice, soap and oil beside it look up, completely unbothered.

Image idea: "SKEWFLATION" in large bold text over one onion riding a rocket blasting upward out of a calm market shelf where all other goods sit flat with sleepy price tags; clean background.

Hook: SKEWFLATION = ONE ONION ON A ROCKET. A few prices explode, the rest stay flat.

Example: Around 2010, onion and pulses prices soared in India while general inflation stayed moderate. Classic skewflation.

Wholesale Price Index (WPI)**TOUGH**

Simple meaning: The price index of goods traded in bulk between businesses.

Technical definition: An index of wholesale prices of GOODS only (primary articles, fuel and power, manufactured products), published by the Office of Economic Adviser, DPIIT; base year 2011-12.

TNPSC key point: WPI includes NO services, and RBI does NOT target WPI; manufactured products carry the highest weight.

Visual memory: A godown-sized weighing scale piled high with gunny sacks, steel rods and oil barrels. Bulk goods only. A barber and a teacher knock at the godown gate and are turned away by the guard: "GOODS ONLY, no services!"

Image idea: "WPI" in large bold text over a warehouse-sized weighing scale stacked with gunny sacks, drums and steel rods, with a barber holding scissors turned away at the gate; clean background.

Hook: WPI = THE GODOWN SCALE THAT REJECTS THE BARBER. Bulk goods only, no services, not RBI's target.

DO NOT CONFUSE: vs CPI. WPI has no services and is NOT RBI's target; CPI includes services and IS the index RBI targets.

Example: In 2015, India's WPI inflation turned negative. Wholesale goods prices were falling even as retail CPI stayed positive.

Consumer Price Index (CPI)**TOUGH**

Simple meaning: The price index of what ordinary households actually buy.

Technical definition: An index of retail price changes of a fixed basket of consumer goods AND services; CPI (Combined) is compiled by the NSO with base year 2012.

TNPSC key point: CPI (Combined) is RBI's inflation-target index target 4% with a $\pm 2\%$ band; the food group carries nearly half the weight.

Visual memory: A family's shopping basket wears a crown and sits on a throne at the RBI. rice, milk, bus tickets, school fees and even the barber's scissors ride inside it and the RBI Governor bows to THIS basket alone before touching the repo rate lever.

Image idea: "CPI" in large bold text over a crowned household shopping basket on a throne, filled with groceries, a bus ticket and barber scissors, with a central bank pillar bowing toward it; clean background.

Hook: CPI = THE CROWNED FAMILY BASKET the retail index the RBI actually targets.

DO NOT CONFUSE: vs WPI CPI covers retail prices including services and is RBI's target; WPI covers wholesale goods only and is not targeted.

Example: Every RBI Monetary Policy Committee decision on the repo rate is anchored to CPI (Combined) inflation.

Simple meaning: Last year's number distorts this year's inflation rate.

Technical definition: The influence of the previous year's price level (the base) on the year-on-year inflation calculation. A low base exaggerates the rate, a high base understates it.

TNPSC key point: Inflation can appear to "rise" or "fall" purely due to the base effect, with no real change in current prices.

Visual memory: Two children stand back to back to compare height but one is secretly standing in a DITCH. The other suddenly looks like a giant! Nobody grew; only the ground under last year's feet was low.

Image idea: "BASE EFFECT" in large bold text over two same-sized children compared back to back, one standing in a ditch so the other towers above, with a confused referee holding a measuring stick; clean background.

Hook: BASE EFFECT = ONE KID IN A DITCH. The comparison lies, not the prices.

Example: If onion prices crashed last July, even a normal price this July shows scary year-on-year inflation. Pure base effect.

Indexation (Dearness Allowance)**TOUGH**

Simple meaning: Automatically raising payments to keep pace with inflation.

Technical definition: Linking wages, pensions or other payments to a price index so their real purchasing power is protected; Dearness Allowance is the Indian form of wage indexation.

TNPSC key point: DA of government employees in India is linked to the CPI for Industrial Workers (CPI-IW).

Visual memory: A salary slip and the PRICES balloon are tied together by an unbreakable golden chain riding an escalator. Every time the balloon floats one step up, the chain YANKS the salary slip up one step too. Prices climb, pay is dragged along automatically.

Image idea: "INDEXATION" in large bold text over a rising red balloon chained to a salary slip on a golden escalator, the chain pulled taut as both move upward together; clean background.

Hook: INDEXATION = SALARY CHAINED TO THE PRICE BALLOON
pay auto-climbs with inflation.

Example: Tamil Nadu government employees' Dearness Allowance is revised upward as CPI-IW rises.

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Real Interest Rate

TOUGH

Simple meaning: Your interest earning AFTER removing inflation's bite.

Technical definition: The nominal interest rate minus the inflation rate (Fisher relation) the true growth in the purchasing power of your money.

TNPSC key point: Real interest rate = Nominal rate - Inflation; it can turn NEGATIVE when inflation exceeds the deposit rate.

Visual memory: A proud fixed-deposit tree grows seven golden fruits but an inflation goat sneaks in every night and eats six of them. At harvest, the beaming depositor is left holding exactly ONE real fruit.

Image idea: "REAL INTEREST RATE" in large bold text over a small money tree with most of its golden fruit inside a goat's bulging belly, and one single fruit left in the depositor's palm; clean background.

Hook: REAL RATE = FRUITS LEFT AFTER THE GOAT nominal minus inflation.

DO NOT CONFUSE: vs Nominal Interest Rate

real = nominal MINUS inflation; the nominal rate is the quoted rate before inflation is deducted.

Example: A bank FD paying 7% during 6% inflation gives a real return of only about 1%.

Nominal Interest Rate**TOUGH**

Simple meaning: The interest rate as written on paper.

Technical definition: The stated market rate of interest on a loan or deposit, with no adjustment for inflation.

TNPSC key point: Fisher equation: Nominal rate = Real rate + expected inflation.

Visual memory: A bank poster shouts "7%!!" in glittering letters and the customer dances with joy while behind the poster, the inflation goat is already tying a napkin around its neck, fork and knife ready. The poster number is only the promise BEFORE the goat eats.

Image idea: "NOMINAL INTEREST RATE" in large bold text over a glittering bank poster showing a big bold percentage, with a goat's shadow holding a fork looming behind the poster; clean background.

Hook: NOMINAL RATE = THE POSTER NUMBER the quoted rate before inflation takes its bite.

DO NOT CONFUSE: vs Real Interest Rate nominal is the advertised paper rate; real is what remains after subtracting inflation.

Example: A bank FD advertised at "7% per annum" states the nominal rate inflation decides what it is really worth.

Inflation Targeting

ADVANCED

Simple meaning: The RBI is given one fixed inflation number to aim at.

Technical definition: A monetary policy framework where the central bank publicly commits to keep inflation at an announced target; India adopted flexible inflation targeting through the RBI Act amendment of 2016.

TNPSC key point: India's target: CPI (Combined) inflation of 4% with a $\pm 2\%$ band (2%-6%), pursued by the six-member Monetary Policy Committee.

Visual memory: The RBI Governor stands like an Olympic archer, bow drawn, eyes locked on a giant dartboard whose bullseye is painted "4%" with the safe rings marked 2 and 6 around it and refuses to shoot at ANY other target anyone waves at him.

Image idea: "INFLATION TARGETING" in large bold text over an archer in central-bank robes aiming an arrow at a huge dartboard with a glowing 4 at the bullseye ringed by 2 and 6; clean background.

Hook: INFLATION TARGETING = ARROW LOCKED ON THE 4% BULLSEYE
RBI's one public promise.

Example: The MPC raises or cuts the repo rate with the single stated aim of keeping CPI inflation inside the 2%-6% band.

Wage-Price Spiral

ADVANCED

Simple meaning: Wages and prices keep chasing each other upward, endlessly.

Technical definition: Higher prices lead workers to demand higher wages; higher wages raise production costs, which raise prices again. A self-reinforcing inflation loop.

TNPSC key point: The wage-price spiral is a cost-push mechanism that makes inflation SELF-SUSTAINING once it starts.

Visual memory: A wage slip and a price tag ride an endless spiral staircase, each furiously climbing to stand one step ABOVE the other. "you rose, so I rise!" round and round, higher and higher, with no top floor in sight.

Image idea: "WAGE-PRICE SPIRAL" in large bold text over a towering spiral staircase with a wage slip character and a price tag character racing each other upward, glaring at one another; clean background.

Hook: WAGE-PRICE SPIRAL = TWO RIVALS ON AN ENDLESS STAIRCASE. Each rise triggers the next.

Example: High inflation triggers a DA hike for employees, raising costs, which raises prices, feeding the next DA hike.

Simple meaning: Same price, smaller packet.

Technical definition: Producers quietly reduce the quantity or size of a product while keeping its price unchanged. A hidden rise in the price per unit.

TNPSC key point: Shrinkflation is HIDDEN inflation

the price tag never changes, so ordinary price comparison misses it.

Visual memory: A chips packet stands proudly holding the same Rs. 10 tag year after year but each year the packet itself quietly shrinks, from pillow-sized to purse-sized to matchbox-sized, whistling innocently as if nothing happened.

Image idea: "SHRINKFLATION" in large bold text over a row of the same snack packet shrinking step by step from huge to tiny while each holds an identical unchanged price tag; clean background.

Hook: SHRINKFLATION = SAME TAG, VANISHING PACKET

the price hides, the quantity shrinks.

Example: A Rs. 10 biscuit or chips packet in India quietly slimming from 100g to 80g over the years is textbook shrinkflation.

Deflationary Spiral

ADVANCED

Simple meaning: Falling prices drag the whole economy down in circles.

Technical definition: Falling prices cut profits, forcing production cuts and job losses, which reduce incomes and demand, making prices fall further — a self-reinforcing downward loop.

TNPSC key point: The spiral explains why deflation is feared more than moderate inflation — buyers postponing purchases keep deepening the fall; the Great Depression is the classic case.

Visual memory: The economy is caught in a giant whirlpool: a falling price tag sucks in a factory, the factory drags in workers' pay slips, the pay slips pull in empty shopping bags — everything swirling downward, and each item dragged in makes the whirlpool spin FASTER.

Image idea: "DEFLATIONARY SPIRAL" in large bold text over a huge dark whirlpool swallowing a price tag, a factory, pay slips and shopping bags in a visible downward spiral; clean background.

Hook: DEFLATIONARY SPIRAL = THE WHIRLPOOL THAT FEEDS ITSELF — falling prices sink demand, which sinks prices.

Example: Japan's "lost decades" of falling prices and stagnant demand show the spiral policymakers dread — one reason RBI targets 4%, not 0%.

Simple meaning: Money that has value only because the government says so.

Technical definition: Currency that is not backed by gold or any commodity; its value comes purely from government order (fiat) and public trust.

TNPSC key point: Indian rupee is fiat money its value rests on government decree, NOT on gold backing.

Visual memory: A king stamps his royal seal on plain paper and shouts "THIS IS MONEY NOW!" and the whole market instantly starts trading with the paper, while a gold bar sits in the corner crying because nobody needs it.

Image idea: Giant word "FIAT MONEY" in large bold text above a plain paper note being stamped by a huge royal seal marked "ORDER", with a sad gold bar pushed aside; clean white background.

Hook: FIAT MONEY = royal stamp on plain paper value by government order, not gold.

DO NOT CONFUSE: vs Legal Tender Fiat money gets value BY government order; legal tender is money that MUST be accepted for payment by law.

Example: A Rs.500 note costs only a few rupees to print, yet buys Rs.500 of goods in a Chennai shop because the RBI and Government of India declare its value.

Simple meaning: Money that no one can legally refuse when you pay a debt.

Technical definition: Money that must, by law, be accepted in settlement of debts. Currency notes are unlimited legal tender; coins are limited legal tender up to specified amounts under the Coinage Act, 2011.

TNPSC key point: Cheques, demand drafts and UPI are NOT legal tender. They can be legally refused; only notes and coins are legal tender.

Visual memory: A shopkeeper tries to push away a Rs.10 coin, but a giant policeman slams a law book on the counter and roars "YOU MUST ACCEPT IT!"

The coin wears a tiny crown and smirks.

Image idea: Bold text "LEGAL TENDER" over a smiling coin holding a court gavel, with a shopkeeper forced to accept it under a big "LAW" stamp; clean background.

Hook: LEGAL TENDER = coin with a gavel. By law it CANNOT be refused for payment.

DO NOT CONFUSE: vs Fiat Money. Legal tender is about compulsory acceptance in payment; fiat money is about value created by government order.

Example: Some Tamil Nadu shops once refused Rs.10 coins on rumours, but RBI clarified the coins remain valid legal tender and cannot be refused.

Simple meaning: The total money available with the public at a point of time.

Technical definition: The stock of money held by the public (currency plus bank deposits) at a given point of time; measured by RBI through the aggregates M0, M1, M2 and M3.

TNPSC key point: Money supply is a STOCK concept (measured at a point of time) and excludes money held by the government and banks themselves.

Visual memory: A giant transparent water tank labelled "ECONOMY" filled with floating notes and coins; RBI stands on top with a measuring stick shouting "This much money exists TODAY!"

Image idea: Large bold text "MONEY SUPPLY" above a huge glass tank brimming with currency notes and coins, an RBI dipstick measuring the level; clean background.

Hook: MONEY SUPPLY = tank of money with a dipstick

total money with the public at one point of time.

Example: The cash in a Madurai family's purse plus their bank deposits are part of India's money supply; RBI publishes these figures regularly.

Narrow Money (M1)

ADVANCED

Simple meaning: The most liquid money – cash plus money you can withdraw anytime.

Technical definition: M1 = Currency with the public + Demand deposits with banks + Other deposits with RBI. It is the most liquid measure of money supply.

TNPSC key point: M1 includes DEMAND deposits only
Time deposits (fixed deposits) are NOT part of M1.

Visual memory: A skinny sprinter named "M1" wearing running shoes made of currency notes dashes out of a bank instantly – no locks, no waiting, cash in hand in one second.

Image idea: Bold text "NARROW MONEY M1" above a super-thin lightning-fast runner made of currency notes sprinting out of a bank door; clean background.

Hook: M1 = skinny sprinter – narrow, fastest, most liquid money (currency + demand deposits).

DO NOT CONFUSE: vs Broad Money (M3)

M1 is currency + demand deposits; M3 adds TIME deposits on top of M1.

Example: Cash in a Coimbatore trader's drawer plus the balance in his current and savings accounts counts in M1; his 5-year fixed deposit does not.

Broad Money (M3)

ADVANCED

Simple meaning: All of M1 plus fixed deposits the widest common measure of money.

Technical definition: $M3 = M1 + \text{Time deposits with banks}$. It is the most widely used measure of money supply in India, also called aggregate monetary resources.

TNPSC key point: $M3 = M1 + \text{TIME deposits}$; it is the measure RBI most commonly uses to track money supply.

Visual memory: A giant sumo wrestler named "M3" his body is the skinny M1 sprinter swallowed inside a huge belly stuffed with fixed deposit certificates. Broad, heavy, slow but mighty.

Image idea: Bold text "BROAD MONEY M3" above an enormous smiling sumo wrestler whose belly is stuffed with fixed deposit certificates and currency notes; clean background.

Hook: $M3 = \text{broad sumo with FD belly}$ M1 plus time deposits, the broadest common measure.

DO NOT CONFUSE: vs Narrow Money (M1)

M3 includes time (fixed) deposits; M1 stops at currency + demand deposits.

Example: A Trichy teacher's cash, savings account AND her 3-year fixed deposit all sit inside M3.

High-Powered Money (M0)

ADVANCED

Simple meaning: The base money created directly by the RBI.

Technical definition: $M0$ (Reserve Money / Monetary Base) = Currency in circulation + Bankers' deposits with RBI + Other deposits with RBI. It is the base on which banks create credit.

TNPSC key point: $M0$ is called HIGH-POWERED because every rupee of it supports the creation of many rupees of bank money (via the money multiplier).

Visual memory: One glowing super-rupee wearing a superhero cape flies out of the RBI tower; wherever it lands, it clones itself into ten ordinary rupees

one hero note powering an army.

Image idea: Bold text "HIGH-POWERED MONEY $M0$ " above a single glowing superhero rupee note with a cape flying from a bank tower, clone notes multiplying below it; clean background.

Hook: $M0$ = superhero rupee cloning itself ∞ times, ₹ RBI base money that powers all money creation.

Example: The notes printed by RBI plus the balances Indian banks keep with RBI together form India's reserve money ($M0$).

Velocity of Money

ADVANCED

Simple meaning: How many times the same rupee changes hands in a year.

Technical definition: The average number of times a unit of money is used for transactions in a period; in Fisher's equation of exchange $MV = PT$, V is the velocity of money.

TNPSC key point: Fisher's equation $MV = PT$. Higher velocity with the same money supply can push prices up.

Visual memory: One dizzy Rs.100 note strapped into rocket skates zooms from a tea shop to a vegetable cart to a bus conductor to a barber – four hands in one morning, screaming "I never rest!"

Image idea: Bold text "VELOCITY OF MONEY" above one Rs.100 note on rocket skates leaving a blazing speed trail through many outstretched hands; clean background.

Hook: VELOCITY = rocket-skate note racing hand to hand
number of times money circulates.

Example: In Koyambedu market, Chennai, the same Rs.100 note may pass through a flower seller, a porter and a tea stall in a single day – that speed is velocity.

Simple meaning: Banks turn one deposit into many loans, creating new money.

Technical definition: The process by which commercial banks expand money supply by lending out deposits repeatedly, keeping only a fraction as reserves (limited by CRR/SLR).

TNPSC key point: Commercial banks are not the mint. They create most of the money in the economy, through repeated lending of deposits.

Visual memory: A magician banker puts ONE note into a top hat, waves his wand, and pulls out a whole chain of notes tied together like magic handkerchiefs.

the crowd gasps as one deposit becomes a parade of loans.

Image idea: Bold text "CREDIT CREATION" above a magician banker pulling an endless chain of currency notes out of a bank-shaped top hat; clean background.

Hook: CREDIT CREATION = magician's hat trick. Banks multiply one deposit into many loans.

Example: A Rs.1 lakh deposit in an SBI branch in Salem is largely lent to a borrower, redeposited elsewhere, lent again. The banking system ends up creating several lakhs of credit.

Money Multiplier

ADVANCED

Simple meaning: The number showing how much total money one rupee of base money creates.

Technical definition: The ratio of broad money to base money ($M3/M0$); it rises when the reserve ratio and the public's cash holding fall.

TNPSC key point: Money multiplier = $M3$ divided by $M0$; a higher CRR LOWERS the money multiplier.

Visual memory: A photocopy machine labelled "BANKING SYSTEM" feed in one glowing RBI note and copies shoot out like a fountain; an angry CRR guard keeps snatching some copies away to shrink the pile.

Image idea: Bold text "MONEY MULTIPLIER" above a giant photocopier spraying out a fountain of currency notes from one inserted note; clean background.

Hook: MONEY MULTIPLIER = note photocopier how many times base money multiplies into total money.

DO NOT CONFUSE: vs Multiplier Effect money multiplier is about banks multiplying BASE MONEY; the Keynesian multiplier effect is about spending multiplying INCOME.

Example: If India's $M3$ is about five times its $M0$, the money multiplier is about 5 each RBI rupee supports roughly five rupees of total money.

Simple meaning: The government cancels the legal value of existing currency notes.

Technical definition: Withdrawal of the legal tender status of specified currency notes by the government, usually to curb black money, fake currency and illegal transactions.

TNPSC key point: On November 8, 2016, Rs.500 and Rs.1000 notes lost legal tender status; earlier demonetisations happened in 1946 and 1978.

Visual memory: At midnight, a giant hand flips a switch and thousands of Rs.500 and Rs.1000 notes instantly turn into plain waste paper, fluttering down like dead leaves while wallets across the country cry loudly.

Image idea: Bold text "DEMONETISATION" above a huge Rs.500 note stamped "CANCELLED" crumbling into paper scraps under a midnight clock striking 12; clean background.

Hook: DEMONETISATION = midnight "CANCELLED" stamp

₹ notes stripped of legal tender status.

Example: After November 8, 2016, long queues formed outside banks across Tamil Nadu as people exchanged their old Rs.500 and Rs.1000 notes.

Scheduled Bank**TOUGH**

Simple meaning: A bank officially listed in the RBI's special schedule.

Technical definition: A bank included in the Second Schedule of the RBI Act, 1934, satisfying conditions like minimum paid-up capital and reserves; it becomes eligible for RBI facilities such as borrowing at the bank rate.

TNPSC key point: "Scheduled" means listed in the SECOND SCHEDULE of the RBI Act, 1934. This is the classic MCQ answer.

Visual memory: A velvet-rope VIP list outside the RBI palace; a proud bank in a suit shows its name printed in a giant golden book titled "SECOND SCHEDULE" and the guard bows and opens the treasury door.

Image idea: Bold text "SCHEDULED BANK" above a bank building holding a golden VIP list card stamped "2nd SCHEDULE, RBI ACT 1934" at a velvet-rope entrance; clean background.

Hook: SCHEDULED BANK = name on RBI's golden VIP list listed in Second Schedule, RBI Act 1934.

Example: City Union Bank, headquartered in Kumbakonam, Tamil Nadu, is a scheduled commercial bank listed in the Second Schedule.

Regional Rural Bank (RRB)

MODERATE

Simple meaning: A bank created specially to serve villages and farmers.

Technical definition: Banks set up under the RRB Act, 1976 (first RRB in 1975) to provide credit to small farmers, artisans and rural workers; owned by Centre (50%), sponsor bank (35%) and state government (15%).

TNPSC key point: RRB ownership ratio is 50:35:15

Centre : Sponsor Bank : State Government; first RRB, Prathama Bank, opened on October 2, 1975.

Visual memory: A bank building wearing a farmer's turban rides a bullock cart into a village, throwing loan files like flower garlands to cheering farmers, while three parents (Centre, sponsor bank, state) hold it up from below.

Image idea: Bold text "REGIONAL RURAL BANK" above a cheerful bank building with a farmer's turban riding a bullock cart through green fields; clean background.

Hook: RRB = bank on a bullock cart
rural bank owned 50:35:15 by Centre, sponsor bank and state.

Example: Tamil Nadu Grama Bank (headquartered in Salem, sponsored by Indian Bank) serves farmers across Tamil Nadu after the 2019 merger of Pandyan Grama Bank and Pallavan Grama Bank.

Non-Banking Financial Company (NBFC)**TOUGH**

Simple meaning: A finance company that lends like a bank but is not a bank.

Technical definition: A company registered under the Companies Act doing financial business (loans, leasing, investments) but which cannot accept demand deposits, cannot issue cheques on itself, and is outside the payment and settlement system; regulated by RBI.

TNPSC key point: NBFCs CANNOT accept demand deposits and their depositors get NO DICGC insurance. The two classic differences from banks.

Visual memory: A building shaped like a bank but wearing a mask and a name tag "NOT A BANK". It happily hands out loan bags, but when a customer tries to open a savings account, a huge red buzzer sounds "DENIED!"

Image idea: Bold text "NBFC" above a bank-lookalike building wearing a party mask, giving out loan bags with one hand while blocking a cheque book with the other; clean background.

Hook: NBFC = masked bank-lookalike. NBFC lends like a bank but no demand deposits, no cheques.

DO NOT CONFUSE: vs Bank. A bank accepts demand deposits and issues cheques; an NBFC can do neither.

Example: Sundaram Finance and Shriram Finance, both headquartered in Chennai, are famous NBFCs financing trucks and vehicles across India.

Simple meaning: A small bank that can take deposits and make payments but cannot give loans.

Technical definition: A differentiated bank (based on the Nachiket Mor Committee) that accepts deposits up to a capped amount per customer (Rs.1 lakh, later raised to Rs.2 lakh) and offers payment/remittance services, but CANNOT lend or issue credit cards.

TNPSC key point: Payments banks CANNOT LEND and have a deposit cap per customer; Airtel Payments Bank (2017) was India's first.

Visual memory: A tiny piggy-bank-shaped bank with its mouth wide open for deposits, but its hands are tied behind its back with rope labelled "NO LOANS"

a borrower begs on his knees and the piggy just shakes its head sadly.

Image idea: Bold text "PAYMENTS BANK" above a cute piggy bank accepting coins with hands tied behind its back by a rope tagged "NO LOANS"; clean background.

Hook: PAYMENTS BANK = piggy with tied hands takes deposits and pays, but can never lend.

DO NOT CONFUSE: vs Small Finance Bank

a payments bank cannot lend and has a deposit cap; a small finance bank CAN lend.

Example: India Post Payments Bank operates through post offices in Tamil Nadu villages, letting people deposit and transfer money without any lending.

Small Finance Bank**TOUGH**

Simple meaning: A full bank in miniature it takes deposits AND lends, mainly to small people.

Technical definition: A differentiated bank licensed to accept deposits and lend, with focus on small farmers, micro industries and unorganised sector; a high share of its credit must go to priority sectors and small-ticket loans.

TNPSC key point: Unlike a payments bank, a small finance bank CAN LEND and must direct 75% of its credit to priority sectors.

Visual memory: A pocket-sized bank superhero with a tiny cape flies through a village street handing micro-loan envelopes to a tailor, a flower seller and a tea vendor small hero, real lending power.

Image idea: Bold text "SMALL FINANCE BANK" above a mini caped bank building handing tiny loan envelopes to small street vendors; clean background.

Hook: SMALL FINANCE BANK = mini hero giving micro-loans small bank that CAN lend to small borrowers.

DO NOT CONFUSE: vs Payments Bank small finance banks lend; payments banks cannot lend at all.

Example: Equitas Small Finance Bank, headquartered in Chennai, lends to small traders and micro-entrepreneurs across Tamil Nadu.

Non-Performing Asset (NPA)

MODERATE

Simple meaning: A loan on which the borrower has stopped paying.

Technical definition: A loan or advance whose interest or principal remains overdue for more than 90 days; classified further as substandard, doubtful and loss assets.

TNPSC key point: The 90-DAY overdue rule defines an NPA

remember "90 days = NPA".

Visual memory: A loan file lies in a hospital bed on a drip, heart monitor flat-lining, while a doctor-banker checks a calendar showing "91 DAYS NO PAYMENT" and stamps the file "NON-PERFORMING".

Image idea: Bold text "NPA" above a sick loan file lying in a hospital bed with a flat-line monitor and a calendar showing "90+ DAYS"; clean background.

Hook: NPA = loan in a hospital bed. A loan unpaid beyond 90 days stops "performing".

Example: If a Chennai businessman's bank loan EMIs stay unpaid for over 90 days, the bank must classify that loan as an NPA in its books.

Simple meaning: Global rules telling banks how much capital cushion to keep.

Technical definition: International banking regulations on capital adequacy, stress testing and liquidity framed by the Basel Committee on Banking Supervision under the Bank for International Settlements (BIS), Basel, Switzerland; Basel III is the latest set.

TNPSC key point: Basel norms come from the BIS Basel Committee (Switzerland); they set CAPITAL ADEQUACY requirements so banks can absorb losses.

Visual memory: A Swiss referee with a whistle makes every bank wear a giant inflatable safety cushion strapped to its belly before entering the "risk boxing ring" no cushion, no entry!

Image idea: Bold text "BASEL NORMS" above a bank building wearing a huge inflatable safety cushion, a Swiss referee measuring the cushion with a tape; clean background.

Hook: BASEL = Swiss referee's safety cushion global capital rules so banks survive shocks.

Example: RBI requires Indian banks to maintain a capital adequacy ratio of 9%, stricter than the Basel minimum of 8%.

Simple meaning: Panicked depositors rush to withdraw all their money at once.

Technical definition: A situation where a large number of depositors, fearing bank failure, simultaneously withdraw funds, which can itself make the bank collapse since banks hold only a fraction of deposits as cash.

TNPSC key point: A bank run is driven by PANIC and fractional reserves. Even a healthy bank can fail if all depositors demand cash together.

Visual memory: Thousands of depositors in running shoes sprint like an Olympic marathon toward one tiny bank door, while the bank building sweats and shrinks because its vault holds only a small bag of cash.

Image idea: Bold text "BANK RUN" above a stampede of panicked people racing toward a tiny sweating bank clutching an almost-empty cash bag; clean background.

Hook: BANK RUN = marathon stampede at the bank door
mass panic withdrawal that can sink a bank.

Example: In 2020, depositors of Karur-based Lakshmi Vilas Bank in Tamil Nadu rushed to withdraw funds amid its crisis before it was merged with DBS Bank India.

Deposit Insurance (DICGC)**TOUGH**

Simple meaning: Insurance that protects your bank deposits if the bank fails.

Technical definition: The Deposit Insurance and Credit Guarantee Corporation (DICGC), a wholly owned subsidiary of RBI, insures bank deposits up to Rs.5 lakh per depositor per bank (principal plus interest); the premium is paid by banks.

TNPSC key point: DICGC cover is Rs.5 LAKH per depositor per bank (raised from Rs.1 lakh in 2020) and DICGC is a subsidiary of RBI.

Visual memory: A giant umbrella stamped "Rs.5 LAKH" opens over a crowd of depositors as a bank building crashes down in flames behind them everyone under the umbrella stays dry and smiling.

Image idea: Bold text "DICGC" above a huge umbrella marked "Rs.5 LAKH" shielding happy depositors from a collapsing bank; clean background.

Hook: DICGC = Rs.5 lakh umbrella RBI's arm insures each depositor up to Rs.5 lakh per bank.

Example: When a cooperative bank fails, a Tamil Nadu depositor with Rs.8 lakh in it gets only Rs.5 lakh back through DICGC insurance.

Priority Sector Lending

ADVANCED

Simple meaning: Banks are forced to lend a fixed share to farmers, small businesses and the weak.

Technical definition: RBI mandate requiring banks to lend a minimum share of credit to priority sectors agriculture, MSMEs, education, housing, export credit and weaker sections; 40% of Adjusted Net Bank Credit (ANBC) for commercial banks.

TNPSC key point: PSL target is 40% of ANBC for banks, with a sub-target of 18% for agriculture.

Visual memory: A strict RBI teacher slices a giant loan pizza and forces the greedy bank to hand over 40% of the slices to a queue of farmers, weavers and students before it may eat the rest.

Image idea: Bold text "PRIORITY SECTOR LENDING" above a giant loan pizza with a 40% portion marked and pushed toward a farmer with a plough; clean background.

Hook: PSL = compulsory 40% pizza slice banks must lend 40% of ANBC to priority sectors.

Example: Crop loans to paddy farmers in the Thanjavur delta and loans to Tirupur garment MSMEs both count toward banks' priority sector targets.

Simple meaning: RBI's control of money supply and interest rates.

Technical definition: The policy by which the central bank (RBI) manages money supply, credit and interest rates using tools like repo rate, CRR, SLR and OMO to achieve price stability and growth.

TNPSC key point: Monetary policy is made by the RBI (not the government); its primary objective in India is PRICE STABILITY while keeping growth in mind.

Visual memory: The RBI Governor stands at a giant water valve labelled "MONEY PIPE" turning it tight when the price balloon swells too big, opening it wide when the economy engine sputters dry.

Image idea: Bold text "MONETARY POLICY" above an RBI figure turning a giant valve on a pipe gushing currency notes; clean background.

Hook: MONETARY POLICY = RBI's money valve central bank controls money supply and rates.

DO NOT CONFUSE: vs Fiscal Policy
monetary policy is RBI's money and interest rate control; fiscal policy is the GOVERNMENT's tax and spending decisions.

Example: When RBI changes the repo rate, home loan EMIs of families in Chennai and Coimbatore move up or down that is monetary policy at work.

Simple meaning: The rate at which RBI lends short-term money to banks.

Technical definition: The rate at which RBI LENDS short-term funds to commercial banks against the collateral of government securities under a repurchase agreement; it is India's key policy rate.

TNPSC key point: Repo = RBI LENDS to banks (with G-Sec collateral); raising repo makes loans costlier and fights inflation. [CURRENT RATE ₹ 6.5% - VERIFY SEPARATELY]

Visual memory: A thirsty bank kneels before the giant RBI water tanker holding out its bucket; RBI pours in money-water but grabs the bank's G-Sec necklace as security and winks "return it with interest!"

Image idea: Bold text "REPO RATE" above a giant RBI tanker pouring money-water into a small bank's bucket while holding a bond certificate as pawn; clean background.

Hook: REPO = RBI pouring money INTO the bank's bucket
Repo, the rate at which RBI lends to banks.

DO NOT CONFUSE: vs Reverse Repo Rate

in repo, RBI LENDS to banks; in reverse repo, RBI BORROWS from banks and absorbs liquidity.

Example: When RBI cuts the repo rate, banks can cut home and vehicle loan rates for customers across Tamil Nadu.

Reverse Repo Rate

MODERATE

Simple meaning: The rate RBI pays when banks park their extra money with RBI.

Technical definition: The rate at which RBI BORROWS short-term funds from commercial banks; it absorbs excess liquidity from the banking system and is always kept below the repo rate.

TNPSC key point: Reverse repo = RBI BORROWS from banks
it is a liquidity ABSORPTION tool, and it is lower than the repo rate.

Visual memory: Now the roles flip the fat bank pours its extra money-water back INTO the RBI tanker, and RBI sheepishly hands the bank a small interest lollipop for safekeeping the flood.

Image idea: Bold text "REVERSE REPO RATE" above a bank pouring money-water back into the RBI tanker, with big reversed arrows showing the flow toward RBI; clean background.

Hook: REVERSE REPO = money flowing back INTO RBI
RBI borrows from banks and soaks up liquidity.

DO NOT CONFUSE: vs Repo Rate
reverse repo is RBI BORROWING (absorbing liquidity); repo is RBI LENDING (injecting liquidity).

Example: When Tamil Nadu banks have surplus funds with no borrowers, they park the money with RBI overnight and earn the reverse repo rate.

Cash Reserve Ratio (CRR)**TOUGH**

Simple meaning: The share of deposits banks must keep as cash with RBI.

Technical definition: The percentage of a bank's Net Demand and Time Liabilities (NDTL) that must be maintained as cash balances WITH THE RBI; banks earn NO interest on CRR balances.

TNPSC key point: CRR is kept WITH RBI and earns NO INTEREST
raising CRR sucks money out of the system instantly.

Visual memory: RBI as a stern mother locks a slice of the bank's pocket money inside HER OWN iron safe. The bank cries "at least pay me interest!" and RBI replies with a flat "NO."

Image idea: Bold text "CRR" above an RBI iron safe swallowing a slice of a bank's cash pile, with a big "0% INTEREST" tag hanging on the safe; clean background.

Hook: CRR = cash locked in RBI's safe at 0% interest

compulsory cash reserve kept with RBI.

DO NOT CONFUSE: vs SLR CRR is CASH kept WITH RBI (no interest); SLR is liquid assets like G-Secs kept with the BANK ITSELF.

Example: For every Rs.100 of deposits an Indian Overseas Bank branch in Chennai collects, a fixed CRR percentage must sit idle as cash with RBI.

Statutory Liquidity Ratio (SLR)**TOUGH**

Simple meaning: The share of deposits banks must hold in safe liquid assets with themselves.

Technical definition: The percentage of NDTL that banks must maintain in specified liquid assets – cash, gold and approved government securities held WITH THE BANK ITSELF (not with RBI).

TNPSC key point: SLR assets (cash, gold, G-Secs) stay in the BANK'S OWN vault unlike CRR, which goes to RBI.

Visual memory: The bank keeps a glittering treasure shelf in its OWN locker room – gold bars, G-Sec scrolls and cash stacks with RBI peeking through the window with binoculars shouting "keep that shelf full!"

Image idea: Bold text "SLR" above a bank's own vault shelf displaying gold bars, government bond scrolls and cash, with an inspector's checklist beside it; clean background.

Hook: SLR = treasure shelf in the bank's OWN vault – liquid assets (gold, G-Secs) held by the bank itself.

DO NOT CONFUSE: vs CRR – SLR is liquid assets (gold, G-Secs, cash) with the bank ITSELF; CRR is pure cash parked WITH RBI earning no interest.

Example: A Tamil Nadu bank branch's investment in central and state government securities helps its head office meet the SLR requirement.

Simple meaning: The rate at which RBI lends long-term money to banks without security.

Technical definition: The rate at which RBI lends LONG-TERM funds to banks WITHOUT collateral; it is also used as a penal rate when banks fail to meet CRR/SLR, and is aligned with the MSF rate.

TNPSC key point: Bank rate = long-term, NO collateral, used as a PENAL rate. Repo is short-term WITH collateral.

Visual memory: RBI as an old-fashioned moneylender hands a bank a big long-term loan sack purely on trust. No pledge, no necklace but also carries a cane labelled "PENALTY" to whack banks that break CRR/SLR rules.

Image idea: Bold text "BANK RATE" above a stern RBI moneylender giving a long loan sack with one hand and holding a penalty cane in the other, no pledge on the table; clean background.

Hook: BANK RATE = trust loan plus penalty cane. RBI's long-term, no-collateral, penal lending rate.

DO NOT CONFUSE: vs Repo Rate. Bank rate is long-term lending with NO collateral (and penal in nature); repo is short-term lending AGAINST G-Sec collateral.

Example: If an Indian bank falls short of its SLR requirement, RBI charges it a penalty linked to the bank rate.

Open Market Operations (OMO)

Simple meaning: RBI buys or sells government securities to control money in the market.

Technical definition: The purchase and sale of government securities by RBI in the open market. buying G-Secs INJECTS liquidity, selling G-Secs ABSORBS liquidity.

TNPSC key point: OMO buy = money flows INTO the economy; OMO sell = money is SUCKED OUT. a quantitative tool of monetary policy.

Visual memory: RBI runs a noisy street bazaar stall shouting "BONDS FOR SALE! CASH FOR BONDS!" when it buys bonds it showers cash on the crowd; when it sells, it vacuums cash back with a giant vacuum cleaner.

Image idea: Bold text "OPEN MARKET OPERATIONS" above an RBI bazaar stall trading bond scrolls for cash, with a shower of notes on one side and a vacuum sucking notes on the other; clean background.

Hook: OMO = RBI's bond bazaar. buying G-Secs injects money, selling G-Secs absorbs it.

Example: When festival-season cash demand tightens liquidity, RBI buys government securities through OMOs to release money into Indian banks.

Marginal Standing Facility (MSF)

ADVANCED

Simple meaning: The emergency overnight window where banks borrow from RBI at a costlier rate.

Technical definition: A facility (introduced in 2011) under which scheduled banks borrow OVERNIGHT funds from RBI at a rate ABOVE the repo rate, and may even dip into their SLR holdings up to a limit to pledge securities.

TNPSC key point: MSF rate is ABOVE the repo rate

it is the EMERGENCY overnight borrowing window where banks can dip into SLR.

Visual memory: At 2 a.m., a desperate bank bangs on RBI's back door marked "EMERGENCY EXIT EXTRA CHARGE". RBI opens it in pyjamas, hands over a cash bag, but bills a fat premium above the normal repo price.

Image idea: Bold text "MSF" above a panicked bank knocking at a glowing red "EMERGENCY" door of RBI at night, price tag showing "REPO + extra"; clean background.

Hook: MSF = RBI's costly emergency back door overnight borrowing at a rate above repo.

DO NOT CONFUSE: vs Repo Rate MSF is the emergency overnight window priced ABOVE the repo rate; repo is the normal short-term borrowing route.

Example: An Indian bank facing a sudden overnight cash shortfall after a big withdrawal day borrows under MSF by pledging securities from its SLR stock.

Monetary Policy Committee (MPC)**TOUGH**

Simple meaning: The six-member team that fixes India's policy interest rate.

Technical definition: A statutory six-member body (under the amended RBI Act, set up in 2016) that sets the repo rate to keep CPI inflation at 4% with a tolerance band of plus or minus 2%; three members from RBI and three appointed by the government.

TNPSC key point: MPC = 6 members (3 RBI + 3 government), RBI Governor has the CASTING vote, target = CPI 4% plus/minus 2%.

Visual memory: Six judges sit at a long table. Three wearing RBI badges, three wearing government sashes. Voting 3-3 on a giant thermometer marked "CPI 4%", until the Governor dramatically slams a golden casting-vote gavel.

Image idea: Bold text "MPC" above six judges at a bench split 3-3, the middle one raising a golden gavel, a big thermometer behind them marked "4% +/- 2%"; clean background.

Hook: MPC = six judges and one golden gavel. 3 RBI + 3 government members target CPI 4% +/- 2%, Governor breaks ties.

Example: The MPC's bi-monthly repo rate decisions in Mumbai decide whether loan EMIs rise or fall for households across Tamil Nadu.

Liquidity Adjustment Facility (LAF)**ADVANCED**

Simple meaning: RBI's daily window to lend or absorb money using repo and reverse repo.

Technical definition: The framework (introduced in 2000, following the Narasimham Committee) through which RBI manages day-to-day liquidity via repo (injection) and reverse repo (absorption) auctions against government securities.

TNPSC key point: LAF is the UMBRELLA that contains both repo and reverse repo operations. RBI's daily liquidity fine-tuning tool.

Visual memory: RBI stands at a two-way petrol pump: one nozzle labelled "REPO" fills empty bank cars with money-fuel, the other labelled "REVERSE REPO" sucks extra fuel back out of overflowing tanks, adjusting every single day.

Image idea: Bold text "LAF" above a two-nozzle fuel pump, one nozzle pumping cash into a bank-shaped car and the other pulling cash out of a second one; clean background.

Hook: LAF = two-way money pump. The repo/reverse-repo window that adjusts daily liquidity.

Example: Every working day, Indian banks either borrow from RBI or park surplus funds with it through the LAF window, smoothing cash flows in the system.

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Quantitative Easing (QE)

ADVANCED

Simple meaning: A central bank prints money on a massive scale to buy bonds and flood the economy.

Technical definition: An UNCONVENTIONAL monetary policy in which a central bank makes large-scale purchases of government and other securities to inject liquidity, used when interest rates are already near zero and normal tools fail.

TNPSC key point: QE is used when policy rates are near ZERO famously by the US Federal Reserve after the 2008 crisis.

Visual memory: A central bank drives a monster truck with a money cannon on top, blasting oceans of freshly created cash at mountains of bonds and swallowing them whole. Not a small purchase, a full FLOOD.

Image idea: Bold text "QUANTITATIVE EASING" above a central bank building firing a giant money cannon at a mountain of bonds, cash flooding the whole frame; clean background.

Hook: QE = money cannon flooding the bond mountain
massive unconventional asset buying near zero rates.

DO NOT CONFUSE: vs OMO is routine, normal-scale buying/selling of G-Secs; QE is LARGE-SCALE, unconventional purchasing when normal policy is exhausted.

Example: RBI's G-SAP (G-Sec Acquisition Programme) of 2021, with pre-announced large-scale bond purchases during the pandemic, was a QE-style operation.

Liquidity Trap

ADVANCED

Simple meaning: Interest rates are near zero, yet people just hoard cash. Monetary policy stops working.

Technical definition: A Keynesian situation where interest rates are so low that people prefer holding cash to bonds, making further monetary expansion ineffective in stimulating demand.

TNPSC key point: Concept given by KEYNES. In a liquidity trap, monetary policy fails and FISCAL policy must do the lifting.

Visual memory: The central bank pours buckets of money into a giant pit, but inside the pit people sit on cash mattresses, arms crossed, refusing to spend. The money just piles up in the trap, going nowhere.

Image idea: Bold text "LIQUIDITY TRAP" above a deep pit filled with hoarded cash and people sleeping on money mattresses while more notes rain in uselessly; clean background.

Hook: LIQUIDITY TRAP = cash pit where money sleeps. Near-zero rates, hoarding, monetary policy paralysed.

Example: Japan's economy in the 1990s-2000s is the textbook case; Indian exam answers cite it as the classic liquidity trap, with Keynes as the source of the idea.

Monetary Transmission

ADVANCED

Simple meaning: How an RBI rate change actually reaches your loan EMI.

Technical definition: The process by which changes in the policy (repo) rate pass through to banks' lending and deposit rates and finally to spending, investment and prices in the economy.

TNPSC key point: To speed up weak transmission, RBI made banks link loan rates to EXTERNAL BENCHMARKS like the repo rate (from October 2019).

Visual memory: RBI drops a rate-cut ball into a giant marble-run machine it rolls through pipes labelled "BANKS", "LOANS", "EMI" but lazy banks put speed-breakers in the pipes so the ball crawls to the customer.

Image idea: Bold text "MONETARY TRANSMISSION" above a marble-run pipeline from an RBI tower down to a tiny house labelled "EMI", with a ball rolling through bank-shaped checkpoints; clean background.

Hook: TRANSMISSION = rate-cut ball rolling down the pipeline as policy rate changes travelling to real loan rates.

Example: When RBI cuts the repo rate, a Coimbatore home loan on a repo-linked rate gets cheaper within months that pass-through is monetary transmission.

Simple meaning: The profit the government/RBI makes just by printing money.

Technical definition: The profit earned by the currency-issuing authority, equal to the face value of money issued minus the cost of producing it.

TNPSC key point: Seigniorage = FACE VALUE minus PRINTING COST
the issuer's profit from creating currency.

Visual memory: A printing press gobbles a few rupees' worth of paper and ink at one end and spits out crisp Rs.500 notes at the other the mint owner dances on a hill of pure profit between the two ends.

Image idea: Bold text "SEIGNIORAGE" above a money printing press with cheap paper entering one side, Rs.500 notes exiting the other, and a glowing profit pile in the middle; clean background.

Hook: SEIGNIORAGE = printing press profit face value of money minus its production cost.

Example: If printing a Rs.500 note costs only a few rupees, nearly the whole difference is seigniorage income for the issuing authority in India.

Sterilisation (Monetary)

ADVANCED

Simple meaning: RBI cancels out the extra money created when it buys foreign currency.

Technical definition: Central bank operations (like selling government securities) that offset the increase in domestic money supply caused by its foreign exchange purchases, keeping liquidity unchanged.

TNPSC key point: India's Market Stabilisation Scheme (MSS, 2004) was created precisely to STERILISE liquidity from heavy dollar inflows.

Visual memory: RBI buys a flood of dollars with one hand, spraying rupees everywhere $\text{₹} \rightarrow \text{₹}$ then instantly mops up every sprayed rupee with a giant sponge labelled "SELL BONDS", leaving the floor exactly as dry as before.

Image idea: Bold text "STERILISATION" above RBI spraying rupees while buying dollar bags with one hand and mopping the same rupees back with a giant bond-sponge in the other; clean background.

Hook: STERILISATION = spray rupees, sponge them back

$\text{₹} \rightarrow \text{₹}$ neutralising the liquidity from forex buying.

Example: When export dollars flooded in during the mid-2000s, RBI sold MSS bonds to absorb the rupees it had created buying those dollars.

Helicopter Money

ADVANCED

Simple meaning: The central bank gives free money directly to people never to be repaid.

Technical definition: An extreme, unconventional policy where newly created money is distributed directly to the public or government with NO repayment obligation; the idea was coined by Milton Friedman (1969).

TNPSC key point: Helicopter money is FREE and IRREVERSIBLE (no repayment); QE, by contrast, is an asset purchase that can be unwound.

Visual memory: A helicopter with the central bank's logo hovers over a city and dumps rainbow showers of cash onto cheering crowds no loan forms, no EMIs, no returning it, ever.

Image idea: Bold text "HELICOPTER MONEY" above a helicopter showering currency notes over a cheering crowd with open umbrellas turned upside down to catch cash; clean background.

Hook: HELICOPTER MONEY = cash rain from the sky
free money to the public, nothing to repay.

DO NOT CONFUSE: vs QE helicopter money is FREE money with no repayment; QE is the central bank BUYING assets (bonds), which it can later sell back.

Example: During the 2020 pandemic, some Indian economists debated helicopter money direct RBI-financed cash transfers to citizens though India did not adopt it.

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Lender of Last Resort

TOUGH

Simple meaning: RBI rescues banks with emergency loans when no one else will lend.

Technical definition: The central bank's function of providing emergency liquidity to solvent but cash-strapped banks facing crisis, when they cannot raise funds from any other source, to protect the financial system.

TNPSC key point: Lender of last resort is a CLASSIC FUNCTION OF RBI. It prevents bank failures from becoming system-wide collapses.

Visual memory: A drowning bank waves desperately in a stormy sea while every other lender's boat sails away; then a giant RBI lifeguard in a red cape dives in, drags the bank ashore and pumps cash into its lungs.

Image idea: Bold text "LENDER OF LAST RESORT" above an RBI lifeguard rescuing a drowning bank building from stormy waves with a cash-filled life ring; clean background.

Hook: LENDER OF LAST RESORT = RBI lifeguard's final rescue. RBI provides emergency loans when all doors are shut.

Example: During the 2020 crises at Yes Bank and Karur-based Lakshmi Vilas Bank, RBI stepped in with liquidity support and rescue plans as the system's last-resort backstop.

Ways and Means Advances (WMA)

ADVANCED

Simple meaning: Short-term RBI advances that help governments pay bills until revenue arrives.

Technical definition: Temporary advances given by RBI to the Central and State governments (under Section 17(5) of the RBI Act) to bridge short-term mismatches between receipts and expenditure, normally repayable within 90 days.

TNPSC key point: WMA = RBI's SHORT-TERM advance to GOVERNMENTS (Centre and States) not a loan to banks, and not long-term borrowing.

Visual memory: The government stands at a salary-day ATM labelled "RBI" with an empty wallet crying "taxes come next month!" RBI slides out a bridge-shaped cash advance stamped "RETURN IN 90 DAYS".

Image idea: Bold text "WMA" above a small cash bridge stretching from an RBI tower to a government building over a gap labelled "till taxes arrive"; clean background.

Hook: WMA = RBI's cash bridge to the government short-term advance until revenues flow in.

Example: The Tamil Nadu government, like other states, uses WMA from RBI to manage weeks when salary payments fall due before tax collections arrive.

Simple meaning: RBI buys long-term bonds and sells short-term bonds at the same time.

Technical definition: A special OMO in which the central bank SIMULTANEOUSLY buys long-term government securities and sells short-term ones, lowering long-term yields without changing total liquidity.

TNPSC key point: Operation Twist = BUY LONG, SELL SHORT simultaneously. It twists the yield curve; RBI first used it in December 2019.

Visual memory: RBI as a dance instructor doing "the twist" with two bond partners at once. Pulling the tall LONG-term bond close (buying) while spinning the short stubby bond away (selling), twisting the whole yield curve like a dance ribbon.

Image idea: Bold text "OPERATION TWIST" above a dancer twisting a long ribbon-like yield curve, pulling its far end down while flicking the near end up; clean background.

Hook: OPERATION TWIST = twisting the yield ribbon. Buy long-term G-Secs, sell short-term, in one move.

Example: In December 2019, RBI bought 10-year G-Secs and sold short-term securities on the same day to bring down long-term borrowing costs in India.

Inflation-Indexed Bonds

ADVANCED

Simple meaning: Bonds whose value rises with inflation, protecting your real returns.

Technical definition: Government bonds whose principal (and hence interest) is adjusted according to an inflation index, so investors' returns are protected against rising prices; India issued WPI-linked IIBs in 2013 and later CPI-linked bonds for retail savers.

TNPSC key point: IIBs protect the REAL return of investors. The principal is indexed to inflation (2013 issue was WPI-linked).

Visual memory: A bond certificate wearing an inflatable life jacket floats on a rising flood of prices. As the inflation water climbs, the jacket inflates and lifts the bond higher, so it never drowns.

Image idea: Bold text "INFLATION-INDEXED BONDS" above a bond certificate in a bright life jacket floating on rising water marked with an upward price scale; clean background.

Hook: IIB = bond in a life jacket on rising water. Principal rises with inflation, real value protected.

Example: A Chennai retiree holding inflation-indexed bonds keeps her purchasing power even when vegetable and fuel prices climb, because the bond's principal climbs too.

Simple meaning: The government's use of taxes and spending to steer the economy.

Technical definition: Policy through which the GOVERNMENT uses taxation, public expenditure and borrowing to influence output, employment and demand; presented mainly through the Union Budget.

TNPSC key point: Fiscal policy belongs to the GOVERNMENT (Finance Ministry); monetary policy belongs to the RBI. The most repeated distinction in exams.

Visual memory: The Finance Minister rides a see-saw: one seat is a giant tax vacuum sucking money from the crowd, the other a spending cannon firing money at roads, schools and hospitals. Tilting the see-saw steers the economy.

Image idea: Bold text "FISCAL POLICY" above a see-saw with a tax vacuum on one end and a spending cannon on the other, a government figure balancing in the middle; clean background.

Hook: FISCAL POLICY = tax vacuum vs spending cannon
the government's tax-and-spend steering wheel.

DO NOT CONFUSE: vs Monetary Policy
fiscal policy is the government's taxes and spending; monetary policy is RBI's money supply and interest rates.

Example: Union Budget decisions on income tax slabs and highway spending and Tamil Nadu's own state budget schemes are fiscal policy in action.

Revenue Receipts**TOUGH**

Simple meaning: Regular government income that creates no debt and sells no asset.

Technical definition: Government receipts that neither create a liability nor reduce assets. Tax revenue (income tax, GST) plus non-tax revenue (interest, dividends, fees, fines).

TNPSC key point: Test for revenue receipts: NO liability created, NO asset reduced. Taxes and dividends qualify; borrowings do not.

Visual memory: A government bucket under a steady tap labelled "TAXES AND FEES" fills up every month. No IOU slips inside, no family jewels sold, just clean recurring income raining in.

Image idea: Bold text "REVENUE RECEIPTS" above a bucket filling from a tap of coins labelled with tax stamps, with a crossed-out IOU note beside it; clean background.

Hook: REVENUE RECEIPTS = clean tap water income. Regular receipts with no debt and no asset sale.

DO NOT CONFUSE: vs Capital Receipts. Revenue receipts create no liability; capital receipts (like borrowings or disinvestment) create liabilities or reduce assets.

Example: GST collected on sales in Chennai shops and dividends the government earns from PSUs are revenue receipts of the government.

Capital Receipts

TOUGH

Simple meaning: Government money that comes from borrowing or selling assets.

Technical definition: Receipts that either CREATE a liability (borrowings, small savings) or REDUCE assets (disinvestment proceeds, recovery of loans given by government).

TNPSC key point: Borrowings, disinvestment and loan recoveries are capital receipts. Remember "creates liability OR reduces asset".

Visual memory: The government drags a giant sack of cash home, but behind it trails a chain of IOU balloons ("LOANS") and an empty display shelf where the family silver ("PSU shares") used to sit.

Image idea: Bold text "CAPITAL RECEIPTS" above a cash sack tied to floating IOU balloons next to an emptied trophy shelf; clean background.

Hook: CAPITAL RECEIPTS = cash with IOU balloons attached
money from borrowing or selling assets.

DO NOT CONFUSE: vs Revenue Receipts. capital receipts create debt or shrink assets; revenue receipts (taxes, fees) do neither.

Example: The government's market borrowings and the money raised by selling shares in a PSU (like the LIC IPO) are capital receipts.

Revenue Expenditure

TOUGH

Simple meaning: Day-to-day government spending that creates no lasting asset.

Technical definition: Expenditure that neither creates assets nor reduces liabilities. Salaries, pensions, subsidies, interest payments and administrative running costs.

TNPSC key point: Salaries, subsidies, pensions and INTEREST PAYMENTS are revenue expenditure. Nothing durable is built.

Visual memory: A government kitchen burns sacks of money as cooking fuel every single day. Tasty meals (salaries, subsidies) are served and eaten, but when the smoke clears, nothing new is left standing.

Image idea: Bold text "REVENUE EXPENDITURE" above a stove burning currency notes as fuel under a pot serving daily meals, with no building in sight; clean background.

Hook: REVENUE EXPENDITURE = money burnt as daily cooking fuel for running costs that build no asset.

DO NOT CONFUSE: vs Capital Expenditure

revenue expenditure keeps the machine running; capital expenditure builds new assets like roads and bridges.

Example: Salaries of Tamil Nadu government teachers and the food subsidy for ration shops are revenue expenditure.

Capital Expenditure**TOUGH**

Simple meaning: Government spending that builds assets or repays debt.

Technical definition: Expenditure that CREATES assets (roads, bridges, buildings, machinery) or REDUCES liabilities (repayment of loans); it adds to the economy's productive capacity.

TNPSC key point: Asset creation OR loan repayment = capital expenditure; it has a lasting multiplier effect on growth.

Visual memory: A crane lifts bundles of cash and literally welds them into a gleaming new bridge. Years later the money-bridge still stands, carrying trucks and earning its keep.

Image idea: Bold text "CAPITAL EXPENDITURE" above a construction crane assembling a bridge made of stacked currency bundles; clean background.

Hook: CAPITAL EXPENDITURE = cash welded into a bridge spending that leaves an asset standing.

DO NOT CONFUSE: vs Revenue Expenditure

capital expenditure builds durable assets; revenue expenditure is consumed the same year (salaries, subsidies).

Example: Spending on Chennai Metro Rail construction and new national highways in Tamil Nadu is capital expenditure.

Consolidated Fund of India**TOUGH**

Simple meaning: The government's main account holding all its revenues and loans.

Technical definition: The fund under Article 266(1) into which all government revenues, loans raised and loan recoveries flow; NO money can be withdrawn from it without PARLIAMENT'S approval (via an Appropriation Act).

TNPSC key point: Article 266(1) and every withdrawal needs PARLIAMENTARY authorisation; salaries of judges and CAG are "charged" on this fund.

Visual memory: A colossal treasure vault labelled "ALL GOVERNMENT MONEY" with one giant lock and the ONLY key hangs around the neck of the Parliament building, which must nod before a single coin leaves.

Image idea: Bold text "CONSOLIDATED FUND" above a giant vault whose single golden key is held by a Parliament-shaped keeper, tag reading "ART 266"; clean background.

Hook: CONSOLIDATED FUND = vault whose key is with Parliament. Article 266, no withdrawal without approval.

DO NOT CONFUSE: vs Public Account. The Consolidated Fund needs Parliament's approval for withdrawals; the Public Account (banker money like provident funds) does not.

Example: All central taxes collected in Tamil Nadu flow into the Consolidated Fund of India; Tamil Nadu likewise has its own Consolidated Fund under Article 266.

Contingency Fund of India**TOUGH**

Simple meaning: The President's emergency purse for sudden, unforeseen expenses.

Technical definition: A fund under Article 267 placed at the disposal of the PRESIDENT to meet unforeseen expenditure without waiting for Parliament; corpus originally Rs.500 crore (enhanced to Rs.30,000 crore in 2021); Parliament later regularises the spending.

TNPSC key point: Article 267 + at the disposal of the PRESIDENT + classic corpus figure Rs.500 crore → the three MCQ anchors.

Visual memory: The President keeps a small red fire-emergency box on the desk marked "BREAK GLASS FOR DISASTERS" → floods hit at midnight, the glass is smashed, cash flies out instantly, and Parliament signs the paperwork later.

Image idea: Bold text "CONTINGENCY FUND" above a red break-glass emergency box stuffed with cash on a presidential desk, tag reading "ART 267"; clean background.

Hook: CONTINGENCY FUND = President's break-glass cash box → Article 267 emergency money, approval comes later.

DO NOT CONFUSE: vs Consolidated Fund

the Contingency Fund (Art 267) is spent by the President FIRST and regularised later; the Consolidated Fund (Art 266) needs Parliament's approval BEFORE withdrawal.

Example: Sudden cyclone relief can be met from the Contingency Fund; Tamil Nadu maintains its own state contingency fund under Article 267(2) at the Governor's disposal.

Simple meaning: Money the government holds for others, like a banker.

Technical definition: The account under Article 266(2) holding money for which the government acts as a BANKER or trustee of provident funds, small savings, security deposits; withdrawals need NO parliamentary approval since the money is not the government's own.

TNPSC key point: Article 266(2), government acts in BANKER capacity, and NO Parliament approval is needed for payments from it.

Visual memory: The government wears a bank cashier's cap behind a counter of labelled lockers "PF", "POST OFFICE SAVINGS", "DEPOSITS" customers walk up and take their own money back, no permission slip from Parliament required.

Image idea: Bold text "PUBLIC ACCOUNT" above a government figure in a cashier's cap guarding customer lockers marked PF and savings, a "NO APPROVAL NEEDED" sign on the counter; clean background.

Hook: PUBLIC ACCOUNT = government as locker-room cashier
Article 266(2), banker's money, no approval needed.

DO NOT CONFUSE: vs Consolidated Fund
the Public Account holds others' money (banker role, no approval needed); the Consolidated Fund holds the government's own money and needs Parliament's nod.

Example: A Tamil Nadu government employee's General Provident Fund contributions sit in the Public Account until she claims them.

Vote on Account**TOUGH**

Simple meaning: Parliament's advance permission for the government to spend for a few months.

Technical definition: A grant made in advance under Article 116, allowing the government to draw funds from the Consolidated Fund for essential EXPENDITURE for part of the year (usually two months) until the full budget is passed; covers only expenditure, not taxation.

TNPSC key point: Vote on Account = EXPENDITURE side only, Article 116, typically for two months, passed without detailed discussion.

Visual memory: The government begs at Parliament's canteen counter: "full meal ticket not printed yet give me a two-month snack coupon so salaries don't stop!" Parliament stamps a small coupon marked "EXPENSES ONLY".

Image idea: Bold text "VOTE ON ACCOUNT" above a small torn meal coupon stamped "2 MONTHS - EXPENSES ONLY" handed across a Parliament counter; clean background.

Hook: VOTE ON ACCOUNT = two-month snack coupon
advance spending permission until the full budget passes.

DO NOT CONFUSE: vs Interim Budget a vote on account covers ONLY expenditure; an interim budget is a fuller statement with both receipts and expenditure, presented by an outgoing government.

Example: Before general elections, the outgoing Union government takes a vote on account so that salaries and pensions including those of central staff in Tamil Nadu continue without a full budget.

Appropriation Bill**TOUGH**

Simple meaning: The law that lets the government actually withdraw money from its main fund.

Technical definition: A bill under Article 114 that authorises the government to WITHDRAW money from the Consolidated Fund of India for the expenditures approved by Parliament; no amendment can be moved to vary any granted amount.

TNPSC key point: Appropriation Bill (Art 114) = permission to WITHDRAW from the Consolidated Fund; the Finance Bill deals with TAXATION.

Visual memory: The Consolidated Fund vault door has a slot that accepts only one document a scroll titled "APPROPRIATION ACT". Insert the scroll, gears turn, and only then does the vault release the approved sacks of money.

Image idea: Bold text "APPROPRIATION BILL" above a scroll being inserted like a key card into a giant vault door slot labelled "ART 114 - WITHDRAWAL PASS"; clean background.

Hook: APPROPRIATION BILL = the vault's key-card scroll
a legal pass to withdraw from the Consolidated Fund.

DO NOT CONFUSE: vs Finance Bill the Appropriation Bill authorises WITHDRAWAL from the Consolidated Fund; the Finance Bill gives effect to TAX proposals of the budget.

Example: Every year after budget discussions, Parliament passes the Appropriation Bill so ministries can spend. Tamil Nadu's Assembly passes a similar bill for the state's Consolidated Fund.

Simple meaning: How much extra money the government spends beyond what it truly earns in a year.

Technical definition: Fiscal Deficit = Total Expenditure - Total Receipts EXCLUDING borrowings. It shows the total borrowing requirement of the government for the year.

TNPSC key point: Fiscal Deficit equals the total borrowings of the government; borrowings are excluded from receipts while calculating it.

Visual memory: A giant government wallet with a huge hole in the bottom. Rs. notes pour out faster than they come in, and a sweating Finance Minister climbs a tall "BORROWING LADDER" every year just to refill the same leaking wallet.

Image idea: One big leather wallet stamped "GOVT" with coins falling through a hole, a ladder labelled "BORROW" leaning on it; bold text "FISCAL DEFICIT" on top; clean white background.

Hook: FISCAL DEFICIT = LEAKING GOVT WALLET - the gap filled only by borrowing.

DO NOT CONFUSE: vs Revenue Deficit, Primary Deficit
Fiscal Deficit covers the TOTAL gap (excluding borrowings); Revenue Deficit is only the revenue-account gap; Primary Deficit is Fiscal Deficit minus interest payments.

Example: The Union Budget announces a fiscal deficit target as a percentage of GDP every year; the FRBM Act, 2003 set 3% of GDP as the goal. [CURRENT DATA VERIFY SEPARATELY for the latest year's target.]

Revenue Deficit**TOUGH**

Simple meaning: The government's daily-running expenses are more than its daily-running income.

Technical definition: Revenue Deficit = Revenue Expenditure – Revenue Receipts. It shows the government is dis-saving, using borrowed money even for routine consumption.

TNPSC key point: Revenue Deficit involves ONLY the revenue account (salaries, pensions, subsidies, interest vs taxes, fees) – no capital items at all.

Visual memory: A government kitchen where the monthly grocery bill (salaries, pensions, subsidies) is bigger than the monthly salary (taxes). The cook pawns the family gold just to buy rice – borrowing for daily meals, not for building anything.

Image idea: A kitchen table with a grocery bill towering over a small salary envelope, both on a weighing scale tipping toward the bill; bold text "REVENUE DEFICIT"; clean background.

Hook: REVENUE DEFICIT = GROCERY BILL > SALARY – borrowing just to eat, not to build.

DO NOT CONFUSE: vs Fiscal Deficit
Revenue Deficit counts only revenue-account items; Fiscal Deficit counts total expenditure minus total non-borrowing receipts.

Example: A large share of the Union government's revenue expenditure goes to interest, salaries, pensions and subsidies; the FRBM Act originally aimed to eliminate the revenue deficit entirely.

Primary Deficit**TOUGH**

Simple meaning: The government's fresh borrowing need this year, ignoring interest on old loans.

Technical definition: Primary Deficit = Fiscal Deficit - Interest Payments. It measures the borrowing needed for current-year activities alone.

TNPSC key point: A zero primary deficit means the government borrows ONLY to pay interest on past loans - the classic MCQ statement.

Visual memory: A man cuts off the heavy "OLD INTEREST" backpack chained to his shoulders and steps on a weighing machine. The machine now shows only THIS YEAR's fresh borrowing weight - that lighter number is the primary deficit.

Image idea: A person on a weighing scale tossing away a backpack labelled "INTEREST", scale display glowing with a smaller number; bold text "PRIMARY DEFICIT"; clean background.

Hook: PRIMARY DEFICIT = FISCAL DEFICIT MINUS INTEREST BACKPACK - this year's real borrowing.

DO NOT CONFUSE: vs Fiscal Deficit - Fiscal Deficit includes interest payments; Primary Deficit strips interest out (PD = FD - Interest Payments).

Example: India's Union Budget documents show the primary deficit separately, revealing how much of the fiscal deficit is caused purely by interest on accumulated public debt.

Effective Revenue Deficit

ADVANCED

Simple meaning: Revenue deficit after removing grants that actually build assets.

Technical definition: Effective Revenue Deficit = Revenue Deficit - Grants given to states/bodies for creation of capital assets. It shows the "truly wasteful" part of the revenue gap.

TNPSC key point: Introduced in Union Budget 2011-12; grants for creating capital assets (roads, schools) are deducted because they are productive though booked as revenue expenditure.

Visual memory: An accountant with a giant magnifying glass inspects the leaking revenue wallet and shouts "Wait! These notes flying out are actually becoming BRICKS for a school!" He pulls the brick-turning notes back and counts only the truly wasted leak.

Image idea: Rupee notes flying out of a wallet, some transforming mid-air into bricks stacked as a small school; only the non-brick notes circled in red; bold text "EFFECTIVE REVENUE DEFICIT"; clean background.

Hook: $\text{EFFECTIVE RD} = \text{REVENUE DEFICIT} - \text{NOTE-TO-BRICK GRANTS}$ the real waste.

DO NOT CONFUSE: vs Revenue Deficit. Effective Revenue Deficit is ALWAYS smaller or equal, because asset-creating grants are subtracted from the Revenue Deficit.

Example: Central grants to Tamil Nadu for building rural roads under central schemes count as revenue expenditure, but are excluded when computing the effective revenue deficit.

Deficit Financing

ADVANCED

Simple meaning: Filling the budget gap by borrowing or by creating new money.

Technical definition: Meeting the budget deficit through borrowing from the public, the market, or the RBI (which effectively means printing new currency), instead of raising taxes.

TNPSC key point: Deficit financing through the RBI (monetising the deficit) increases money supply and is INFLATIONARY. It is the most-tested consequence.

Visual memory: The Finance Minister feeds the empty budget box with notes fresh off a smoking money-printing machine. The box fills, but every vegetable in the market balloon-inflates to triple size behind him.

Image idea: A money-printing machine pouring notes into a box labelled "BUDGET GAP", with tomatoes and onions inflating like balloons in the background; bold text "DEFICIT FINANCING"; clean background.

Hook: DEFICIT FINANCING = PRINT AND FILL. The gap closes, prices balloon.

Example: India relied heavily on deficit financing in the planning era; today direct RBI monetisation is restricted, and the government mainly borrows from the market instead.

Simple meaning: The total loan burden the government owes to everyone.

Technical definition: The accumulated borrowings of the government internal debt (from citizens, banks, RBI) plus external debt (from foreign governments and institutions) repayable from the Consolidated Fund.

TNPSC key point: Union borrowing power is under Article 292 and state borrowing under Article 293; most of India's public debt is INTERNAL, not external.

Visual memory: A government elephant walking with a mountain of IOU papers strapped on its back small chits from Indian banks and citizens forming the huge base, a thin foreign layer on top every yearly deficit adds one more sack to the pile.

Image idea: An elephant carrying a towering stack of IOU notes, the bottom layers labelled "INTERNAL" much thicker than a thin top layer "EXTERNAL"; bold text "PUBLIC DEBT"; clean background.

Hook: PUBLIC DEBT = IOU MOUNTAIN ON THE GOVT ELEPHANT all past borrowings piled up.

Example: Tamil Nadu, like other states, borrows under Article 293 within limits linked to its GSDP; the state's outstanding debt is reported in its annual budget documents. [CURRENT DATA VERIFY SEPARATELY.]

Crowding Out

ADVANCED

Simple meaning: Heavy government borrowing pushes private businesses out of the loan queue.

Technical definition: Large government borrowing absorbs available loanable funds and raises interest rates, thereby reducing (crowding out) private investment.

TNPSC key point: Mechanism to remember: high fiscal deficit
more government borrowing, higher interest rates
lower private investment.

Visual memory: A bank loan counter with one giant government elephant occupying the entire queue. Small businessmen with project files are squeezed out of the door, while the interest-rate board behind the counter ticks up and up.

Image idea: A huge elephant labelled "GOVT" at a bank counter, tiny businessmen pushed outside the door, an interest-rate meter rising; bold text "CROWDING OUT"; clean background.

Hook: CROWDING OUT = ELEPHANT IN THE LOAN QUEUE

private investors squeezed out.

Example: Economists warn that when the Centre and states together borrow heavily from Indian banks, less credit remains for private firms, such as MSMEs in Coimbatore seeking expansion loans.

Simple meaning: One rupee of government spending grows into more than one rupee of national income.

Technical definition: The ratio of the change in national income to the change in government spending (or taxes) that caused it; spending multipliers are generally larger than tax-cut multipliers.

TNPSC key point: Capital expenditure has a HIGHER fiscal multiplier than revenue expenditure. One rupee on infrastructure raises GDP by more than one rupee on subsidies.

Visual memory: The government drops one magic Rs. 1 coin into a village pond. It splashes into a road worker's wage, he buys idli, the idli shop buys rice, the farmer buys a shirt. ripples widening until the pond overflows with many coins.

Image idea: A single coin dropping into water with each expanding ripple carrying more coins outward; bold text "FISCAL MULTIPLIER"; clean background.

Hook: FISCAL MULTIPLIER = ONE COIN, MANY RIPPLES
govt spending multiplies income.

DO NOT CONFUSE: vs Multiplier Effect. The Multiplier Effect is the general Keynesian ripple concept; the Fiscal Multiplier measures it specifically for government spending or tax changes.

Example: Indian budget debates cite the high multiplier of capital expenditure to justify big outlays on highways and railways rather than only subsidy increases.

Simple meaning: The law that puts the government's borrowing habit on a strict diet.

Technical definition: The Fiscal Responsibility and Budget Management Act, 2003 mandates fiscal discipline targeting a fiscal deficit of 3% of GDP, reduction of revenue deficit, and transparent fiscal reporting to Parliament.

TNPSC key point: FRBM Act year = 2003; core target = fiscal deficit 3% of GDP; the N.K. Singh Committee (2016-17) reviewed it and an escape clause allows limited deviation during crises.

Visual memory: A doctor straps a tight measuring belt marked "3%" around the government's bulging borrowing belly and pins a diet chart dated "2003" on the wall. Every time the belly swells past the belt, an alarm rings in Parliament.

Image idea: A round belly squeezed by a giant belt buckle engraved "3% of GDP", a chart stamped "2003" beside it; bold text "FRBM ACT"; clean background.

Hook: FRBM = 2003 BORROWING DIET BELT squeezing fiscal deficit to 3% of GDP.

Example: Tamil Nadu enacted its own Fiscal Responsibility Act in 2003, following the central FRBM model, committing the state to deficit and debt targets.

Simple meaning: The government's step-by-step plan to shrink its deficits and debt.

Technical definition: Policies that reduce fiscal deficit and public debt over time by raising revenues (better tax collection, disinvestment) and rationalising expenditure (cutting wasteful spending, targeting subsidies).

TNPSC key point: Fiscal consolidation means reducing deficits WITHOUT harming growth via revenue augmentation plus expenditure rationalisation, following the FRBM glide path.

Visual memory: A tailor slowly stitches up the holes in the giant government wallet, one hole per year, while a second worker saws the tall borrowing ladder shorter rung by rung until the wallet finally holds its own money.

Image idea: A needle and thread stitching closed the holes of a big wallet, next to a ladder being sawed shorter; bold text "FISCAL CONSOLIDATION"; clean background.

Hook: FISCAL CONSOLIDATION = STITCH THE WALLET, SHORTEN THE LADDER. Deficits shrink year by year.

Example: After COVID-19 pushed deficits up, the Union government announced a fiscal consolidation glide path to bring the fiscal deficit back down over several years. [CURRENT DATA VERIFY SEPARATELY for latest targets.]

Simple meaning: A tax you must pay yourself. A tax you cannot pass it to anyone else.

Technical definition: A tax whose impact and incidence fall on the same person; the burden cannot be shifted. Examples: income tax, corporation tax, capital gains tax.

TNPSC key point: Burden CANNOT be shifted; administered by CBDT; direct taxes are generally progressive and reduce inequality.

Visual memory: An arrow labelled "INCOME TAX" is glued straight onto a salaried man's chest with super glue. He tries desperately to peel it off and stick it on his neighbour, but it will not budge. The tax is stuck to HIM alone.

Image idea: A man with a big arrow stamped "TAX" glued to his chest, hands trying and failing to pull it off; bold text "DIRECT TAX"; clean background.

Hook: DIRECT TAX = ARROW GLUED TO YOUR CHEST

The burden sticks, never shifts.

DO NOT CONFUSE: vs Indirect Tax. Indirect tax burden can be shifted (income tax); indirect tax burden is shifted to the final consumer (GST).

Example: A software engineer in Chennai pays income tax on her salary directly to the government. She cannot transfer that bill to her employer or customers.

Simple meaning: A tax collected from sellers but actually paid by you, the buyer.

Technical definition: A tax levied on goods and services where the burden is shifted from the taxpayer (seller) to the final consumer through the price. Examples: GST, customs duty, excise duty.

TNPSC key point: Burden IS shifted to the consumer; indirect taxes tend to be regressive because rich and poor pay the same rate on the same product.

Visual memory: A shopkeeper receives a "TAX" arrow from the government, grins, and slips it inside the biscuit packet's price tag. The customer walks away happily carrying the biscuits and the hidden arrow without even noticing.

Image idea: A shopkeeper sliding a small arrow labelled "TAX" into a price tag on a biscuit packet handed to a customer; bold text "INDIRECT TAX"; clean background.

Hook: INDIRECT TAX = ARROW HIDDEN IN THE PRICE TAG
 seller collects, buyer bears.

DO NOT CONFUSE: vs Direct Tax indirect tax burden travels to the final consumer; direct tax burden stays glued to the person taxed.

Example: When you buy soap in a Madurai shop, the GST included in the printed price is deposited by the seller but truly paid by you.

Simple meaning: The richer you are, the higher the RATE of tax you pay.

Technical definition: A tax whose rate rises as income rises, so higher-income earners pay a larger proportion of their income; based on the ability-to-pay principle.

TNPSC key point: The RATE (not just the amount) rises with income. India's income tax slabs are the standard example; it reduces income inequality.

Visual memory: Three men climb an income staircase. On each higher step, a tax officer waits with a bigger and bigger scissors, snipping a larger slice from the fatter wallet. tiny snip for the poor man, giant shears for the millionaire.

Image idea: A rising staircase with wallets growing bigger on each step and scissors above them growing even bigger; bold text "PROGRESSIVE TAX"; clean background.

Hook: PROGRESSIVE = BIGGER WALLET, BIGGER SCISSORS
tax rate climbs with income.

DO NOT CONFUSE: vs Regressive Tax
progressive means the rich pay a higher share; regressive means the poor end up paying a higher share of their income.

Example: India's income tax slab system charges 0% on low incomes and rising rates on higher slabs, making it a progressive tax.

Simple meaning: A tax that bites the poor harder than the rich.

Technical definition: A tax that takes a larger PERCENTAGE of income from the poor than from the rich, because everyone pays the same amount or rate regardless of income.

TNPSC key point: Indirect taxes like GST on essentials are effectively regressive as a flat rate is a heavier share of a poor person's income.

Visual memory: A rich man and a poor daily-wage worker both buy the same match box with the same tax coin on it. For the rich man the coin is a speck of dust on his gold mountain; for the worker the same coin crushes his tiny purse flat.

Image idea: One identical tax coin resting lightly on a huge gold pile and the same coin crushing a tiny thin purse beside it; bold text "REGRESSIVE TAX"; clean background.

Hook: REGRESSIVE = SAME COIN, CRUSHED SMALL PURSE

poor pay the bigger share.

DO NOT CONFUSE: vs Progressive Tax regressive burdens fall proportionally more on the poor; progressive rates rise with income and burden the rich more.

Example: A flat GST rate on cooking essentials takes a much bigger bite from a Tiruvannamalai farm labourer's income than from a Chennai executive's income.

Goods and Services Tax (GST)

MODERATE

Simple meaning: One single nationwide tax that replaced many different indirect taxes.

Technical definition: A destination-based, multi-stage indirect tax on the supply of goods and services with input tax credit at each stage; levied as CGST, SGST and IGST.

TNPSC key point: Introduced by the 101st Constitutional Amendment Act; in force from 1 July 2017; GST Council under Article 279A, chaired by the Union Finance Minister.

Visual memory: Seventeen quarrelsome tax monsters (VAT, excise, service tax, octroi...) are shoved into one giant blender by a referee shouting "ONE NATION, ONE TAX!" Out pours a single smooth juice bottle labelled GST, sipped from Kashmir to Kanyakumari.

Image idea: Many small angry tax monsters falling into a blender that outputs one clean bottle stamped "GST"; bold text "GST"; clean background.

Hook: GST = MANY TAXES BLENDED INTO ONE BOTTLE

one nation, one tax, from 1 July 2017.

Example: A Tirupur T-shirt sold in Delhi carries IGST; the revenue flows to the destination state through the GST Council, with Tamil Nadu's Finance Minister as a member, decides the rates.

Simple meaning: The person on whom the tax burden FINALLY lands.

Technical definition: The final resting point of a tax burden after all shifting is complete; distinct from the initial legal liability. Incidence depends on the relative elasticities of demand and supply.

TNPSC key point: Impact = first point (person legally taxed); Incidence = final point (person who ultimately bears it); the more inelastic side of the market bears more incidence.

Visual memory: A hot potato stamped "TAX" is tossed from the factory owner to the wholesaler to the shopkeeper. Each juggles it away fast until it finally lands and sizzles in the hands of the last customer, who has nobody left to throw it to.

Image idea: A glowing hot potato labelled "TAX" flying over a chain of hands and landing in a final customer's burnt palms; bold text "TAX INCIDENCE"; clean background.

Hook: INCIDENCE = WHERE THE HOT POTATO FINALLY LANDS
the ultimate bearer of the tax.

DO NOT CONFUSE: vs Tax Impact
impact is the FIRST point where tax is levied; incidence is the FINAL point where the burden settles.

Example: GST on cement is deposited by the manufacturer (impact), but a family building a house in Salem ultimately bears it in the price (incidence).

Simple meaning: How fast tax collections actually jump when the economy grows.

Technical definition: The ratio of the percentage change in ACTUAL tax revenue to the percentage change in GDP, INCLUDING the effects of policy changes like new rates, wider base and better enforcement.

TNPSC key point: Buoyancy includes discretionary policy changes; buoyancy greater than 1 means tax revenue grows faster than GDP.

Visual memory: The GDP ocean rises one metre, and the tax revenue boat shoots up TWO metres because the tax department also strapped rockets (new rates, raids, wider nets) to the boat. Actual lift, rockets included, is buoyancy.

Image idea: A boat labelled "TAX REVENUE" leaping above a rising ocean wave marked "GDP", with small rockets on the boat's sides; bold text "TAX BUOYANCY"; clean background.

Hook: BUOYANCY = BOAT WITH ROCKETS ON A RISING SEA
actual revenue response, policy changes included.

DO NOT CONFUSE: vs Tax Elasticity
buoyancy measures ACTUAL revenue response including policy changes; elasticity assumes the tax structure stays unchanged.

Example: After GST enforcement tightened with e-invoicing, India's indirect tax collections grew faster than GDP in some years
high tax buoyancy.

Simple meaning: How much tax revenue would grow with the economy if tax rules never changed.

Technical definition: The responsiveness of tax revenue to GDP growth assuming an UNCHANGED tax structure – no new rates, exemptions or enforcement drives; it isolates the automatic response.

TNPSC key point: Elasticity EXCLUDES discretionary policy changes that single word "unchanged tax structure" decides the MCQ.

Visual memory: The same tax revenue boat floats on the rising GDP ocean, but this time the rockets are locked inside a glass case marked "NO POLICY CHANGES ALLOWED". The boat rises only as much as the pure water lifts it.

Image idea: A plain boat rising gently with a wave while rockets sit locked in a glass case on the shore; bold text "TAX ELASTICITY"; clean background.

Hook: ELASTICITY = BOAT WITHOUT ROCKETS – revenue response with tax rules frozen.

DO NOT CONFUSE: vs Tax Buoyancy – elasticity freezes the tax structure; buoyancy counts everything, including rate hikes and enforcement.

Example: If India's income tax slabs stayed untouched and collections still rose with growing incomes, that automatic rise reflects tax elasticity.

Simple meaning: Raise tax rates too high, and total tax money actually FALLS.

Technical definition: An inverted-U curve (by Arthur Laffer) showing tax revenue against the tax rate: revenue is zero at 0% and 100%, rising to a maximum at an optimal rate in between, then falling as high rates kill work incentives and encourage evasion.

TNPSC key point: Laffer Curve = tax revenue vs tax rate, inverted-U shape; beyond the optimal rate, HIGHER rates yield LOWER revenue.

Visual memory: A tax officer squeezes an orange harder and harder. Gentle squeeze juice flows; monster squeeze at 100% the orange bursts, the juice vanishes, and the fruit seller runs away to a country with softer hands.

Image idea: A big inverted-U curve drawn as an orange being squeezed at three points: light squeeze, perfect squeeze with maximum juice, crushing squeeze with none; bold text "LAFFER CURVE"; clean background.

Hook: LAFFER = SQUEEZE THE ORANGE TOO HARD, LOSE THE JUICE
over-taxing shrinks revenue.

Example: India's 1970s income tax rates rose above 90%, encouraging massive evasion; later rate cuts widened compliance the Laffer logic used in Indian tax reform debates.

Simple meaning: A tiny tax on currency trades to slow down hit-and-run speculators.

Technical definition: A small tax proposed by James Tobin on foreign exchange (currency) transactions to discourage short-term speculative flows and reduce exchange-rate volatility.

TNPSC key point: Tobin Tax = tax on FOREX transactions; purpose = curb currency speculation, not raise big revenue.

Visual memory: Speedy speculators zoom in and out of the currency market highway in race cars, flipping dollars for rupees every second. A toll gate labelled "TOBIN" charges a small coin per crossing suddenly the joy-riders quit, and only serious travellers pass.

Image idea: A toll gate on a highway of flying currency symbols, race cars stopped at the barrier paying a tiny coin; bold text "TOBIN TAX"; clean background.

Hook: TOBIN = TOLL GATE ON THE FOREX HIGHWAY

tiny tax, fewer speculators.

Example: Indian policy debates have cited a Tobin-type tax as a possible shield when sudden hot-money outflows shake the rupee's exchange rate.

Simple meaning: An extra tax collected for ONE named purpose only.

Technical definition: A tax levied for a specific, earmarked purpose (education, health, roads); it is credited to a dedicated fund and its proceeds are NOT shared with the states.

TNPSC key point: Cess = earmarked purpose + NOT part of the divisible pool shared with states. The double fact examiners love.

Visual memory: The government holds out a special piggy bank shaped like a school, with "EDUCATION ONLY" painted on it in giant letters. Coins dropped in can never be spent on anything else and state governments reaching for a share get their hands politely slapped.

Image idea: A school-shaped piggy bank with a locked slot labelled "PURPOSE ONLY" and a small "NOT FOR STATES" tag; bold text "CESS"; clean background.

Hook: CESS = PURPOSE-LOCKED PIGGY BANK. Earmarked money, states get no share.

DO NOT CONFUSE: vs Surcharge. Cess is for a named purpose; surcharge is a "tax on tax" with no earmarked purpose. Neither is shared with states.

Example: The Health and Education Cess of 4% on income tax and the GST Compensation Cess on luxury goods are current Indian examples.

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Surcharge

TOUGH

Simple meaning: A tax charged ON TOP of your tax
a tax on tax.

Technical definition: An additional charge computed as a percentage of the tax payable (not of income), typically on high-income earners; under Article 271 its proceeds go entirely to the Centre and are not shared with states.

TNPSC key point: Surcharge = TAX ON TAX; levied under Article 271; not shared with states and needs no earmarked purpose.

Visual memory: A rich man pays his tax bill, sighs in relief
then the tax officer stamps a SECOND smaller bill directly on top of the first bill itself, shouting "Tax on your tax, sir!" The bill grows a bill of its own, like a hat wearing a hat.

Image idea: A large tax bill wearing a smaller identical bill on top like a hat, both stamped "PAY"; bold text "SURCHARGE"; clean background.

Hook: SURCHARGE = A BILL WEARING A BILL
tax calculated on the tax itself.

DO NOT CONFUSE: vs Cess
surcharge is a tax on tax with no fixed purpose; cess is tied to a named purpose and neither goes into the states' divisible pool.

Example: India levies an income tax surcharge on individuals earning above Rs. 50 lakh, rising in steps for higher income brackets.

Simple meaning: Illegally hiding income to escape tax
a punishable crime.

Technical definition: The ILLEGAL non-payment or underpayment of tax by concealing income, inflating expenses, faking documents or dealing in unaccounted cash; punishable with penalty and prosecution.

TNPSC key point: Evasion is ILLEGAL the one word that separates it from avoidance in every MCQ; it creates black money.

Visual memory: A trader at midnight stuffs bundles of unbilled cash inside a hollow mattress, wearing a burglar mask, while a torch-carrying income tax raid team tiptoes up his staircase. Handcuffs glint in the torchlight.

Image idea: A masked man stuffing cash into a mattress with a torch beam and handcuffs approaching from the edge; bold text "TAX EVASION"; clean background.

Hook: EVASION = CASH IN THE MATTRESS, HANDCUFFS AT THE DOOR
illegal hiding of income.

DO NOT CONFUSE: vs Tax Avoidance
evasion breaks the law (hiding income); avoidance bends the law (using legal loopholes).

Example: Income tax raids on businesses that keep unbilled cash sales in "number two" accounts are actions against tax evasion.

Simple meaning: Legally arranging your money so you pay less tax.

Technical definition: Reducing tax liability WITHIN the letter of the law by exploiting loopholes, exemptions and treaty gaps; legal but often against the spirit of the law. India counters aggressive avoidance with GAAR.

TNPSC key point: Avoidance is LEGAL (loopholes); GAAR General Anti-Avoidance Rules is India's weapon against aggressive avoidance.

Visual memory: A smart accountant in a suit walks a tightrope stretched exactly along the border of the law-book, umbrella in hand, slipping through a gap in the tax fence shaped like a rulebook page. Police watch, arms folded they cannot touch him, he never crossed the line.

Image idea: A suited man calmly stepping through a neat page-shaped gap in a fence made of law books while a policeman shrugs; bold text "TAX AVOIDANCE"; clean background.

Hook: AVOIDANCE = SLIPPING THROUGH THE LEGAL GAP
less tax, no crime.

DO NOT CONFUSE: vs Tax Evasion
avoidance uses legal loopholes and invites no jail; evasion hides income illegally and invites prosecution.

Example: Companies once routed investments through Mauritius to use treaty benefits and cut Indian tax. legal avoidance that led India to renegotiate the treaty and enforce GAAR.

Simple meaning: A tax that makes polluters pay for the harm they cause others.

Technical definition: A tax (named after Arthur Pigou) imposed on activities generating NEGATIVE EXTERNALITIES, set to make the private cost equal the social cost e.g., taxes on pollution, tobacco, carbon.

TNPSC key point: Pigouvian tax corrects negative externalities by internalising the social cost the "polluter pays" tax.

Visual memory: A factory chimney blows thick black smoke over a village's drying clothes. A giant tax meter bolted to the chimney spins faster with every puff of smoke, and the factory owner watches his profits drain into the meter, coughing on his own fumes.

Image idea: A smoking factory chimney with a big coin-counting meter clamped on it, coins dropping out with each smoke puff; bold text "PIGOUVIAN TAX"; clean background.

Hook: PIGOUVIAN = METER ON THE SMOKESTACK polluter pays for the harm.

Example: India's cess on coal (the clean energy/GST compensation levy on coal) and high taxes on tobacco act like Pigouvian taxes on harmful activities.

Simple meaning: The referee that decides how tax money is divided between the Centre and the states.

Technical definition: A constitutional body under Article 280, constituted by the President every 5 years, to recommend the distribution of net tax proceeds between the Union and the states and grants-in-aid to states.

TNPSC key point: Article 280; constituted every 5 years by the PRESIDENT; the 15th Finance Commission (chair N.K. Singh) recommended a 41% share of central taxes for states.

Visual memory: Every 5 years a wise referee in a black coat walks onto the field carrying a giant cake labelled "CENTRAL TAXES". With a ruler stamped "ART 280" he slices it one big piece for Delhi, carefully measured pieces for 28 hungry states holding out plates.

Image idea: A referee slicing a huge cake labelled "TAXES" with a ruler-knife marked "280", surrounded by small plates shaped like Indian states; bold text "FINANCE COMMISSION"; clean background.

Hook: FINANCE COMMISSION = THE 5-YEARLY CAKE-CUTTER (ART 280) divides taxes between Centre and states.

DO NOT CONFUSE: vs NITI Aayog Finance Commission is a constitutional body (Art 280) that divides taxes; NITI Aayog is a non-constitutional policy think tank with no tax-sharing power.

Example: Tamil Nadu submits detailed memoranda to each Finance Commission seeking a fairer share; the state's receipts depend heavily on the Commission's devolution formula.

Simple meaning: The money-sharing arrangement between the Centre and the states.

Technical definition: The division of taxing powers, spending responsibilities and transfer arrangements between the Union and state governments, framed by the Seventh Schedule and Articles 268-293 of the Constitution.

TNPSC key point: Fiscal federalism = financial relations between Centre and states. Taxing powers via Union/State/Concurrent Lists, transfers via the Finance Commission.

Visual memory: A joint family house: the strict father (Centre) holds the big salary and the main locker, while 28 earning children (states) keep small purses. A family constitution book on the wall lists exactly who may earn what and who must transfer pocket money to whom.

Image idea: A big locker labelled "CENTRE" connected by money pipes to many small purses labelled as states, a rulebook lying open beneath; bold text "FISCAL FEDERALISM"; clean background.

Hook: FISCAL FEDERALISM = THE FAMILY MONEY RULEBOOK
Who taxes, who spends, who shares.

Example: GST is a fiscal federalism landmark. Centre and states pooled their indirect tax powers into one GST Council where both vote on rates.

Simple meaning: The states' rightful share of the taxes collected by the Centre.

Technical definition: The constitutionally mandated sharing of the net proceeds of Union taxes with states under Article 270, as per the percentage and inter-state formula recommended by the Finance Commission.

TNPSC key point: Devolution flows from the DIVISIBLE POOL under Article 270 but cess and surcharge are OUTSIDE this pool and never devolved.

Visual memory: A giant tax waterfall pours from Delhi's mountain into a wide "DIVISIBLE POOL" lake below, and 28 canals carry measured streams to state farms. Two sneaky pipes marked "CESS" and "SURCHARGE" secretly divert water back up the mountain before it reaches the lake.

Image idea: A waterfall filling a lake labelled "DIVISIBLE POOL" with canals flowing out to small farms, two bypass pipes labelled "CESS" and "SURCHARGE" looping away; bold text "TAX DEVOLUTION"; clean background.

Hook: DEVOLUTION = WATERFALL TO THE STATES' CANALS

the shared divisible pool, minus cess and surcharge.

Example: The 15th Finance Commission recommended 41% devolution to states; each state's slice depends on population, area, forest cover, income distance and demographic performance. [CURRENT DATA VERIFY SEPARATELY for the 16th Finance Commission.]

Zero-Based Budgeting

ADVANCED

Simple meaning: Every year, every expense must justify itself from zero. No automatic repeats.

Technical definition: A budgeting method (developed by Peter Pyhrr) where each item starts from a "zero base" every year and must be freshly justified on merit, instead of simply adding increments to last year's allocation.

TNPSC key point: Base = ZERO each year; opposite of incremental budgeting; India experimented with it in the late 1980s.

Visual memory: On budget day, a stern examiner wipes the entire blackboard clean to a big white "0". Every department head even the oldest must stand up like a nervous student and re-prove from scratch why his scheme deserves even one rupee this year.

Image idea: A blackboard wiped clean showing a giant "0", with queue of officials holding files waiting to justify their budgets before it; bold text "ZERO-BASED BUDGETING"; clean background.

Hook: ZBB = BLACKBOARD WIPED TO ZERO. Every rupee re-justified every year.

Example: The Government of India promoted zero-based budgeting in 1987 to weed out schemes that survived only because "they existed last year".

Gender Budgeting**TOUGH**

Simple meaning: Checking every budget rupee through a "how does this help women?" lens.

Technical definition: Analysing and designing the budget from a gender perspective, tracking allocations that benefit women and girls; it is a budgeting APPROACH, not a separate women's budget.

TNPSC key point: India publishes a Gender Budget Statement with the Union Budget since 2005-06. It has two parts: schemes 100% for women, and schemes with at least 30% allocation for women.

Visual memory: An auditor puts on special pink-tinted spectacles and rereads the entire fat budget book. Through the lenses, rupee lines glow brightly wherever they reach a girl's school, a mother's health scheme or a woman's job. Dull grey wherever they do not.

Image idea: A large budget book viewed through big spectacles, with highlighted glowing lines forming a female symbol on the page; bold text "GENDER BUDGETING"; clean background.

Hook: GENDER BUDGETING = SPECTACLES ON THE BUDGET
Every allocation checked for women's benefit.

Example: Tamil Nadu's schemes such as free bus travel for women and the Kalaigal Magalir Urimai Thogai monthly payment are showcased in gender-responsive budgeting.

Simple meaning: The official cut-off income below which a person is counted as poor.

Technical definition: A threshold level of income or consumption expenditure needed to meet minimum basic needs; people below it are classified as poor. In India it was estimated by expert committees (Tendulkar 2009, Rangarajan 2014).

TNPSC key point: India's poverty line is based on CONSUMPTION EXPENDITURE (not income); Tendulkar methodology estimated 21.9% of Indians below the line in 2011-12. [CURRENT DATA VERIFY SEPARATELY.]

Visual memory: A bright red line painted across a crowded street. People standing above it hold full food plates; those below it hold half-empty plates and look up at the line like a high-jump bar they cannot cross.

Image idea: A bold red horizontal line splitting a frame, full food plate above and near-empty plate below it; bold text "POVERTY LINE"; clean background.

Hook: POVERTY LINE = THE RED CUT-OFF LINE below it, officially poor.

Example: Committees named after Tendulkar and Rangarajan set India's poverty line benchmarks; ration and welfare targeting in Tamil Nadu historically drew on such cut-offs.

Absolute Poverty

MODERATE

Simple meaning: Not having even the bare minimum food, clothing, shelter to survive.

Technical definition: Poverty measured against a fixed minimum standard of basic needs (subsistence level); a person below that minimum is absolutely poor regardless of how others live.

TNPSC key point: Absolute poverty = below MINIMUM NEEDS (a fixed line); it can be fully eliminated, unlike relative poverty.

Visual memory: A man stands beside a survival kit drawn on the ground one meal, one shirt, one roof tile. His own basket holds even less than the kit. It does not matter who else is rich or poor; his basket versus the kit is the entire story.

Image idea: A near-empty basket next to a stenciled outline of minimum needs (bread, shirt, hut) that the basket fails to fill; bold text "ABSOLUTE POVERTY"; clean background.

Hook: ABSOLUTE = BASKET BELOW THE SURVIVAL KIT
measured against fixed minimum needs.

DO NOT CONFUSE: vs Relative Poverty
absolute poverty compares a person with fixed minimum needs; relative poverty compares a person with OTHER people.

Example: India's traditional poverty line, built on minimum calorie and consumption norms, measures absolute poverty.

Relative Poverty

MODERATE

Simple meaning: Being poor compared to the people around you.

Technical definition: Poverty measured by comparing a person's income with others in society (e.g., below a share of median income); it reflects INEQUALITY and exists even in rich countries.

TNPSC key point: Relative poverty is about comparison and inequality it can never be fully abolished as long as incomes differ.

Visual memory: A man with a decent bicycle feels perfectly happy until his entire street buys cars. Overnight, without losing a single rupee, he "becomes poor": his bicycle shrinks in his own eyes as shiny cars tower around him.

Image idea: A small bicycle parked in a row of big gleaming cars, its rider looking down sadly; bold text "RELATIVE POVERTY"; clean background.

Hook: RELATIVE = BICYCLE AMONG CARS poor only by comparison with others.

DO NOT CONFUSE: vs Absolute Poverty relative poverty compares people with each other; absolute poverty compares them with a fixed minimum-needs line.

Example: A family earning above India's poverty line in a Chennai suburb may still be relatively poor beside high-earning IT-corridor neighbours.

Multidimensional Poverty Index (MPI)

ADVANCED

Simple meaning: Measuring poverty by many deprivations at once, not just low money.

Technical definition: An index (global MPI by UNDP and OPHI; national MPI by NITI Aayog) measuring overlapping deprivations across three equally weighted dimensions – HEALTH, EDUCATION and LIVING STANDARD.

TNPSC key point: MPI dimensions = health, education, living standard (equal weights); in India the national MPI is published by NITI Aayog.

Visual memory: A doctor, a teacher and a plumber together inspect one small hut with three torches. The health torch finds an empty medicine shelf, the education torch finds no schoolbag, the living-standard torch finds no toilet – three beams meeting on one family.

Image idea: Three torch beams labelled "HEALTH", "EDUCATION", "LIVING STANDARD" converging on one small hut; bold text "MPI"; clean background.

Hook: MPI = THREE TORCHES ON ONE HUT – poverty counted in health, education and living standard.

DO NOT CONFUSE: vs HDI – HDI averages a country's overall achievement; MPI counts how many people are deprived and how intensely, across the same three dimensions.

Example: NITI Aayog's national MPI reports rank states and districts; Tamil Nadu records one of the lower MPI poverty ratios among large states. [CURRENT DATA – VERIFY SEPARATELY.]

Simple meaning: Simply counting what share of people fall below the poverty line.

Technical definition: The proportion (percentage) of the population living below the poverty line; the simplest poverty measure, but it ignores HOW FAR below the line the poor are.

TNPSC key point: Head Count Ratio = number below the poverty line divided by total population; its weakness is ignoring the DEPTH of poverty.

Visual memory: A census officer walks along the painted red poverty line with a hand clicker, counting only heads that stand below the line. click, click, click, click, never bending down to see whether a person is one inch or one mile below it.

Image idea: A hand tally clicker counting rows of head silhouettes standing below a bold red line; bold text "HEAD COUNT RATIO"; clean background.

Hook: HEAD COUNT = CLICKER BELOW THE RED LINE

share of people who are poor, depth ignored.

Example: The statement "21.9% of Indians were below the poverty line in 2011-12 (Tendulkar)" is a head count ratio.

Simple meaning: A situation where being poor itself keeps you poor.

Technical definition: A self-reinforcing mechanism in which low income prevents the investment in health, education or assets needed to raise future income, so poverty persists across generations without outside help.

TNPSC key point: A poverty trap is SELF-REINFORCING escape usually needs an external push (a "big push" of aid, credit or public investment).

Visual memory: A man stands in a deep smooth-walled pit labelled "LOW INCOME". Every ladder he builds costs money he does not have, so the ladders are always one rung too short. Only a rope thrown from above can pull him out.

Image idea: A person in a deep pit holding a too-short ladder, a rope dangling from outside the rim; bold text "POVERTY TRAP"; clean background.

Hook: POVERTY TRAP = PIT WITH TOO-SHORT LADDERS

poverty that recycles itself.

Example: A landless labourer's child leaving school early to earn wages, and therefore remaining a low-wage labourer, shows the trap; schemes like free education and MGNREGA act as the outside rope.

Vicious Circle of Poverty

TOUGH

Simple meaning: A country is poor because it is poor
poverty chasing its own tail.

Technical definition: Ragnar Nurkse's concept: low income
low savings low investment low productivity low income again, forming a circle that keeps whole economies underdeveloped.

TNPSC key point: Associated with RAGNAR NURKSE; his famous line:
"A country is poor because it is poor."

Visual memory: Four thin oxen named Low Income, Low Savings, Low Investment, Low Productivity are yoked in a circle, each pulling the tail of the one ahead. They plod round and round the same dusty ring forever, ploughing nothing new.

Image idea: Four labelled arrows forming a closed circle (income savings investment productivity income), drawn like a spinning wheel; bold text "VICIOUS CIRCLE OF POVERTY"; clean background.

Hook: VICIOUS CIRCLE = FOUR OXEN CHASING TAILS
low income feeding low income (Nurkse).

Example: Planners in early independent India invoked Nurkse's circle to justify state-led "big push" investment in dams, steel and railways to break the loop.

Feminisation of Poverty

ADVANCED

Simple meaning: Poverty increasingly wearing a woman's face.

Technical definition: The trend of women forming a disproportionate and growing share of the world's poor, due to wage gaps, unpaid care work, weaker property rights and female-headed households facing higher poverty risk.

TNPSC key point: The phrase highlights that poverty burdens fall MORE heavily on women; the term is credited to researcher Diana Pearce (1978).

Visual memory: A poverty queue outside a ration shop grows longer every year, and a camera zooming along the line finds it filling more and more with women

widows, single mothers with babies, unpaid caregivers

while the few men in line slowly step out of it.

Image idea: A long queue of silhouettes where the figures gradually turn from mixed to almost all women holding empty bowls; bold text "FEMINISATION OF POVERTY"; clean background.

Hook: FEMINISATION = THE POVERTY QUEUE TURNS FEMALE

women bear the heavier share of poverty.

Example: Widow-headed rural households and underpaid women farm labourers in India illustrate the pattern; schemes like SHG bank linkage and women-targeted pensions respond to it.

Universal Basic Income (UBI)**TOUGH**

Simple meaning: A fixed cash amount paid to EVERY citizen, no questions asked.

Technical definition: An unconditional, universal, periodic cash transfer paid to all citizens individually, regardless of income or work status. It is proposed as a cleaner substitute for leaky, targeted subsidies.

TNPSC key point: UBI was prominently discussed in India's ECONOMIC SURVEY 2016-17; its three pillars: universality, unconditionality, cash payment.

Visual memory: A giant money-shower pipe runs over the whole country, dripping the same fixed Rs. note every month onto every head. A billionaire on a yacht, farmer in a field, student in a hostel – no forms, no queues, no officer checking anyone's papers.

Image idea: A long pipe raining identical rupee notes equally onto a row of very different people (rich, poor, young, old); bold text "UNIVERSAL BASIC INCOME"; clean background.

Hook: UBI = THE SAME MONEY RAIN ON EVERY HEAD

unconditional cash for all.

Example: The Economic Survey 2016-17 devoted a chapter to UBI for India as a possible replacement for multiple welfare subsidies; no nationwide UBI has been implemented.

Simple meaning: A state that takes responsibility for its citizens' basic well-being.

Technical definition: A state that actively protects and promotes the economic and social well-being of citizens through education, health care, social security and poverty relief based on equality of opportunity and fair distribution.

TNPSC key point: India's welfare state ideal flows from the Directive Principles of State Policy (especially Article 38) social order with justice) directive, not enforceable.

Visual memory: The state as a giant umbrella-holding mother standing in the monsoon rain. Under her vast umbrella crowd a schoolchild with free books, a patient with a hospital slip, an old man with a pension slip the rain of misfortune never touches them.

Image idea: One giant umbrella sheltering a child with books, a patient and an elderly pensioner from heavy rain; bold text "WELFARE STATE"; clean background.

Hook: WELFARE STATE = THE GIANT STATE UMBRELLA
government shields citizens from cradle to grave.

Example: Tamil Nadu's welfare model is famous the noon meal scheme pioneered by K. Kamaraj, Amma canteens, free bus travel for women all classic welfare state measures.

Disguised Unemployment

MODERATE

Simple meaning: People look employed, but removing them changes nothing in output.

Technical definition: A situation where more workers are engaged than actually needed, so the MARGINAL PRODUCTIVITY of the extra workers is zero or near zero; common in Indian agriculture.

TNPSC key point: Marginal productivity of the surplus workers is approximately ZERO; the classic Indian example is family farms in agriculture.

Visual memory: Five brothers "plough" a tiny field that needs only two. Two work; three lean on the fence discussing cinema, still calling themselves farmers. One day three walk away to town and the harvest cart carries EXACTLY the same number of paddy sacks.

Image idea: A tiny field with two farmers working and three standing idle behind them, harvest basket identical in a before/after corner; bold text "DISGUISED UNEMPLOYMENT"; clean background.

Hook: DISGUISED = FIVE ON A TWO-MAN FIELD remove the extras, output stays the same.

DO NOT CONFUSE: vs Underemployment

disguised workers add nothing (marginal productivity ~zero); underemployed workers do add output but work below their capacity or skill.

Example: On small paddy farms in the Cauvery delta, whole families work plots that two people could manage the surplus members are disguisedly unemployed.

Structural Unemployment**TOUGH**

Simple meaning: Jobs exist, but jobless people do not have the skills those jobs demand.

Technical definition: Unemployment caused by a MISMATCH between workers' skills or location and the requirements of available jobs, usually due to technological change or shifts in the economy's structure; long-term in nature.

TNPSC key point: Keyword = SKILLS MISMATCH; it is long-lasting and needs retraining, unlike short frictional gaps.

Visual memory: A typewriter master stands outside a shiny IT park holding his beloved typewriter, while a giant signboard screams "WANTED: 1,000 CODERS". The door scanner rejects his typewriter like an old coin in a UPI machine – wrong key for the new lock.

Image idea: A man offering a typewriter to a door that has a laptop-shaped keyhole; bold text "STRUCTURAL UNEMPLOYMENT"; clean background.

Hook: STRUCTURAL = TYPEWRITER AT A LAPTOP-SHAPED DOOR
skills no longer fit the jobs.

DO NOT CONFUSE: vs Frictional – structural is a lasting skills mismatch needing retraining; frictional is a short, temporary gap between jobs.

Example: Handloom weavers displaced by powerlooms and mill automation around Tamil Nadu's textile belt face structural unemployment until they are re-skilled.

Frictional Unemployment**TOUGH**

Simple meaning: The short jobless gap while moving from one job to another.

Technical definition: TEMPORARY unemployment arising while workers search for new jobs or transition between jobs; it exists even in a healthy economy and is considered normal and voluntary in nature.

TNPSC key point: Frictional = BETWEEN JOBS, temporary, search-related. It is present even at "full employment".

Visual memory: A young engineer hops across a small stream from the rock named "OLD JOB" to the rock named "NEW JOB". For two seconds she is in mid-air over the water, resume flapping like wings. That brief mid-air moment is frictional unemployment.

Image idea: A person frozen mid-jump between two stones labelled "OLD JOB" and "NEW JOB" over a small stream; bold text "FRICTIONAL UNEMPLOYMENT"; clean background.

Hook: FRICTIONAL = THE MID-AIR JUMP BETWEEN TWO JOBS. It is short, normal, temporary.

DO NOT CONFUSE: vs Structural. Frictional workers have the right skills and are just searching; structural workers cannot get jobs because their skills no longer match.

Example: An IT employee in Chennai who resigns in June and joins a better firm in August is frictionally unemployed for those weeks in between.

Cyclical Unemployment**TOUGH**

Simple meaning: Job losses caused by a slump in the economy's business cycle.

Technical definition: Unemployment caused by deficient aggregate demand during recessions; jobs vanish across sectors when spending falls and return when the economy recovers. The Keynesian, demand-deficient type.

TNPSC key point: Cyclical = tied to the BUSINESS CYCLE (recession phase); the remedy is boosting aggregate demand through fiscal and monetary stimulus.

Visual memory: Workers ride a giant Ferris wheel called THE ECONOMY. At the top, everyone waves salary slips; as the wheel swings down into the recession dip, seats tip over and workers tumble out only to be scooped back in when the wheel rises again.

Image idea: A Ferris wheel drawn like a boom-bust wave, seats at the bottom tipping workers out; bold text "CYCLICAL UNEMPLOYMENT"; clean background.

Hook: CYCLICAL = FALLING OFF THE ECONOMY'S FERRIS WHEEL
Jobs lost in the downswing.

Example: During the COVID-19 downturn, hotels, auto plants and export units across India laid off workers. Cyclical unemployment that eased as demand recovered.

Seasonal Unemployment

MODERATE

Simple meaning: Having work only in certain seasons and sitting idle the rest of the year.

Technical definition: Unemployment that occurs when work is available only during particular seasons of the year. It is typical in agriculture, fisheries, tourism and sugar mills, leaving workers jobless off-season.

TNPSC key point: Linked to the CALENDAR, not the economy's health; Indian agriculture's sowing-harvest cycle is the textbook case, and MGNREGA is the classic off-season remedy.

Visual memory: A farm worker's wall calendar: June to January pages show him drenched in paddy work; February to May pages show him asleep on a cot under a dry sun, wallet flat as a chapati, waiting for the rain page to turn.

Image idea: A split calendar: lush green working months on one side, a man idle on a cot in brown dry months on the other; bold text "SEASONAL UNEMPLOYMENT"; clean background.

Hook: SEASONAL = THE CALENDAR DECIDES YOUR JOB

busy harvest, idle summer.

Example: Cauvery delta farm labourers after harvest, and Marina beach vendors in the off-tourist monsoon months, face seasonal unemployment; many take MGNREGA work in the lean season.

Simple meaning: Having a job that is far below your skill, time or capacity.

Technical definition: A situation where a person works fewer hours than desired or in a job well below their qualification and productivity potential; they DO contribute output, but far less than they could.

TNPSC key point: Underemployed workers have positive but LOW productivity relative to potential unlike disguised unemployment's near-zero marginal product.

Visual memory: An engineering gold medalist in full graduation gown drives a share-auto, his framed degree bouncing on the passenger seat. The engine he could have designed, he now only honks at a race horse pulling a vegetable cart.

Image idea: A graduate in cap and gown driving an auto-rickshaw with a large framed degree strapped beside him; bold text "UNDEREMPLOYMENT"; clean background.

Hook: UNDEREMPLOYMENT = ENGINEER DRIVING AN AUTO working far below capacity.

DO NOT CONFUSE: vs Disguised Unemployment the underemployed produce something but below potential; the disguised add virtually nothing (marginal productivity ~zero).

Example: Postgraduates applying for village sweeper or peon posts in Indian government recruitment drives are a widely reported sign of underemployment pressure.

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Labour Force Participation Rate

TOUGH

Simple meaning: What share of working-age people are working OR looking for work.

Technical definition: LFPR = (Employed + Unemployed persons seeking work) as a percentage of the working-age population; those neither working nor seeking work (students, homemakers) are OUTSIDE the labour force.

TNPSC key point: LFPR's denominator is the working-age POPULATION; India's female LFPR is notably low – a favourite exam theme. [CURRENT DATA – VERIFY SEPARATELY.]

Visual memory: A stadium of working-age people. A megaphone announces: "All who work or want work, step onto the field!" Workers and job-hunters run in; students, retirees and homemakers stay in the stands. The field crowd versus the whole stadium – that fraction is LFPR.

Image idea: A stadium seen from above with a crowded playing field labelled "WORKING + SEEKING" and people remaining in the stands; bold text "LFPR"; clean background.

Hook: LFPR = FIELD CROWD OVER FULL STADIUM – workers plus job-seekers as a share of working-age people.

DO NOT CONFUSE: vs Unemployment Rate

LFPR divides by the working-age POPULATION; the unemployment rate divides the unemployed by the LABOUR FORCE only.

Example: The Periodic Labour Force Survey (PLFS) of the NSO publishes India's LFPR, with separate male and female rates for rural and urban areas.

Unemployment Rate

MODERATE

Simple meaning: Of the people who want work, what percentage cannot find it.

Technical definition: Unemployment Rate = Unemployed persons as a percentage of the LABOUR FORCE (employed + unemployed) NOT of the total population; measured in India by the PLFS.

TNPSC key point: The denominator is the LABOUR FORCE, not the population the single most-tested trick in this topic.

Visual memory: From the stadium's playing field of job-wanters, the empty-handed ones raise red "NO JOB" flags. The referee counts only red flags against the FIELD crowd he never even glances at the stands full of students and grandmothers.

Image idea: A group of figures on a field, a few holding red "NO JOB" flags, a percentage bubble comparing red flags to field size only; bold text "UNEMPLOYMENT RATE"; clean background.

Hook: UNEMPLOYMENT RATE = RED FLAGS OVER THE FIELD ONLY unemployed as a share of the labour force.

DO NOT CONFUSE: vs LFPR unemployment rate = unemployed / labour force; LFPR = labour force / working-age population. Different denominators!

Example: When PLFS reports India's unemployment rate, it means that percentage of the labour force not of all Indians was jobless and seeking work. [CURRENT DATA VERIFY SEPARATELY.]

Simple meaning: The economy grows fast, but new jobs barely grow at all.

Technical definition: A phase where GDP rises significantly without a matching rise in employment because growth comes from capital-intensive, technology-driven sectors with low employment elasticity.

TNPSC key point: Keyword = LOW EMPLOYMENT ELASTICITY of growth; India's post-1991 growth, led by services and automation, is the standard example.

Visual memory: A gleaming GDP rocket blasts skyward while thousands of job-seekers stand at the launchpad holding boarding passes. The rocket's door stays shut it is flown entirely by robots and the crowd watches its own economy soar away without them.

Image idea: A rocket labelled "GDP" lifting off while a queue with briefcases waits at a closed boarding gate below; bold text "JOBLESS GROWTH"; clean background.

Hook: JOBLESS GROWTH = GDP ROCKET, NO PASSENGERS

output soars, employment stands still.

Example: India's IT and finance-led boom of the 1990s-2000s lifted GDP sharply while factory-scale job creation lagged economists labelled it jobless growth.

Simple meaning: Jobs without contracts, fixed salaries or social security the unorganised world of work.

Technical definition: The unorganised part of the economy small unregistered units and casual workers without written contracts, paid leave, provident fund or job security; it employs the overwhelming majority of India's workforce.

TNPSC key point: Around 90% of India's workers are in informal/unorganised employment; the e-Shram portal registers unorganised workers. [CURRENT DATA VERIFY SEPARATELY.]

Visual memory: A vast street bazaar of vendors, construction workers, auto drivers and tailors working under the open sky no appointment letters, no ID cards, no safety net below them while a tiny air-conditioned glass office labelled "FORMAL" sits in the corner holding just one in ten workers.

Image idea: A huge lively street crowd of vendors and daily-wage workers dwarfing one small glass office building marked "FORMAL"; bold text "INFORMAL SECTOR"; clean background.

Hook: INFORMAL SECTOR = THE GIANT BAZAAR WITHOUT A SAFETY NET most Indian workers, least protection.

Example: Chennai's construction workers, Koyambedu market loadmen and street food vendors are informal sector workers, now encouraged to register on the e-Shram portal.

Simple meaning: The country produces MORE goods and services than before.

Technical definition: A sustained increase in a country's real GDP (or real per capita income) over time; a purely quantitative measure of output expansion.

TNPSC key point: Growth is QUANTITATIVE it is measured only by the rise in real GDP/national income, and says nothing about welfare or distribution.

Visual memory: A giant GDP bar chart hits the gym: every year the bar bulges taller with bigger muscles but its face has NO smile. Huge biceps, zero happiness. Size grew, life did not.

Image idea: One bodybuilder-shaped GDP bar flexing enormous muscles with a blank face, big bold text "ECONOMIC GROWTH", clean white background.

Hook: GROWTH = MUSCLE BAR GDP gets BIGGER, nothing more.

DO NOT CONFUSE: vs Economic Development

Growth = quantitative rise in GDP only; Development = growth PLUS welfare, health, education (qualitative, measured by HDI).

Example: India's real GDP expanding around 7% a year is economic growth the number rises even if inequality stays.

Simple meaning: The country grows AND people's lives actually get better.

Technical definition: Economic growth accompanied by improvement in living standards education, health, equality and institutions; a qualitative plus quantitative concept, measured by indicators like HDI.

TNPSC key point: Development = Growth + Welfare change; it is judged by HDI-type indicators, not by GDP alone.

Visual memory: The same muscle GDP bar but now it is SMILING, wearing a graduation cap, holding a stethoscope, and lifting a child onto its shoulders. Bigger AND better.

Image idea: One smiling tall bar figure wearing a graduation cap and doctor's stethoscope carrying a happy child, big bold text "ECONOMIC DEVELOPMENT", clean background.

Hook: DEVELOPMENT = SMILING GRADUATE BAR growth plus a better life.

DO NOT CONFUSE: vs Economic Growth Growth is possible without Development, but Development is NOT possible without growth; Development adds welfare/HDI to the GDP rise.

Example: Kerala and Tamil Nadu score high on literacy and health indicators development, not just income growth.

Simple meaning: The skills, education and health stored inside people.

Technical definition: The stock of knowledge, skills, education, training and health embodied in a population that raises its productivity; built by investment in education and healthcare.

TNPSC key point: Expenditure on education and health is INVESTMENT (human capital formation), not consumption.

Visual memory: A worker opens his own head like a treasure chest inside are gold coins shaped like books, degree certificates and first-aid kits. His brain IS the bank vault.

Image idea: A human head opening like a treasure chest full of glowing books and gold coins, big bold text "HUMAN CAPITAL", clean background.

Hook: HUMAN CAPITAL = TREASURE INSIDE THE HEAD

skills and health are wealth.

Example: Tamil Nadu Skill Development Corporation (Naan Mudhalvan scheme) trains youth investment in human capital.

Demographic Dividend**TOUGH**

Simple meaning: A growth bonus when a country has many workers and few dependents.

Technical definition: The potential economic growth boost that arises when the share of the working-age population (15-64 years) rises relative to dependents (children and elderly).

TNPSC key point: Dividend comes from a RISING working-age SHARE. It is only a potential bonus; it pays off only with jobs, education and health investment.

Visual memory: A cricket team where 9 of 11 players are fit young all-rounders. The scoreboard explodes. But if they never practise (no skills, no jobs), the same team just sits in the pavilion eating snacks.

Image idea: A crowd of energetic young workers lifting a giant golden coin together, big bold text "DEMOGRAPHIC DIVIDEND", clean background.

Hook: DIVIDEND = YOUTH ARMY LIFTS THE COIN. More workers, fewer dependents, growth bonus.

Example: India is currently in its demographic dividend window with one of the world's largest working-age populations.

Demographic Transition

TOUGH

Simple meaning: How a country's births and deaths change as it develops.

Technical definition: The theory that populations move through stages: high birth and death rates, then falling death rates (population explosion), then falling birth rates, and finally low birth and death rates.

TNPSC key point: In Stage 2 the DEATH rate falls while the birth rate stays high that gap causes population explosion; India is now in the later (third) stage with falling birth rates.

Visual memory: A four-frame movie of one village: Frame 1 many cradles, many funerals; Frame 2 doctors arrive, funerals stop but cradles keep coming, village overflows; Frame 3 families choose fewer cradles; Frame 4 calm, quiet, balanced village.

Image idea: A staircase of four steps showing crowded-to-calm family icons on each step, big bold text "DEMOGRAPHIC TRANSITION", clean background.

Hook: TRANSITION = FOUR-STEP STAIRCASE high births and deaths slowly become low births and deaths.

Example: Tamil Nadu's fertility rate fell below replacement level early the state completed its transition ahead of most of India.

Trickle-Down Theory**TOUGH**

Simple meaning: Help the rich grow first; benefits will slowly drip down to the poor.

Technical definition: The idea that overall growth concentrated among big business and the rich eventually spreads to lower income groups through jobs and spending without direct redistribution.

TNPSC key point: Trickle-down is criticised for failing the poor its failure is the main argument FOR inclusive growth policies in India.

Visual memory: A champagne-glass tower: the top glass (the rich) overflows luxuriously, while the bottom row of tiny glasses (the poor) waits forever for two sad drops to trickle down.

Image idea: A tower of stacked glasses with only the top glass full and one tiny drop falling toward empty bottom glasses, big bold text "TRICKLE-DOWN", clean background.

Hook: TRICKLE-DOWN = OVERFLOWING TOP GLASS, THIRSTY BOTTOM

Example: India's early growth strategy assumed trickle-down; its failure led planners to adopt direct poverty programmes and inclusive growth.

Simple meaning: As a country gets richer, inequality first rises, then falls.

Technical definition: Simon Kuznets' inverted-U hypothesis: in early growth, income inequality increases; after a turning point of development, inequality declines.

TNPSC key point: Kuznets Curve = INVERTED-U between inequality (Y-axis) and per capita income/growth (X-axis).

Visual memory: A rollercoaster shaped like an upside-down U: the "Inequality" cart climbs terrifyingly high as the country earns its first money, screams at the top, then glides down as prosperity spreads.

Image idea: A single inverted-U rollercoaster track with a cart at the peak labelled "inequality", big bold text "KUZNETS CURVE", clean background.

Hook: KUZNETS = INEQUALITY ROLLERCOASTER up first, down later, inverted-U.

DO NOT CONFUSE: vs Environmental Kuznets Curve same inverted-U shape but it plots POLLUTION (not income inequality) against per capita income.

Example: Debates on whether India's post-1991 rise in inequality will follow Kuznets' predicted decline are common in Economic Survey discussions.

Simple meaning: A graph that shows how unequally income is shared.

Technical definition: A curve plotting the cumulative percentage of population (X-axis) against the cumulative percentage of income they receive (Y-axis); the farther it sags below the 45-degree line of equality, the greater the inequality.

TNPSC key point: Lorenz Curve is a GRAPH of income distribution; the 45-degree diagonal is the line of PERFECT EQUALITY.

Visual memory: A taut diagonal rope of equality tied corner to corner and below it a sagging hammock. The lazier (more unequal) the country, the deeper the hammock sags away from the rope.

Image idea: A straight diagonal rope with a deeply sagging hammock hanging below it inside a graph frame, big bold text "LORENZ CURVE", clean background.

Hook: LORENZ = SAGGING HAMMOCK vs THE STRAIGHT ROPE
deeper sag, deeper inequality.

DO NOT CONFUSE: vs Gini Coefficient
Lorenz is the GRAPH of inequality; Gini is the single NUMBER (0 to 1) calculated FROM that graph.

Example: NSO consumption survey data can be drawn as a Lorenz Curve to compare inequality between Indian states.

Simple meaning: One number between 0 and 1 that scores a country's inequality.

Technical definition: The ratio of the area between the line of equality and the Lorenz Curve to the total area under the line of equality; 0 = perfect equality, 1 = perfect inequality.

TNPSC key point: Gini 0 = PERFECT EQUALITY, Gini 1 = perfect inequality. It is derived from the Lorenz Curve.

Visual memory: A stern judge holds up a scorecard for the sagging hammock's performance: "0" means the hammock lies flat on the rope (everyone equal), "1" means the hammock has crashed to the floor (one man owns everything).

Image idea: A judge holding a scorecard showing "0 --- 1" scale with a small hammock-curve icon on it, big bold text "GINI COEFFICIENT", clean background.

Hook: GINI = JUDGE'S SCORE FOR THE HAMMOCK. 0 equal, 1 totally unequal.

DO NOT CONFUSE: vs Lorenz Curve. Gini is the NUMBER (0 to 1) derived from the Lorenz Curve; Lorenz is the graph itself.

Example: Economists track India's consumption Gini to test whether inequality rose after liberalisation.

Simple meaning: Growth in which every section of society gets a share.

Technical definition: Broad-based growth that creates opportunities for all the poor, rural areas, women and backward regions and reduces inequality while GDP rises.

TNPSC key point: The 11th Five Year Plan (2007-12) was themed "Towards Faster and More Inclusive Growth".

Visual memory: A giant growth train where EVERY coach is attached and moving. No coach left standing at the platform while the engine speeds away.

Image idea: A long cheerful train with diverse passengers in every coach all moving up a rising track, big bold text "INCLUSIVE GROWTH", clean background.

Hook: INCLUSIVE GROWTH = NO COACH LEFT BEHIND
everyone rides the growth train.

Example: MGNREGA and financial inclusion drives like Jan Dhan are flagship inclusive growth tools in India.

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Human Development Index (HDI)

MODERATE

Simple meaning: A score that ranks countries by health, education and income together.

Technical definition: UNDP composite index (0 to 1) combining three dimensions: long and healthy life (life expectancy), knowledge (mean and expected years of schooling) and decent standard of living (GNI per capita, PPP).

TNPSC key point: HDI is published by UNDP (first Human Development Report 1990), created by Mahbub ul Haq with Amartya Sen. THREE dimensions: health, education, income. India's current rank: [CURRENT DATA VERIFY SEPARATELY].

Visual memory: A three-legged stool named HDI: one leg is a stethoscope (health), one leg a pencil (education), one leg a wad of currency (income). Saw off ANY one leg and the country crashes to the floor.

Image idea: A three-legged stool whose legs are a giant stethoscope, a pencil and a rolled banknote, big bold text "HDI", clean background.

Hook: HDI = THREE-LEGGED STOOL. health + education + income, by UNDP.

DO NOT CONFUSE: vs MPI. HDI averages a country's ACHIEVEMENTS in health, education and income; MPI counts the overlapping DEPRIVATIONS suffered by poor households.

Example: Kerala tops Indian states on HDI-type indicators thanks to high literacy and life expectancy.

Gender Inequality Index

ADVANCED

Simple meaning: A score showing how much a country loses because women are treated unequally.

Technical definition: UNDP index measuring gender-based disadvantage across three dimensions: reproductive health, empowerment (education and parliament seats) and labour market participation; higher value = more inequality.

TNPSC key point: GII is by UNDP with THREE dimensions: reproductive health, empowerment, labour market; value 0 means perfect gender equality.

Visual memory: A see-saw with a man and a woman: in an unequal country the man's side is loaded with parliament chairs, salaries and hospital access, slamming the woman's side into the sky. GII measures how tilted the see-saw is.

Image idea: A dramatically tilted see-saw with a man weighed down by coins and a chair on one side and a woman lifted high on the other, big bold text "GENDER INEQUALITY INDEX", clean background.

Hook: GII = TILTED SEE-SAW. The more tilt against women, the higher the score.

Example: India's low female labour force participation is a major reason its GII remains poor despite growth.

Physical Quality of Life Index (PQLI)

ADVANCED

Simple meaning: An old quality-of-life score that ignores money completely.

Technical definition: Index developed by Morris David Morris (1979) averaging three indicators: literacy rate, infant mortality rate and life expectancy at age one with NO income component.

TNPSC key point: PQLI (Morris D. Morris) uses literacy, infant mortality and life expectancy. Income is NOT included.

Visual memory: A doctor-teacher weighs a smiling baby on a scale while a moneybag begs to climb on but the doctor kicks the moneybag out of the clinic shouting "No money allowed in PQLI!"

Image idea: A healthy baby on a weighing scale holding a book, with a crossed-out moneybag in the corner, big bold text "PQLI", clean background.

Hook: PQLI = BABY + BOOK, MONEYBAG BANNED. Life quality without income.

DO NOT CONFUSE: vs HDI. PQLI has NO income measure; HDI includes income (GNI per capita) as one of its three dimensions.

Example: Before HDI became standard, India's social progress was often compared using PQLI in development literature.

Gross National Happiness**TOUGH**

Simple meaning: Measuring a country's success by happiness, not just money.

Technical definition: Bhutan's development philosophy that judges progress by collective well-being across pillars like sustainable development, cultural preservation, environmental conservation and good governance instead of GDP alone.

TNPSC key point: GNH is BHUTAN's concept, coined by King Jigme Singye Wangchuck (1972), with FOUR pillars.

Visual memory: A Himalayan king throws the GDP calculator off a mountain and instead weighs his citizens' SMILES on a giant golden weighing scale monks, farmers and children all grinning onto the pan.

Image idea: A golden weighing scale piled with big smiling faces outweighing a small pile of coins, Himalayan peaks behind, big bold text "GROSS NATIONAL HAPPINESS", clean background.

Hook: GNH = SMILES OUTWEIGH COINS Bhutan measures happiness, not GDP.

Example: Indian policy debates cite Bhutan's GNH when arguing that GDP alone cannot capture well-being.

Sustainable Development Goals (SDGs)

MODERATE

Simple meaning: The world's shared to-do list of 17 goals to fix poverty, health and the planet by 2030.

Technical definition: 17 global goals with 169 targets under the UN 2030 Agenda for Sustainable Development, adopted by the UN in 2015 as successor to the Millennium Development Goals (MDGs).

TNPSC key point: SDGs = 17 goals, 169 targets, adopted 2015, deadline 2030. SDG 1 is "No Poverty"; NITI Aayog tracks states via the SDG India Index.

Visual memory: The whole planet holds a giant fridge-door checklist with 17 colourful magnets "end poverty", "clean water", "climate action" and a screaming red alarm clock set for 2030 ticking beside it.

Image idea: Planet Earth holding a checklist of 17 colourful squares next to a big alarm clock reading "2030", big bold text "SDGs", clean background.

Hook: SDGs = EARTH'S 17-ITEM CHECKLIST WITH A 2030 ALARM. 17 global goals, 2030 Agenda.

Example: NITI Aayog's SDG India Index scores Indian states on the goals; Tamil Nadu consistently figures among the front-runner states.

Simple meaning: Grow today without eating up tomorrow's resources.

Technical definition: Development that meets the needs of the present without compromising the ability of future generations to meet their own needs the classic Brundtland Commission definition.

TNPSC key point: The definition comes from the Brundtland Report "Our Common Future" (1987).

Visual memory: A grandmother and her tiny grandchild share ONE mango tree: grandma plucks only ripe mangoes and waters the roots, so the child will still have mangoes in 2050. She never chops the tree for quick firewood.

Image idea: An elder handing a small sapling to a child while a full-grown fruit tree stands behind them, big bold text "SUSTAINABLE DEVELOPMENT", clean background.

Hook: SUSTAINABLE = SHARE THE MANGO TREE WITH THE GRANDCHILD $\frac{1}{2}$ today's needs, tomorrow protected.

Example: Tamil Nadu's big push for wind and solar power aims at growth without exhausting fossil fuels.

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Green Economy

TOUGH

Simple meaning: An economy built to be low-carbon, resource-saving and fair to all.

Technical definition: UNEP's model of an economy that is low-carbon, resource-efficient and socially inclusive where growth in income and jobs comes from investments that cut pollution and protect ecosystems.

TNPSC key point: Green Economy is a UNEP concept low carbon + resource efficient + socially inclusive; it is a MODEL of the economy, not a statistic.

Visual memory: An entire city painted green runs on a giant leaf: buses run on sunlight, factories exhale flowers instead of smoke, and every worker rich or poor rides the same solar train.

Image idea: A miniature city of wind turbines, solar panels and green factories sitting on one giant leaf, big bold text "GREEN ECONOMY", clean background.

Hook: GREEN ECONOMY = CITY ON A LEAF the whole economy runs clean and inclusive.

DO NOT CONFUSE: vs Green GDP Green GDP is a NUMBER (GDP adjusted for environmental damage); Green Economy is a whole MODEL of running the economy.

Example: India's National Solar Mission and green hydrogen push are steps toward a green economy.

Circular Economy**TOUGH**

Simple meaning: Nothing is thrown away everything is reused, repaired or recycled.

Technical definition: An economic model that keeps materials in use through reduce-reuse-recycle loops, replacing the linear "take-make-dispose" model and minimising waste and resource extraction.

TNPSC key point: Circular = closed LOOP (reduce, reuse, recycle) versus the LINEAR take-make-dispose economy.

Visual memory: A plastic bottle on a merry-go-round that never stops: bottle becomes T-shirt, T-shirt becomes bag, bag becomes bench, bench becomes bottle again the dustbin at the side is starving, covered in cobwebs.

Image idea: Products (bottle, shirt, bag, chair) riding a circular conveyor loop with a cobwebbed empty dustbin outside the circle, big bold text "CIRCULAR ECONOMY", clean background.

Hook: CIRCULAR ECONOMY = MERRY-GO-ROUND OF STUFF
waste never exits the loop.

Example: India's Extended Producer Responsibility rules make companies collect and recycle their plastic packaging circular economy in action.

Simple meaning: Making polluters pay a price for every tonne of carbon they emit.

Technical definition: Policy instruments that attach a monetary cost to greenhouse gas emissions. Mainly carbon TAXES and emissions TRADING (cap-and-trade) systems so polluters internalise climate damage.

TNPSC key point: Carbon Pricing is the umbrella policy of putting a price on carbon. It INCLUDES both carbon tax and carbon trading.

Visual memory: A toll gate in the sky: every puff of factory smoke must stop at the gate and pay cash before floating up. Tax booth on the left lane, permit-trading booth on the right lane. Both lanes charge the smoke.

Image idea: A cloud of smoke stopped at a toll gate handing over coins, big bold text "CARBON PRICING", clean background.

Hook: CARBON PRICING = TOLL GATE FOR SMOKE. tax it or trade it, but pay for it.

DO NOT CONFUSE: vs Carbon Credit. Carbon Credit is ONE tradable permit (1 tonne of CO₂); Carbon Pricing is the whole POLICY of pricing carbon, covering both tax and trading.

Example: India taxes coal via GST compensation cess and is building a domestic carbon market. Both are forms of carbon pricing.

Simple meaning: A tradable ticket that allows emitting one tonne of carbon dioxide.

Technical definition: A tradable certificate representing the right to emit one tonne of CO₂ (or equivalent); firms that cut emissions can sell surplus credits to polluters. It is a mechanism popularised under the Kyoto Protocol.

TNPSC key point: 1 carbon credit = 1 TONNE of CO₂ equivalent, and it is TRADABLE between firms and countries.

Visual memory: A cinema ticket counter for pollution: a green factory that cut its smoke sells its unused "1 TONNE" tickets to a coughing black factory at a premium. The clean factory gets rich by NOT polluting.

Image idea: A golden ticket stamped "1 TONNE CO₂" being passed from a clean green factory to a smoky factory, big bold text "CARBON CREDIT", clean background.

Hook: CARBON CREDIT = 1-TONNE POLLUTION TICKET
Cut smoke, sell the ticket.

DO NOT CONFUSE: vs Carbon Pricing. The credit is the tradable PERMIT itself; carbon pricing is the broader policy (tax + trading) that gives carbon a price.

Example: India's Carbon Credit Trading Scheme (2023) creates a national market where Indian industries can earn and trade credits.

Simple meaning: A guaranteed floor price the government promises farmers before sowing.

Technical definition: The price at which the government stands ready to buy notified crops from farmers so that market prices do not crash below it; announced before the sowing season for about 22 crops (sugarcane gets FRP instead).

TNPSC key point: MSP is announced by the CCEA (Cabinet Committee on Economic Affairs) based on the recommendations of the CACP (Commission for Agricultural Costs and Prices).

Visual memory: A farmer stands on a sturdy government-built floor labelled "MSP" while market prices crash through the ground all around him

he cannot fall below the floor no matter how hard prices collapse.

Image idea: A farmer holding a paddy sheaf standing safely on a solid glowing floor while price arrows crash below it, big bold text "MSP", clean background.

Hook: MSP = THE FLOOR FARMERS CANNOT FALL THROUGH
CCEA announces, CACP recommends.

DO NOT CONFUSE: vs Procurement Price

MSP is the pre-sowing guarantee FLOOR; procurement price is the price at which government actually buys grain for its buffer/PDS stocks.

Example: Tamil Nadu delta farmers sell paddy to government procurement centres at MSP (plus a state incentive announced by Tamil Nadu).

Simple meaning: The 1960s jump in foodgrain output using miracle seeds, fertilisers and irrigation.

Technical definition: The mid-1960s transformation of Indian agriculture through High Yielding Variety (HYV) seeds, chemical fertilisers, assured irrigation and credit making India self-sufficient in foodgrains, first in wheat.

TNPSC key point: Norman Borlaug is the global father; M.S. Swaminathan is the father of India's Green Revolution; it succeeded first in wheat in Punjab, Haryana and western UP.

Visual memory: A scientist plants ONE glowing super-seed in Punjab soil and a skyscraper of wheat erupts overnight, raining rotis over a country that had been queuing for imported grain ships.

Image idea: One glowing giant seed sprouting into a towering wheat stalk over a green field, big bold text "GREEN REVOLUTION", clean background.

Hook: GREEN REVOLUTION = MIRACLE SEED SKYSCRAPER
HYV seeds ended food imports.

Example: M.S. Swaminathan, born in Kumbakonam, Tamil Nadu, led the HYV programme that made India food self-sufficient.

Simple meaning: Government's emergency store of foodgrains.

Technical definition: Stocks of foodgrains (mainly rice and wheat) procured at MSP and held by the Food Corporation of India (FCI) to meet PDS needs, emergencies and to stabilise prices by releasing grain when prices rise.

TNPSC key point: Buffer stock is maintained by the FCI; buffer norms are fixed by the CCEA. Released through open market sales to cool prices.

Visual memory: A colossal grain fortress with FCI guards: when drought demons attack and prices try to fly, the gates burst open and mountains of rice avalanche into the market, crushing the price rise flat.

Image idea: A giant fortress-shaped grain silo overflowing with rice sacks, gates opening toward a market, big bold text "BUFFER STOCK", clean background.

Hook: BUFFER STOCK = GRAIN FORTRESS. FCI's stored grain shields prices and the PDS.

Example: During COVID-19, free grain under PMGKAY came straight out of FCI buffer stocks.

Simple meaning: The ration-shop network selling cheap foodgrains to households.

Technical definition: The government network of Fair Price Shops distributing subsidised foodgrains and essentials, run jointly by the Centre (procurement via FCI) and states (distribution); targeted as TPDS since 1997 and backed by the National Food Security Act, 2013.

TNPSC key point: Tamil Nadu runs a UNIVERSAL PDS. Every family card is entitled, unlike the targeted (BPL-based) PDS in other states. Classic TNPSC question.

Visual memory: A Tamil Nadu ration shop with its door flung wide and a banner: "EVERYONE WELCOME" no poverty test at this door!" while other states' shops make people queue at a checkpoint that scans for a BPL stamp.

Image idea: A cheerful ration shop with rice sacks and one giant open door welcoming a whole crowd, big bold text "PDS", clean background.

Hook: PDS = RATION SHOP; TAMIL NADU'S DOOR IS OPEN TO ALL. Universal, not targeted.

Example: Tamil Nadu's universal PDS supplies rice at token prices to all ration card holders through Fair Price Shops.

Simple meaning: Laws that took land from big landlords and protected tillers.

Technical definition: Post-independence measures to restructure land ownership: abolition of zamindari/intermediaries, tenancy reforms (security and fair rent), ceilings on land holdings, and consolidation of fragmented holdings.

TNPSC key point: Land reform laws were shielded from court challenge by placing them in the NINTH SCHEDULE created by the First Constitutional Amendment (1951).

Visual memory: A giant zamindar octopus gripping a whole village's fields. The law-sword slices its tentacles one by one: slice (zamindari gone), slice (tenant protected), slice (ceiling fixed), and the fields fall back into farmers' hands.

Image idea: A sword cutting ropes that tie many small green fields to one fat landlord's chair, fields floating back to happy farmers, big bold text "LAND REFORMS", clean background.

Hook: LAND REFORMS = CUTTING THE LANDLORD'S ROPES
Land to the tiller, protected by the Ninth Schedule.

Example: Tamil Nadu's ryotwari legacy and its land ceiling acts redistributed surplus land to landless labourers.

Simple meaning: Government pays part of farming costs so inputs stay cheap.

Technical definition: Financial support that lowers the cost of farm inputs and outputs. Fertiliser, power, irrigation, seeds and credit subsidies on the input side, plus food subsidy on the consumer side.

TNPSC key point: Fertiliser subsidy is the largest INPUT subsidy of the Union government; the food subsidy (PDS/NFSA) is a separate consumer subsidy.

Visual memory: At the farm-supplies counter a farmer pulls out his wallet but a giant government hand reaches over his shoulder and slams down most of the cash first, leaving the farmer to pay only a few coins for his fertiliser bag.

Image idea: A big hand stamped "GOVT" paying most of a fertiliser bag's price tag while a farmer pays a small coin, big bold text "AGRICULTURAL SUBSIDY", clean background.

Hook: SUBSIDY = GOVERNMENT PAYS MOST OF THE BILL
cheap inputs for farmers.

Example: Urea sold to Indian farmers far below cost, and Tamil Nadu's free farm power supply, are classic agricultural subsidies.

Simple meaning: A card that gives farmers quick, cheap crop loans.

Technical definition: A scheme (1998) giving farmers timely short-term credit for cultivation and allied needs through a revolving credit card-style limit from banks, with concessional interest via government subvention.

TNPSC key point: KCC was launched in 1998 on the recommendation of the R.V. Gupta Committee, with the scheme designed by NABARD.

Visual memory: A farmer swipes a golden credit card at his field like a metro gate. The gate flashes green and instantly seeds, fertiliser and diesel pour out. No moneylender lurking with a 40% interest ledger anywhere in sight.

Image idea: A farmer swiping a large golden card over a paddy field with seeds and notes flowing out of it, big bold text "KISAN CREDIT CARD", clean background.

Hook: KCC = SWIPE THE CARD, SKIP THE MONEYLENDER

Instant cheap crop credit since 1998.

Example: Tamil Nadu farmers use KCC limits through cooperative and commercial banks to fund each paddy season.

Simple meaning: Farmer and company fix the price and quantity BEFORE the crop is grown.

Technical definition: An agreement between farmers and buyers (agri-firms, processors, exporters) made before production, fixing price, quality and quantity; the buyer often supplies inputs and technology, reducing the farmer's price risk.

TNPSC key point: The Model Contract Farming Act, 2018 (Centre's model law) guides states; the deal covers the PRODUCE the buyer gets no rights over the farmer's LAND.

Visual memory: A farmer and a chips-company manager shake hands over a baby potato plant while signing a giant scroll: "Rs. fixed TODAY for potatoes of NEXT year." The weather demon and price demon stand outside the fence, sulking they cannot touch a signed scroll.

Image idea: A farmer and a businessman shaking hands over a sprouting field with a large signed scroll between them, big bold text "CONTRACT FARMING", clean background.

Hook: CONTRACT FARMING = HANDSHAKE BEFORE HARVEST
price locked before the crop exists.

Example: Sugar mills and poultry integrators in Tamil Nadu, and PepsiCo's potato tie-ups with farmers, run on contract farming.

Simple meaning: Insurance that pays farmers when crops fail.

Technical definition: Pradhan Mantri Fasal Bima Yojana (2016) insures notified crops against natural calamities, pests and diseases; farmers pay a low fixed premium and the government pays the balance to insurers.

TNPSC key point: PMFBY (2016) farmer premium: 2% for kharif, 1.5% for rabi, 5% for annual commercial/horticultural crops the rest is subsidised.

Visual memory: A monster cyclone flattens a paddy field

but the farmer calmly opens a giant umbrella stamped "2% - 1.5% - 5%" and money rains down on him instead of ruin. The cyclone roars; the farmer sips tea.

Image idea: A farmer under a huge sturdy umbrella while a storm destroys crops around him and coins fall on his side, big bold text "PMFBY", clean background.

Hook: PMFBY = UMBRELLA AGAINST CROP DISASTERS

tiny premium, big protection.

Example: Delta farmers hit by cyclones like Gaja claimed compensation for damaged paddy under crop insurance.

Simple meaning: One online market where farmers can sell to buyers anywhere in India.

Technical definition: National Agriculture Market is a pan-India electronic trading portal launched in 2016 that networks APMC mandis into one unified online market for transparent price discovery of farm produce.

TNPSC key point: e-NAM is an ONLINE trading platform launched in 2016 linking APMC mandis; implemented by the Small Farmers Agribusiness Consortium (SFAC).

Visual memory: A farmer in his field photographs one tomato with his phone and instantly a thousand traders from Delhi to Madurai appear on the screen bidding against each other like an IPL auction, pushing the tomato's price up, up, up.

Image idea: A farmer holding a smartphone showing an auction screen with rising bids over a tomato, big bold text "e-NAM", clean background.

Hook: e-NAM = IPL AUCTION FOR CROPS ON A PHONE

is one national online mandi since 2016.

Example: Regulated markets in Tamil Nadu are integrated with e-NAM so local produce gets bids from buyers across states.

Industrial Policy

TOUGH

Simple meaning: The government's master plan for which industries grow and how.

Technical definition: Official statements setting the role of public and private sectors, licensing, and foreign investment in industry
key milestones: IPR 1948, IPR 1956 and the New Industrial Policy of 1991.

TNPSC key point: The Industrial Policy Resolution 1956 is called the "Economic Constitution of India"; the 1991 policy abolished licence raj (delicensing) and opened the economy.

Visual memory: Three giant signboards on India's industrial highway: 1948 "Drive carefully, mixed traffic"; 1956 "STATE VEHICLES GET RIGHT OF WAY" carved like a constitution stone; 1991 the licence toll-booth is bulldozed and traffic floods through free.

Image idea: A bulldozer smashing a toll booth labelled "LICENCE" while factories race down an open highway, big bold text "INDUSTRIAL POLICY", clean background.

Hook: INDUSTRIAL POLICY = HIGHWAY RULES FOR FACTORIES
1956 the constitution, 1991 the liberation.

Example: After the 1991 delicensing, auto majors set up plants around Chennai, turning it into the "Detroit of India".

Simple meaning: Micro, Small and Medium Enterprises
the small factories and shops that employ crores.

Technical definition: Enterprises classified since 2020 by COMPOSITE criteria investment in plant and machinery/equipment AND annual turnover registered online through the Udyam portal (limits revised upward in Budget 2025-26).

TNPSC key point: Classification uses BOTH investment AND turnover (composite criteria, same for manufacturing and services) with Udyam registration.

Visual memory: Three brothers run three shops in one street
Micro the tea-stall, Small the workshop, Medium the mini-factory. A tailor measures each brother with TWO tapes at once: one tape marked "investment", the other "turnover" both tapes decide his size.

Image idea: Three factory buildings of small, medium and large size being measured together by two giant measuring tapes, big bold text "MSME", clean background.

Hook: MSME = THREE BROTHERS, TWO MEASURING TAPES
investment + turnover decide the size.

Example: Tiruppur's knitwear units and Coimbatore's pump manufacturers are classic Tamil Nadu MSME clusters.

Index of Industrial Production (IIP)**TOUGH**

Simple meaning: The monthly report card of India's factories, mines and power plants.

Technical definition: A monthly index measuring the volume of industrial output across three sectors – mining, manufacturing and electricity – released by the NSO (MoSPI) with base year 2011-12.

TNPSC key point: IIP is released MONTHLY by NSO, base year 2011-12; MANUFACTURING carries the highest weight (about 78%) among its three sectors.

Visual memory: Every month a strict headmaster lines up three students – Mining, Manufacturing and Electricity – and reads out one combined mark sheet. Manufacturing is the giant student occupying almost the whole bench while the other two squeeze at the edge.

Image idea: A giant monthly report card held over a factory, a mine and an electricity pylon, with the factory drawn far bigger than the rest, big bold text "IIP", clean background.

Hook: IIP = MONTHLY FACTORY REPORT CARD
mining + manufacturing + electricity, base 2011-12.

Example: A festival-season surge in vehicle and textile production shows up as a jump in India's IIP numbers.

Core Industries (Eight Core Sectors)

ADVANCED

Simple meaning: The eight backbone industries the rest of the economy stands on.

Technical definition: Coal, crude oil, natural gas, refinery products, fertilisers, steel, cement and electricity tracked by a monthly Index of Eight Core Industries because their output feeds every other sector.

TNPSC key point: The eight core sectors carry about 40% weight in the IIP; REFINERY PRODUCTS has the highest weight among the eight.

Visual memory: Eight muscular pillars coal-black, oil-slick, gas-blue, refinery-silver, fertiliser-green, steel-grey, cement-white and electric-yellow hold up a whole stadium named "Indian Industry". If one pillar sneezes, the entire stadium shakes.

Image idea: Eight labelled pillars holding up one large factory-covered platform, big bold text "8 CORE INDUSTRIES", clean background.

Hook: CORE = EIGHT PILLARS UNDER THE ECONOMY

about 40% of the whole IIP.

DO NOT CONFUSE: vs IIP the eight core sectors are only a PART of the IIP with roughly 40% weight; the core index is not the IIP itself.

Example: Neyveli's lignite (coal) and Salem's steel plant in Tamil Nadu belong to India's core sectors.

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Public-Private Partnership (PPP model)

TOUGH

Simple meaning: Government and private companies build big projects together.

Technical definition: A long-term contract where a private partner finances, builds and operates public infrastructure (roads, ports, metros) sharing risks with government via models like BOT and BOOT, often supported by Viability Gap Funding.

TNPSC key point: PPP = government + private sector sharing cost and RISK in infrastructure; BOT (Build-Operate-Transfer) is the classic model.

Visual memory: A minister and a CEO in a two-seater cycle-rickshaw pedal one giant highway roller together. Government steers, private money pedals, and the toll booth ahead will repay the CEO before he hands the keys back.

Image idea: A government official and a businessman jointly turning one giant key that starts a highway full of cranes, big bold text "PPP MODEL", clean background.

Hook: PPP = TWO HANDS, ONE KEY. Public plus private builds the infrastructure.

DO NOT CONFUSE: vs Purchasing Power Parity. Same letters, different world: PPP model = Public-Private Partnership in infrastructure; Purchasing Power Parity compares currencies by price levels.

Example: Many national highway stretches and airport modernisations in India are built on the PPP (BOT) model.

Special Economic Zone (SEZ)

TOUGH

Simple meaning: A special export zone with tax breaks and easy rules.

Technical definition: A duty-free enclave deemed foreign territory for trade operations and duties, with tax incentives and simplified procedures to boost exports, investment and jobs. Governed by the SEZ Act, 2005.

TNPSC key point: SEZ Act passed in 2005 (in force 2006); Asia's FIRST export processing zone was set up at Kandla, Gujarat in 1965.

Visual memory: A fenced magic kingdom inside India where the customs officer bows at the gate: inside, factories party tax-free and every container that leaves runs straight onto a ship. Cross the fence and you are legally "abroad" without a passport.

Image idea: A glowing fenced industrial zone with a golden gate stamped "DUTY FREE" and ships waiting behind it, big bold text "SEZ", clean background.

Hook: SEZ = FOREIGN TERRITORY INSIDE INDIA. A duty-free enclave for exports.

Example: Madras Export Processing Zone (MEPZ) in Chennai, one of India's earliest zones, now functions as an SEZ.

Simple meaning: Short-term, app-based work instead of permanent jobs.

Technical definition: A labour market of flexible, task-based work often mediated by digital platforms where workers earn per "gig" without traditional employer-employee benefits.

TNPSC key point: "Gig worker" and "platform worker" were legally defined for the first time in the Code on Social Security, 2020.

Visual memory: A worker wearing five uniforms at once food-delivery jacket, cab-driver cap, plumber belt, tutor glasses, designer laptop juggling five phone apps that each throw him one coin per task. No boss, no pension, five bosses, zero pension!

Image idea: One worker juggling multiple glowing smartphone apps that each drop a single coin, big bold text "GIG ECONOMY", clean background.

Hook: GIG = ONE WORKER, MANY APPS, PAY PER TASK
flexible work, no fixed job.

Example: Food-delivery and cab-hailing riders across Chennai and other Indian cities are gig workers.

Simple meaning: The lowest wage an employer is legally allowed to pay.

Technical definition: The statutory floor wage below which no employer may pay, first fixed under the Minimum Wages Act, 1948; the Code on Wages, 2019 universalises it and empowers a national floor wage.

TNPSC key point: Minimum Wages Act 1948; the Code on Wages 2019 extends minimum wages to ALL workers and provides for a national floor wage.

Visual memory: A wage limbo stick fixed by law: employers try to bend and slide the pay packet UNDER the stick, but an inspector's whistle shrieks "Below this line, jail; above it, legal!"

Image idea: A horizontal red legal bar with a pay packet safely sitting on top of it and a crossed-out packet below it, big bold text "MINIMUM WAGE", clean background.

Hook: MINIMUM WAGE = THE LEGAL PAY BAR. No wage may slip below it.

DO NOT CONFUSE: vs Living Wage. Minimum wage is the legal bare floor; living wage is higher, covering a decent life (education, health, comfort) and is a Directive Principle goal (Article 43).

Example: Tamil Nadu notifies minimum wages for scheduled employments like construction and textile work.

Simple meaning: A law guaranteeing 100 days of paid work a year to rural households.

Technical definition: The Mahatma Gandhi National Rural Employment Guarantee Act, 2005 is a demand-driven LEGAL guarantee of at least 100 days of unskilled manual wage employment per rural household per year, with unemployment allowance if work is not given within 15 days.

TNPSC key point: MGNREGA (2005) gives a statutory RIGHT to 100 days of work per rural HOUSEHOLD. Employment guarantee is a legal entitlement, not a scheme favour.

Visual memory: A villager walks to the panchayat office and slaps a legal warrant on the desk: "GIVE ME WORK IT'S THE LAW!" A calendar with 100 days circled in gold hangs behind; if the officer delays past 15 days, HE must pay the villager allowance from a shrinking purse.

Image idea: A rural worker holding a spade in one hand and a legal scroll stamped "100 DAYS" in the other, big bold text "MGNREGA", clean background.

Hook: MGNREGA = SPADE + LEGAL SCROLL. 100 days of work as a right, since 2005.

Example: Rural women in Tamil Nadu form a large share of MGNREGA workers deepening ponds and laying village roads.

Simple meaning: Workers joining together to bargain with employers as one voice.

Technical definition: A registered association of workers formed to protect wages, safety and working conditions through collective bargaining; recognised under the Trade Unions Act, 1926 (now subsumed in the Industrial Relations Code, 2020).

TNPSC key point: Trade Unions Act 1926 gave unions legal status; the right to form unions flows from Article 19(1)(c) (freedom of association).

Visual memory: One thin worker's voice is a whisper the boss cannot hear but a thousand workers stack their small megaphones into ONE colossal megaphone, and the negotiation table trembles when it speaks.

Image idea: Many small figures merging into one giant megaphone facing a factory office, big bold text "TRADE UNION", clean background.

Hook: TRADE UNION = ONE GIANT MEGAPHONE OF WORKERS
collective bargaining power.

Example: The Madras Labour Union (1918), among India's earliest organised unions, was formed by textile workers in Chennai.

Simple meaning: Exports of goods minus imports of goods.

Technical definition: The difference between the value of a country's merchandise (visible goods) exports and imports over a period; surplus if exports exceed imports, deficit if imports exceed exports.

TNPSC key point: Balance of Trade counts GOODS ONLY (visible trade) services and money transfers are excluded.

Visual memory: A dockyard weighing scale: on one pan, ships stacked with outgoing goods; on the other, ships of incoming goods. A customs officer bars a software engineer and a remittance envelope from climbing on "Goods only on this scale!"

Image idea: A giant balance scale weighing an export ship against an import ship, big bold text "BALANCE OF TRADE", clean background.

Hook: BoT = SHIPS-ONLY WEIGHING SCALE goods exports vs goods imports, nothing else.

DO NOT CONFUSE: vs Balance of Payments

BoT covers goods only; BoP records ALL transactions with the world: goods, services, transfers and capital flows.

Example: India's large crude oil and gold imports keep its balance of trade in persistent deficit.

Balance of Payments (BoP)**TOUGH**

Simple meaning: The complete account book of ALL money flowing in and out of a country.

Technical definition: A systematic record of all economic transactions between a country's residents and the rest of the world in a period (goods, services, income, transfers (current account) plus investments and loans (capital account)).

TNPSC key point: BoP = current account + capital account, and in the accounting sense it always BALANCES.

Visual memory: A stern accountant at India's border with a colossal double-entry ledger: every ship, software invoice, NRI money order, FDI cheque and foreign loan must sign his book on the way in or out. At midnight the two columns always match he never sleeps until they do.

Image idea: A giant open ledger at a national border with ships, laptops, envelopes and money bags queuing to be entered, big bold text "BALANCE OF PAYMENTS", clean background.

Hook: BoP = THE BORDER'S FULL LEDGER every transaction with the world, always balancing.

DO NOT CONFUSE: vs Balance of Trade BoT is just the goods line inside the BoP; BoP is the whole book covering goods, services, transfers and capital.

Example: India's 1991 crisis was a BoP crisis forex reserves fell to barely a few weeks of imports, forcing reforms.

Current Account**TOUGH**

Simple meaning: The part of BoP for everyday flows trade, services, income and gifts.

Technical definition: The BoP account recording trade in goods and services, primary income (interest, profits, wages) and current transfers (remittances, gifts, grants) the country's regular dealings with the world.

TNPSC key point: Current account = goods + SERVICES + income + transfers (remittances); it does NOT include investments or loans.

Visual memory: A busy daily-wage counter at the border: goods trucks, software export bills, dividend cheques and NRI remittance envelopes stream past all day. A man carrying an "FDI investment" briefcase is turned away "Wrong counter, sir. This one is for daily earnings and gifts only."

Image idea: A bank-style counter window stamped "DAILY FLOWS" serving a goods truck, a laptop and a money envelope, big bold text "CURRENT ACCOUNT", clean background.

Hook: CURRENT = DAILY-EARNINGS COUNTER trade, services, income, remittances.

DO NOT CONFUSE: vs Capital Account current account is trade in goods/services, income and transfers; capital account is investments, loans and banking capital.

Example: Remittances from Tamil workers in the Gulf enter India's BoP through the current account.

Capital Account**TOUGH**

Simple meaning: The part of BoP for investments and loans crossing the border.

Technical definition: The BoP account recording transactions that change assets and liabilities FDI, portfolio investment (FPI), external loans and borrowings, and banking capital, along with changes in forex reserves.

TNPSC key point: Capital account = FDI + FPI + loans/ECB + banking capital it is these inflows that FINANCE a current account deficit.

Visual memory: A heavy-vault counter next to the daily counter: here only men with briefcases "FDI factory deal", "FPI share purchase", "foreign loan" are allowed. Each transaction is winched into the vault with cranes because these flows are big, lumpy and long-term.

Image idea: A massive bank vault door with briefcases labelled FDI, FPI and LOANS being wheeled in on trolleys, big bold text "CAPITAL ACCOUNT", clean background.

Hook: CAPITAL = THE VAULT COUNTER investments and loans, not daily trade.

DO NOT CONFUSE: vs Current Account capital account handles investments, loans and banking capital; current account handles goods, services, income and transfers.

Example: A Korean carmaker's investment in its Chennai plant enters India's BoP through the capital account as FDI.

Current Account Deficit (CAD)**TOUGH**

Simple meaning: The country pays more to the world than it earns from it in regular dealings.

Technical definition: The excess of current account payments (imports of goods and services, income paid out) over current account receipts (exports, income and remittances received), usually expressed as a percentage of GDP.

TNPSC key point: CAD is an EXTERNAL gap financed by capital account inflows (FDI/FPI/loans) always quoted as % of GDP.

Visual memory: India's earnings bucket at the border leaks: import payments gush out faster than export earnings pour in. A foreign investor keeps refilling the bucket with FDI jugs the leak survives only as long as someone keeps pouring.

Image idea: A leaking bucket labelled with an outflow bigger than the tap filling it, and a jug marked "FDI" topping it up, big bold text "CAD", clean background.

Hook: CAD = LEAKING EARNINGS BUCKET world payments exceed world earnings.

DO NOT CONFUSE: vs Fiscal Deficit CAD is the country's gap WITH THE WORLD (external); fiscal deficit is the GOVERNMENT's budget gap at home (internal borrowing need).

Example: When global crude oil prices spike, India's import bill swells and its CAD widens.

Simple meaning: How many imports one unit of exports can buy.

Technical definition: The ratio of a country's export price index to its import price index (multiplied by 100); a rise means export prices have improved relative to import prices. **favourable terms of trade.**

TNPSC key point: Terms of Trade = (Export price index / Import price index) x 100. **IMPROVEMENT** means exports buy MORE imports.

Visual memory: A barter counter at the world bazaar: India hands over one sack of exported rice and watches how many imported oil barrels roll back. Good year one sack fetches five barrels and the trader dances; bad year the same sack fetches two and he weeps.

Image idea: A balance counter exchanging one export sack for a stack of import barrels with an up arrow, big bold text "TERMS OF TRADE", clean background.

Hook: ToT = WHAT ONE EXPORT SACK FETCHES export prices vs import prices.

Example: When world crude prices crash, India's terms of trade improve the same exports pay for far more oil.

Comparative Advantage

ADVANCED

Simple meaning: Each country should make what it gives up least to make.

Technical definition: David Ricardo's theory that countries gain by specialising in goods with the LOWER OPPORTUNITY COST and trading. It is beneficial even when one country is absolutely better at producing everything.

TNPSC key point: Comparative advantage (Ricardo) rests on OPPORTUNITY COST. Trade pays even when one nation holds absolute advantage in ALL goods.

Visual memory: A superstar lawyer who also types faster than her secretary STILL hands over the typing. Every typed page costs her a Rs. 1 lakh court hearing. She keeps the courtroom, he keeps the keyboard, and both go home richer.

Image idea: A superstar lawyer passing a keyboard to a smiling secretary while she holds a courtroom gavel, big bold text "COMPARATIVE ADVANTAGE", clean background.

Hook: COMPARATIVE ADVANTAGE = LAWYER GIVES UP THE TYPING. Specialise where opportunity cost is lowest.

DO NOT CONFUSE: vs Absolute Advantage
absolute (Adam Smith) = simply producing more efficiently;
comparative (Ricardo) = lower OPPORTUNITY cost, so trade benefits both even when one country is better at everything.

Example: India exports software services and imports crude oil, specialising by comparative advantage.

Simple meaning: A tax charged on imported goods at the border.

Technical definition: A customs duty levied on imports (occasionally exports) that raises the price of foreign goods, protecting domestic producers and earning government revenue.

TNPSC key point: A tariff is a TAX (customs duty) it raises import PRICES and gives the government REVENUE.

Visual memory: A foreign toy marches through the port gate and a customs officer slaps a fat price sticker on its head the Rs. 100 toy walks out wearing a Rs. 140 tag, while the local toy grins on the shop shelf next to it.

Image idea: A customs officer stamping a big extra price tag onto an imported box at a port gate, big bold text "TARIFF", clean background.

Hook: TARIFF = PRICE-STICKER SLAP AT THE BORDER

import tax that shields local goods.

DO NOT CONFUSE: vs Quota a tariff TAXES imports (any quantity may enter, at a higher price); a quota LIMITS the quantity allowed in and earns no direct tax revenue.

Example: India levies customs duty on imported gold, both to earn revenue and to curb the import bill.

Dumping**TOUGH**

Simple meaning: Selling exports abroad cheaper than at home to capture the market.

Technical definition: Exporting a product at a price below its normal value (home-market price or cost) to grab foreign market share; the importing country may counter it with an anti-dumping duty, which WTO rules permit.

TNPSC key point: Dumping = exporting BELOW home price; the remedy is an ANTI-DUMPING DUTY (recommended in India by DGTR, imposed by the Finance Ministry).

Visual memory: A foreign truck backs up to India's market square and literally DUMPS a mountain of dirt-cheap steel priced cheaper than in its own country burying the local steel shops. A referee then storms in and staples an "anti-dumping duty" fine onto the truck.

Image idea: A tipper truck dumping a mountain of cut-price goods over small local shops while a whistle-blowing referee raises a duty card, big bold text "DUMPING", clean background.

Hook: DUMPING = TRUCK TIPS CHEAP GOODS ON THE MARKET
below-home-price exports, answered by anti-dumping duty.

Example: India has repeatedly imposed anti-dumping duties on cheap Chinese steel and chemicals to protect domestic industry.

World Trade Organization (WTO)

MODERATE

Simple meaning: The global referee that sets and enforces trade rules between countries.

Technical definition: The multilateral body governing international trade rules and settling trade disputes; established on 1 January 1995 under the Marrakesh Agreement as the successor to GATT (1948).

TNPSC key point: WTO: born 1995, successor of GATT, headquarters GENEVA (Switzerland); India is a founding member; the Ministerial Conference is its top decision-making body. Current membership count: [CURRENT DATA VERIFY SEPARATELY].

Visual memory: A referee in a Geneva tower blows the whistle over a giant football field where every country plays trade: he shows a yellow card to a tariff cheat, a red card to a dumper, and forces quarrelling giants to shake hands at the dispute table.

Image idea: A referee holding a whistle and rulebook standing on a globe marked with trade routes, big bold text "WTO", clean background.

Hook: WTO = GENEVA'S TRADE REFEREE 1995 successor of GATT with the rulebook.

Example: India defends its MSP-based food procurement at the WTO under the "peace clause" in agriculture negotiations.

Simple meaning: Connecting our country's economy with the whole world for trade, money and ideas.

Technical definition: The integration of a national economy with the world economy through free flow of goods, services, capital, technology and labour across borders.

TNPSC key point: Globalisation is the "G" of the LPG Reforms of 1991 (Liberalisation, Privatisation, Globalisation), launched after the Balance of Payments crisis.

Visual memory: Picture India's map growing giant arms that stretch across the globe. One hand shakes hands in America, one drops a software CD in Europe, one grabs oil barrels from the Gulf. All at the same time, with 1991 stamped on its chest.

Image idea: A glowing globe wrapped in handshake-shaped bridges connecting continents, big bold text "GLOBALISATION" across the top, clean white background.

Hook: GLOBALISATION = GLOBE WITH HANDSHAKE BRIDGES

One world economy, all connected.

Example: After 1991, Chennai became a global auto hub ("Detroit of Asia") with Hyundai, Ford and other foreign carmakers setting up plants in Tamil Nadu.

Simple meaning: Government blocking or taxing foreign goods to protect home industries.

Technical definition: A trade policy that shields domestic industries from foreign competition using tariffs, quotas, import licences and other barriers.

TNPSC key point: Protectionism uses two main weapons
tariffs (tax on imports) and quotas (quantity limits on imports); it is the opposite of free trade.

Visual memory: A giant soldier stands at the border holding a massive shield stamped "MADE IN INDIA", whacking away flying foreign products like toys, phones, shoes that bounce off the shield while tiny local factories cheer safely behind him.

Image idea: A huge shield at a national border deflecting incoming cargo boxes, big bold text "PROTECTIONISM", clean background.

Hook: PROTECTIONISM = BORDER SHIELD
block foreign goods, protect home industry.

DO NOT CONFUSE: vs Free Trade
Protectionism raises barriers (tariffs, quotas); free trade removes barriers and lets goods flow freely.

Example: Before 1991, India protected its industries with high tariffs and import licences; even today higher duties on some imports protect Indian producers.

Import Substitution

ADVANCED

Simple meaning: Making goods at home instead of buying them from foreign countries.

Technical definition: An inward-looking trade strategy that replaces imports with domestic production, usually behind high tariff walls and licences.

TNPSC key point: Import substitution was India's dominant strategy from the Second Five Year Plan until the 1991 reforms replaced it with an outward-looking, export-oriented approach.

Visual memory: A ship full of foreign goods arrives at the port, but a proud Indian factory owner slams the gate shut, points to his own smoking factory and shouts "We will make it ourselves!" while the ship sails away empty-handed.

Image idea: A domestic factory pushing away an incoming cargo ship, factory stamping out the same products locally, big bold text "IMPORT SUBSTITUTION", clean background.

Hook: IMPORT SUBSTITUTION = FACTORY REPLACES SHIP
make at home, don't import.

DO NOT CONFUSE: vs Export Promotion
import substitution looks inward (produce for home market); export promotion looks outward (produce to sell abroad).

Example: Pre-1991 India built public sector steel and machinery plants to avoid imports; today's "Make in India" and PLI schemes echo the idea of producing locally.

Simple meaning: The price of one country's money in terms of another country's money.

Technical definition: The rate at which one currency can be exchanged for another, e.g. how many rupees buy one US dollar.

TNPSC key point: India currently follows a managed (or "dirty") floating exchange rate system. The market decides the rate, but RBI intervenes to control excessive volatility.

Visual memory: A giant see-saw price tag: a rupee note sits on one side, a dollar note on the other, and the tag's number keeps flipping like a railway station display. Rs. per dollar changing every second while traders scream below.

Image idea: A large price tag hanging between a rupee symbol coin and a dollar coin on a balance, big bold text "EXCHANGE RATE", clean background.

Hook: EXCHANGE RATE = PRICE TAG ON CURRENCY. What one money costs in another money.

Example: A Tiruppur garment exporter checks the rupee-dollar exchange rate daily, because a weaker rupee means more rupees for every dollar of T-shirts sold abroad.

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Fixed Exchange Rate

TOUGH

Simple meaning: The government or central bank locks the currency's value at a fixed level.

Technical definition: An exchange rate regime where the currency's value is officially pegged to another currency or gold, and the central bank buys or sells forex to maintain that peg.

TNPSC key point: Under a fixed regime, only the government/central bank can change the rate. A deliberate cut is called devaluation, a deliberate rise is revaluation.

Visual memory: A rupee note nailed to a wall with a giant iron padlock, and a stern central banker standing guard with folded arms. The market winds blow furiously but the note does not move even one millimetre.

Image idea: A currency note padlocked and chained to a fixed pole while storm winds blow around it, big bold text "FIXED EXCHANGE RATE", clean background.

Hook: FIXED RATE = PADLOCKED NOTE. The government locks the value; market cannot move it.

DO NOT CONFUSE: vs Floating Exchange Rate

Fixed is set by the government/central bank; floating is set by market demand and supply.

Example: India followed a fixed/pegged exchange rate system after Independence; the rupee was officially devalued under this regime in 1949, 1966 and 1991.

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Floating Exchange Rate

TOUGH

Simple meaning: The market buyers and sellers of currency decides the currency's value.

Technical definition: An exchange rate regime where the currency's value is determined by demand and supply in the foreign exchange market, without an official peg.

TNPSC key point: In a floating regime, a market-driven fall is depreciation and a market-driven rise is appreciation; India moved to market-determined rates in 1993 (managed floating).

Visual memory: A rupee note floating on ocean waves like a paper boat when demand waves rise, the note bobs up high; when supply waves crash, it dips down no anchor, no rope, only the sea decides.

Image idea: A currency note riding up and down on ocean waves like a boat, big bold text "FLOATING EXCHANGE RATE", clean background.

Hook: FLOATING RATE = NOTE ON WAVES market waves of demand and supply set the value.

DO NOT CONFUSE: vs Fixed Exchange Rate

floating moves with market forces; fixed stays locked until the government itself changes it.

Example: Since 1993 the rupee's daily value against the dollar is market-determined, with RBI stepping in only to smooth wild swings.

Currency Depreciation**TOUGH**

Simple meaning: The currency loses value on its own because of market forces.

Technical definition: A fall in the value of a currency against foreign currencies due to market demand and supply, under a floating exchange rate regime.

TNPSC key point: Depreciation is caused by MARKET FORCES in a floating regime; no government order involved; it makes exports cheaper and imports costlier.

Visual memory: A rupee note slowly deflating like a leaking balloon in the open market bazaar; nobody punctured it deliberately; the crowd simply stopped buying it, and it sags down sadly while the dollar balloon floats higher.

Image idea: A rupee-marked balloon slowly deflating and sinking in an open marketplace, big bold text "DEPRECIATION", clean background.

Hook: DEPRECIATION = LEAKING BALLOON IN THE MARKET

₹ value falls by itself, market's doing.

DO NOT CONFUSE: vs Devaluation
depreciation is a market-driven fall (floating regime); devaluation is a deliberate official cut by the government/central bank (fixed regime).

Example: When the rupee slides against the dollar in forex trading, Chennai IT exporters earn more rupees per dollar, but petrol imports become costlier for India.

Simple meaning: The government itself officially cuts the currency's value.

Technical definition: A deliberate downward adjustment of a currency's official value by the government or central bank under a fixed exchange rate regime, usually to boost exports.

TNPSC key point: India devalued the rupee THREE times 1949, 1966 and 1991 all deliberate government/RBI decisions, not market events.

Visual memory: A Finance Minister on a podium dramatically chopping a giant rupee note with a ceremonial sword while announcing it on All India Radio three notches carved on the sword handle: 1949, 1966, 1991.

Image idea: An official hand with a government seal stamping "VALUE CUT" on a giant currency note, big bold text "DEVALUATION", clean background.

Hook: DEVALUATION = GOVERNMENT'S SWORD CUT
official, deliberate value cut (1949, 1966, 1991).

DO NOT CONFUSE: vs Depreciation
devaluation is announced by the government under a fixed regime; depreciation happens quietly through market forces under a floating regime.

Example: In July 1991, during the BoP crisis, India devalued the rupee in two quick steps to make exports competitive and rebuild forex reserves.

Currency Appreciation TOUGH

Simple meaning: The currency gains value on its own because of market forces.

Technical definition: A rise in the value of a currency against foreign currencies due to market demand and supply, under a floating exchange rate regime.

TNPSC key point: Appreciation is MARKET-driven (floating regime); it makes imports cheaper and exports costlier. It is the exact mirror of depreciation.

Visual memory: A rupee note strapped to a hot-air balloon rising into the sky as crowds of foreign investors below pump air into it with bellows labelled "DEMAND". The note rises higher and higher without anyone ordering it to.

Image idea: A rupee-marked hot-air balloon rising upward as market crowds cheer below, big bold text "APPRECIATION", clean background.

Hook: APPRECIATION = RISING BALLOON. Market demand lifts the currency's value up.

DO NOT CONFUSE: vs Revaluation. Appreciation is a market-driven rise; revaluation is a deliberate official increase by the government under a fixed regime.

Example: When heavy foreign investment flows into India, demand for rupees rises and the rupee appreciates. Good news for students paying fees abroad, tough news for Tiruppur exporters.

Revaluation

TOUGH

Simple meaning: The government itself officially raises the currency's value.

Technical definition: A deliberate upward adjustment of a currency's official value by the government or central bank under a fixed exchange rate regime.

TNPSC key point: Remember the 2x2 grid
 market fall = depreciation, market rise = appreciation, official fall = devaluation, official RISE = REVALUATION.

Visual memory: A central banker with a golden crane machine officially hoisting a giant rupee note up one full floor of a building, stamping a government seal on it at the new height
 press cameras flashing at the official ceremony.

Image idea: An official crane with a government seal lifting a giant currency note upward, big bold text "REVALUATION", clean background.

Hook: REVALUATION = OFFICIAL CRANE LIFT
 government deliberately raises the currency's value.

DO NOT CONFUSE: vs Appreciation
 revaluation is an official act under a fixed regime; appreciation is the market doing it by itself under a floating regime.

Example: India has devalued but not revalued the rupee; a classic world example is China occasionally revaluing the yuan upward under its managed peg.

Foreign Direct Investment (FDI)

MODERATE

Simple meaning: Foreign company puts long-term money into building real business here – factories, machines, jobs.

Technical definition: Long-term investment by a foreign entity giving it ownership and management control (controlling stake) in a domestic enterprise, typically in plant, machinery and operations.

TNPSC key point: FDI = long-term + controlling stake + physical assets (plant and machinery); it is stable capital that cannot flee overnight, unlike FPI.

Visual memory: A foreign businessman arrives with a giant suitcase, opens it, and an entire factory springs out – chimneys, machines, workers – then he plants a flag, builds a house next door and says "I am staying for 30 years!"

Image idea: A suitcase opening with a full factory popping out of it, roots growing from the factory into the ground, big bold text "FDI", clean background.

Hook: FDI = FACTORY FROM A SUITCASE WITH ROOTS

– long-term foreign money that builds and stays.

DO NOT CONFUSE: vs FPI – FDI builds factories and takes controlling stake for the long term; FPI just buys shares/bonds as "hot money" and can flee in a day.

Example: Hyundai's car plant at Sriperumbudur near Chennai is FDI – Korean capital permanently invested in Tamil Nadu's land, machinery and workforce.

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Foreign Portfolio Investment (FPI)

TOUGH

Simple meaning: Foreigners buying our shares and bonds only to earn returns, not to run companies.

Technical definition: Short-term investment by foreign investors in a country's financial assets – shares, bonds, securities – without ownership control of any company.

TNPSC key point: FPI is called "hot money" – it enters and exits fast through stock markets and can flee the country overnight during a crisis.

Visual memory: A foreign investor in running shoes sprints into the stock exchange, grabs a fistful of share certificates, and the moment thunder rumbles he sprints straight out of the country, papers flying behind him – visit duration: one afternoon.

Image idea: An investor in running shoes dashing with a bundle of share certificates, motion-blur speed lines, big bold text "FPI", clean background.

Hook: FPI = SPRINTER WITH SHARES – quick money in, quick money out – hot money.

DO NOT CONFUSE: vs FDI – FPI buys paper assets short-term with no control; FDI builds real assets long-term with a controlling stake.

Example: Foreign funds buying Infosys or TCS shares on the NSE are FPI; when global panic hits, such funds sell Indian shares and the rupee weakens.

Capital Account Convertibility

ADVANCED

Simple meaning: Freedom to convert rupees into foreign currency for buying assets abroad investments, property, shares.

Technical definition: The freedom to convert domestic currency into foreign currency (and back) for capital transactions investment in foreign assets, loans and property without restrictions.

TNPSC key point: India has FULL current account convertibility (since 1994) but only PARTIAL capital account convertibility; the Tarapore Committee laid down the roadmap for fuller convertibility.

Visual memory: Two doors at the forex counter the "CURRENT ACCOUNT" door (trade, travel) is flung wide open, but the "CAPITAL ACCOUNT" door (buying foreign assets) is only HALF open, with RBI's guard allowing people through slowly, checking a Tarapore rulebook.

Image idea: Two doors side by side one fully open, one half open with a guard big bold text "CAPITAL ACCOUNT CONVERTIBILITY", clean background.

Hook: CAC = THE HALF-OPEN DOOR India's capital account is only partly convertible; current account door is fully open.

DO NOT CONFUSE: vs Current Account Convertibility current account (trade, travel, remittances) is FULLY convertible since 1994; capital account (assets, investments) is only PARTIALLY convertible.

Example: An Indian can freely convert rupees to dollars to pay for imports (current account), but converting large sums to buy foreign assets faces RBI limits like the Liberalised Remittance Scheme.

Simple meaning: Foreign money that rushes in for quick profit and rushes out at the first sign of trouble.

Technical definition: Short-term speculative capital that moves rapidly between countries chasing higher interest rates or quick market gains, typically through portfolio flows.

TNPSC key point: FPI flows are the classic form of hot money. Their sudden exit can crash the stock market and cause sharp rupee depreciation.

Visual memory: A pile of currency notes literally on fire, too hot for anyone to hold. Each country tosses the burning bundle to the next country the moment its fingers start to singe, and the bundle keeps flying around the world map.

Image idea: A bundle of currency notes with cartoon flames and little wings flying between country flags, big bold text "HOT MONEY", clean background.

Hook: HOT MONEY = BURNING NOTES WITH WINGS
Too hot to hold, flies out fast.

Example: When US interest rates rise, hot money often exits Indian stock markets for American bonds, pulling down the SENSEX and pressuring the rupee.

Simple meaning: A backdoor ticket that lets unregistered foreigners invest in Indian shares through registered foreign investors.

Technical definition: Offshore derivative instruments issued by SEBI-registered FPIs to overseas investors who are not registered in India, giving them exposure to Indian securities anonymously.

TNPSC key point: P-Notes let the actual investor stay anonymous raising money-laundering concerns which is why SEBI has repeatedly tightened P-Note rules.

Visual memory: A masked stranger outside a cinema hands cash to a ticket-holder in the queue, who buys the movie ticket in his own name and slips it back the stranger watches the whole Indian stock market movie without ever revealing his face.

Image idea: A masked figure receiving a ticket through a proxy hand at a stock-exchange gate, big bold text "PARTICIPATORY NOTES", clean background.

Hook: P-NOTES = TICKET BOUGHT BY PROXY invest in India without showing your face.

Example: An unregistered overseas fund wanting exposure to Indian shares can buy P-Notes from a SEBI-registered FPI instead of registering itself with SEBI.

External Commercial Borrowing (ECB)

ADVANCED

Simple meaning: Indian companies taking loans from foreign lenders in foreign currency.

Technical definition: Commercial loans bank loans, bonds, buyers' credit raised by eligible Indian entities from non-resident lenders, regulated by the RBI under FEMA guidelines.

TNPSC key point: ECB is DEBT (a loan to be repaid with interest), not equity investment like FDI and it carries currency risk if the rupee depreciates before repayment.

Visual memory: An Indian businessman stretches a giant fishing rod across the ocean and reels in a sack of dollars from a foreign bank but a tag on the sack reads "RETURN WITH INTEREST, IN DOLLARS", and he gulps as the rupee balloon behind him deflates.

Image idea: A businessman fishing a dollar sack across an ocean with a "repay with interest" tag on it, big bold text "ECB", clean background.

Hook: ECB = FISHING DOLLARS FROM ABROAD foreign loan, must repay in foreign currency.

Example: Large Indian corporates like power and infrastructure companies raise ECBs from global banks because foreign interest rates can be lower than domestic rates.

Simple meaning: Money sent home by people working in foreign countries.

Technical definition: Private money transfers sent by migrants working abroad to their families in the home country; recorded in the CURRENT account of the Balance of Payments.

TNPSC key point: India is among the world's largest recipients of remittances, and remittances appear in the current account (not capital account) of the BoP.

Visual memory: A worker in a Gulf desert hard-hat catapults a bundle of money across the ocean; it lands softly in his mother's lap in a Tamil Nadu village, and she uses it for the house, school fees and a gold chain a monthly money meteor from abroad.

Image idea: A money bundle flying across the ocean from a construction worker to a family home, big bold text "REMITTANCES", clean background.

Hook: REMITTANCES = MONEY METEOR FROM ABROAD

workers' earnings flying home to family.

Example: Lakhs of Tamil workers in Singapore, Malaysia and the Gulf send money home every month, supporting families and boosting India's current account.

Simple meaning: The country's emergency stock of foreign money and gold, kept by RBI.

Technical definition: Foreign exchange assets held by the RBI, comprising foreign currency assets, gold, SDRs and the Reserve Tranche Position with the IMF.

TNPSC key point: The four components Foreign Currency Assets (largest), Gold, SDRs, Reserve Tranche Position all held and managed by the RBI; the 1991 crisis hit when reserves fell to barely a few weeks of imports.

Visual memory: A colossal RBI vault shaped like a treasure chest inside sit four glowing piles: a mountain of dollars, bricks of gold, a jar labelled "SDR", and a small IMF membership badge the national umbrella for rainy-day storms.

Image idea: A giant vault with four labelled treasure piles (currency, gold, SDR, IMF), big bold text "FOREX RESERVES", clean background.

Hook: FOREX RESERVES = RBI'S FOUR-PILE TREASURE CHEST the nation's foreign money safety stock.

Example: In 1991 India's reserves were so low that gold was airlifted abroad as collateral for loans the trigger for the LPG reforms.

Real Effective Exchange Rate (REER)

ADVANCED

Simple meaning: The rupee's average value against a basket of currencies, corrected for inflation differences.

Technical definition: The weighted average of a currency's exchange rate against a basket of trading partners' currencies, adjusted for relative inflation differentials between the countries.

TNPSC key point: REER = NEER adjusted for inflation differentials
REER is the true measure of export competitiveness; a rising REER means exports are losing competitiveness.

Visual memory: The rupee stands on a weighing scale facing a whole basket of currencies but before reading the weight, an inspector wearing "INFLATION GOGGLES" wipes the display clean of price-rise fog, revealing the REAL number underneath.

Image idea: A rupee on a scale against a basket of world currencies, with goggles filtering away inflation fog, big bold text "REER", clean background.

Hook: REER = NEER WEARING INFLATION GOGGLES
basket rate corrected for inflation.

DO NOT CONFUSE: vs NEER NEER is the plain weighted-basket rate; REER is NEER adjusted for inflation differentials.

Example: RBI publishes REER indices for the rupee; if India's inflation runs higher than partners', the REER rises even when the nominal rate is steady, hurting Tiruppur's export edge.

Simple meaning: Two countries or parties agree to exchange currencies now and reverse the exchange later.

Technical definition: An agreement to exchange principal (and interest) in one currency for another at a pre-fixed rate, reversing the exchange on a set future date used to secure forex and stabilise currencies.

TNPSC key point: RBI operates currency swap arrangements (e.g. with SAARC countries) to provide dollar/rupee liquidity and shield partner economies from forex crises.

Visual memory: Two central bankers meet on a bridge, dramatically exchange briefcases one full of rupees, one full of dollars shake hands and set an alarm clock labelled "SWAP BACK DATE" before walking away in opposite directions.

Image idea: Two hands exchanging briefcases of different currencies over a bridge with a return-date clock above, big bold text "CURRENCY SWAP", clean background.

Hook: CURRENCY SWAP = BRIEFCASE EXCHANGE WITH AN ALARM CLOCK trade currencies now, swap back later.

Example: Under the SAARC currency swap framework, RBI has extended swap support to neighbours like Sri Lanka and the Maldives during forex stress.

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Money Market**TOUGH**

Simple meaning: The market for borrowing and lending money for short periods up to one year.

Technical definition: The market for short-term funds and instruments with maturity up to one year. Treasury Bills, Commercial Paper, Certificates of Deposit and call money are largely regulated by the RBI.

TNPSC key point: Money market = SHORT-term (up to 1 year); its instruments are T-Bills, CP, CD and call money; RBI is the key regulator.

Visual memory: A bustling fast-food counter for cash. Bankers queue up shouting "Money for one night!", "Cash for 91 days!" the server slaps short-term loans on trays labelled T-BILL, CP, CD, CALL MONEY, and everything must be returned within a year.

Image idea: A fast-food counter serving trays of cash with a big "MAX 1 YEAR" wall clock, big bold text "MONEY MARKET", clean background.

Hook: MONEY MARKET = FAST-FOOD CASH COUNTER

quick short-term money, one year maximum.

DO NOT CONFUSE: vs Capital Market. Money market handles short-term funds (up to 1 year: T-Bills, CP, CD, call money); capital market handles long-term funds (shares, bonds).

Example: An Indian bank short of cash for a day borrows overnight in the call money market instead of issuing long-term bonds.

Capital Market**TOUGH**

Simple meaning: The market where long-term money is raised through shares and bonds.

Technical definition: The market for long-term funds (maturity above one year) through instruments like equity shares, debentures and bonds; regulated in India mainly by SEBI.

TNPSC key point: Capital market = LONG-term funds via shares and bonds, regulated by SEBI; it splits into primary market (new issues) and secondary market (trading).

Visual memory: A grand marriage-hall of finance where companies and investors tie long-term knots. A company garlands an investor with a share certificate promising a lifetime relationship, while a priest named SEBI supervises the ceremony rules.

Image idea: A towering stock-exchange building with long tree roots labelled "shares" and "bonds" growing deep into the ground, big bold text "CAPITAL MARKET", clean background.

Hook: CAPITAL MARKET = DEEP-ROOTED MONEY TREE
long-term funds through shares and bonds.

DO NOT CONFUSE: vs Money Market
capital market is long-term (shares, bonds, SEBI); money market is short-term up to one year (T-Bills, CP, CD, RBI).

Example: A Chennai manufacturing company issuing shares on the BSE to fund a new plant is raising long-term money in the capital market.

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Primary Market

TOUGH

Simple meaning: The market where companies sell brand-new shares directly to investors for the first time.

Technical definition: The market for fresh issues of securities, where companies raise new capital directly from investors through IPOs, FPOs and rights issues; money goes to the company.

TNPSC key point: Primary market = NEW issues (IPO)

the company itself receives the money; it is also called the "new issues market".

Visual memory: A factory-fresh showroom where a company hands out shiny share certificates still smelling of fresh ink, straight from the printing press, and every rupee paid goes directly into the company's own cash box.

Image idea: A printing press churning out brand-new share certificates handed directly to buyers, "FRESH ISSUE" ribbon, big bold text "PRIMARY MARKET", clean background.

Hook: PRIMARY MARKET = FRESH-INK SHOWROOM new shares born here, money goes to the company.

DO NOT CONFUSE: vs Secondary Market

primary sells NEW securities (company gets the money); secondary trades EXISTING securities between investors (company gets nothing).

Example: When an Indian startup launches its IPO, investors applying for those new shares are buying in the primary market.

Secondary Market**TOUGH**

Simple meaning: The market where investors buy and sell already-issued shares among themselves.

Technical definition: The market where existing securities are traded between investors on stock exchanges like BSE and NSE; the issuing company receives no money from these trades.

TNPSC key point: Secondary market trades EXISTING securities. It is the daily buying and selling on BSE/NSE; it gives liquidity but no fresh funds to the company.

Visual memory: A roaring second-hand bazaar for shares. Investors furiously swap slightly-used share certificates with each other like resale phones, prices flashing and changing every second, while the original company watches from a balcony earning nothing.

Image idea: A busy bazaar with traders exchanging used share certificates under flashing price boards, big bold text "SECONDARY MARKET", clean background.

Hook: SECONDARY MARKET = SECOND-HAND SHARE BAZAAR. Old shares change hands, company gets nothing.

DO NOT CONFUSE: vs Primary Market. Secondary is investor-to-investor trading of existing shares; primary is company-to-investor sale of new shares.

Example: Buying TCS shares today through a broker on the NSE is a secondary market transaction. Your money goes to the seller, not to TCS.

Treasury Bill (T-Bill)

ADVANCED

Simple meaning: A short-term IOU of the central government, sold cheap and repaid at full face value.

Technical definition: A short-term, zero-coupon money market instrument of the Government of India (91, 182 and 364 days), issued at a discount and redeemed at face value; the discount is the return.

TNPSC key point: T-Bills pay NO interest (zero coupon) return comes from the discount; issued only by the CENTRAL government (state governments cannot issue T-Bills).

Visual memory: A government shopkeeper sells a "Rs. 100" ticket for Rs. 98 and stamps it "COME BACK IN 91 DAYS" you return, hand over the ticket, and collect the full Rs. 100 no interest slip, the Rs. 2 discount was your entire profit.

Image idea: A ticket marked Rs. 100 being sold for Rs. 98 with a 91-day stamp, big bold text "T-BILL", clean background.

Hook: T-BILL = DISCOUNT TICKET buy below face value, redeem at full value, no coupon.

DO NOT CONFUSE: vs G-Sec T-Bill is short-term (up to 364 days) and zero coupon at a discount; G-Sec is long-term and pays regular coupon interest.

Example: Indian banks park surplus short-term funds in 91-day T-Bills auctioned by the RBI on behalf of the Government of India.

Simple meaning: A short-term IOU issued by big companies to borrow money quickly.

Technical definition: An unsecured, short-term money market instrument issued as a promissory note by highly-rated companies at a discount to raise working capital.

TNPSC key point: Commercial Paper is issued by COMPANIES (corporates), is unsecured, and belongs to the money market (short-term)

introduced in India in 1990.

Visual memory: A company CEO in a suit stands on his office roof throwing paper planes folded from IOU notes. Each plane reads "TRUST ME, I'M A TOP-RATED COMPANY. PAY YOU BACK IN 90 DAYS" and investors below catch them with cash in hand.

Image idea: A corporate office tower launching paper planes made of promissory notes, big bold text "COMMERCIAL PAPER", clean background.

Hook: COMMERCIAL PAPER = COMPANY'S PAPER PLANE IOU

short-term unsecured borrowing by corporates.

DO NOT CONFUSE: vs Certificate of Deposit

Commercial Paper is issued by COMPANIES; Certificate of Deposit is issued by BANKS.

Example: A highly-rated Indian corporate like a large NBFC or manufacturer issues Commercial Paper to fund short-term working capital needs instead of taking a bank loan.

Certificate of Deposit

ADVANCED

Simple meaning: A short-term deposit receipt issued by a bank for large sums of money.

Technical definition: A negotiable, short-term money market instrument issued by banks (and select financial institutions) against large deposits at a discount or fixed rate.

TNPSC key point: Certificate of Deposit is issued by BANKS. It is the mirror twin of Commercial Paper (issued by companies); both are short-term money market instruments.

Visual memory: A bank manager in uniform hands a customer a giant golden certificate the size of a door, stamped "BANK PROMISES TO REPAY YOUR BIG DEPOSIT". The customer struggles to carry the enormous framed receipt out of the branch.

Image idea: A bank building handing out an oversized golden deposit certificate with a bank seal, big bold text "CERTIFICATE OF DEPOSIT", clean background.

Hook: CD = BANK'S GOLDEN RECEIPT. Banks issue it for big short-term deposits.

DO NOT CONFUSE: vs Commercial Paper

CD comes from BANKS; CP comes from COMPANIES. Remember: C-D = "Come, Deposit (in a bank)".

Example: An Indian mutual fund parks a large sum for three months by buying a Certificate of Deposit issued by a scheduled commercial bank.

Call Money Market

ADVANCED

Simple meaning: The market where banks lend money to each other for just one day.

Technical definition: The interbank market for very short-term funds. Overnight borrowing is call money, 2 to 14 days is notice money; the interest rate is the call rate.

TNPSC key point: Call money = OVERNIGHT interbank lending; the call rate is the most sensitive indicator of liquidity in the banking system.

Visual memory: At midnight, one bank phones another in panic "Bro, lend me a sack of cash till sunrise!" A cash sack flies across the city on a zip line between two bank towers, and at dawn it zips right back with a small tip attached.

Image idea: Two bank towers connected by a midnight zip line carrying a money sack under a moon, big bold text "CALL MONEY MARKET", clean background.

Hook: CALL MONEY = MIDNIGHT ZIP-LINE CASH — banks lending to banks, overnight only.

Example: An Indian bank falling short of its CRR requirement on a given day borrows overnight in the call money market to meet the RBI's reserve rule.

Government Securities (G-Sec)**TOUGH**

Simple meaning: Long-term bonds issued by the government that pay regular interest.

Technical definition: Tradeable debt instruments issued by the central or state governments; dated G-Secs are long-term and pay a fixed coupon, and are considered risk-free (sovereign) securities.

TNPSC key point: G-Secs are LONG-term and pay COUPON interest unlike T-Bills (short-term, zero coupon); state government versions are called State Development Loans (SDLs).

Visual memory: A grandfather clock made of a giant government bond stands in the hallway for 10 long years and every six months a bell rings, a drawer pops open, and coupon interest coins roll out into the investor's waiting bowl. Reliable as time itself.

Image idea: A tall grandfather clock shaped like a government bond dropping interest coins from a slot, big bold text "G-SEC", clean background.

Hook: G-SEC = GRANDFATHER CLOCK BOND. long life, regular coupon chimes, government guaranteed.

DO NOT CONFUSE: vs T-Bill G-Sec is long-term with coupon interest; T-Bill is short-term (up to 364 days), zero coupon, sold at a discount.

Example: Indian banks hold G-Secs to meet the SLR requirement; the Tamil Nadu government raises long-term funds by issuing State Development Loans.

Simple meaning: The actual return an investor earns from a bond at its current market price.

Technical definition: The effective annual return on a bond, calculated from its coupon relative to its current market price; yield changes as the bond's price changes in the market.

TNPSC key point: Bond price and bond yield move in OPPOSITE directions. When bond prices rise, yields FALL; when prices fall, yields RISE.

Visual memory: A see-saw in the finance playground: a fat bond-price kid sits on one end and a skinny yield kid on the other. Every time PRICE goes up with a thud, YIELD flies helplessly down, and vice versa. They can never be up together.

Image idea: A see-saw with "PRICE" on one seat up and "YIELD" on the other seat down, big bold text "BOND YIELD", clean background.

Hook: BOND YIELD = SEE-SAW WITH PRICE. Price up, yield down; price down, yield up.

Example: When RBI cuts the repo rate and investors rush to buy existing G-Secs, their prices climb and the 10-year G-Sec yield India's benchmark falls.

Simple meaning: A share that makes you a part-owner of the company.

Technical definition: A unit of ownership capital in a company that carries voting rights and a claim on profits through dividends, which are not fixed or guaranteed.

TNPSC key point: Equity shareholders are OWNERS

they get dividends (variable, not guaranteed) and voting rights, and are paid LAST if the company winds up.

Visual memory: A tiny investor wearing a king's crown sits on a miniature throne inside the company boardroom shouting "I OWN a piece of this!" he votes with a raised sceptre and catches whatever dividend coins the profit fountain sprays, some years a shower, some years a drip.

Image idea: A share certificate wearing a crown and holding a voting sceptre, dividend coins sprinkling down, big bold text "EQUITY SHARE", clean background.

Hook: EQUITY SHARE = CROWNED CERTIFICATE ownership, votes, variable dividends.

DO NOT CONFUSE: vs Debenture equity share means ownership with variable dividend; debenture means loan with fixed interest and no ownership.

Example: Buying one equity share of an Indian company like TVS Motor makes you a part-owner entitled to dividends and a vote at its annual general meeting.

Simple meaning: A loan you give to a company in return for fixed interest.

Technical definition: A long-term debt instrument issued by a company promising fixed interest and repayment of principal; debenture holders are creditors, not owners.

TNPSC key point: Debenture holders are CREDITORS
fixed interest must be paid even in loss years, and they rank ahead of equity shareholders during winding up.

Visual memory: A stern moneylender stands at the company gate every quarter ringing a loud bell "MY FIXED INTEREST, RAIN OR SHINE!"
profits or losses, the terrified company must hand over the same coins on the same date, and he never gets a vote inside.

Image idea: A bond document with a fixed-interest bell and "CREDITOR, NOT OWNER" ribbon, big bold text "DEBENTURE", clean background.

Hook: DEBENTURE = MONEYLENDER'S BELL
fixed interest loan to the company, no ownership.

DO NOT CONFUSE: vs Equity Share
debenture is a LOAN earning fixed interest (creditor); equity is OWNERSHIP earning variable dividend (owner).

Example: Indian NBFCs frequently raise funds by issuing non-convertible debentures (NCDs) to the public, paying a fixed interest rate.

Initial Public Offering (IPO)

MODERATE

Simple meaning: A private company sells its shares to the public for the very first time.

Technical definition: The first sale of a company's shares to the general public in the primary market, after which the shares get listed and traded on a stock exchange; regulated by SEBI.

TNPSC key point: IPO is a PRIMARY market event (fresh issue, company receives the money) and is regulated by SEBI; after the IPO, shares trade in the secondary market.

Visual memory: A shy private company steps onto a grand stage for its debut, red curtain rises, spotlight blazes, and it flings its very first shares like garlands into a roaring public crowd. It throws its "arangetram" into the stock market.

Image idea: A red curtain rising on a stage as a company mascot throws share certificates to a cheering crowd, big bold text "IPO", clean background.

Hook: IPO = COMPANY'S GRAND DEBUT SHOW. It's the first-ever public sale of shares.

Example: When a Chennai-based company lists on the NSE by offering shares to the public for the first time, investors across Tamil Nadu apply for its IPO through their demat accounts.

Simple meaning: The two famous scoreboards showing how India's stock market is performing.

Technical definition: Benchmark stock indices SENSEX tracks 30 large stocks on the Bombay Stock Exchange (BSE); NIFTY tracks 50 large stocks on the National Stock Exchange (NSE).

TNPSC key point: SENSEX = 30 stocks on BSE; NIFTY = 50 stocks on NSE. Memorise the pairing 30-BSE and 50-NSE.

Visual memory: Two giant cricket scoreboards face each other across Dalal Street. The older one, SENSEX, shows a team of exactly 30 star batsmen from BSE; the newer one, NIFTY, fields a bigger squad of 50 from NSE. The whole nation watches both scores flash every second.

Image idea: Twin scoreboards, one showing "30 - BSE" and the other "50 - NSE", big bold text "SENSEX & NIFTY", clean background.

Hook: SENSEX-30-BSE, NIFTY-50-NSE. Two scoreboards, remember the numbers with the exchanges.

Example: Evening Tamil news bulletins report "Sensex up, Nifty up" daily. Those movements reflect the shares of India's biggest companies on the BSE and NSE.

Simple meaning: A market where prices keep rising and everyone is hopeful.

Technical definition: A prolonged period of rising share prices driven by optimism and strong buying; a "bull" is an investor who expects prices to rise.

TNPSC key point: Bull = OPTIMIST = RISING market

A bull attacks by tossing its horns UPWARD, so bull market means prices going up.

Visual memory: A muscular bull charges through the stock exchange, hooks the price board with its mighty horns and TOSSES it sky-high. Share prices rain upward like confetti while investors ride on its back cheering with garlands.

Image idea: A powerful bull tossing a rising price arrow upward with its horns, big bold text "BULL MARKET", clean background.

Hook: BULL = HORNS TOSS UP. Optimism, rising prices.

DO NOT CONFUSE: vs Bear Market. A bull tosses prices UP (optimism, rising); bear swipes prices DOWN (pessimism, falling).

Example: After the 1991 reforms and again in the mid-2000s, Indian markets saw famous bull runs where the SENSEX multiplied within a few years.

Simple meaning: A market where prices keep falling and everyone is fearful.

Technical definition: A prolonged period of falling share prices driven by pessimism and heavy selling; a "bear" is an investor who expects prices to fall.

TNPSC key point: Bear = PESSIMIST = FALLING market

a bear attacks by swiping its paw DOWNWARD, so bear market means prices going down.

Visual memory: A giant grumpy bear looms over the stock exchange and SLAMS its heavy paw down on the price board prices crash to the floor, red arrows everywhere, investors run for cover while the bear growls and swipes again and again.

Image idea: A huge bear swiping a falling red price arrow downward with its paw, big bold text "BEAR MARKET", clean background.

Hook: BEAR = PAW SWIPES DOWN pessimism, falling prices.

DO NOT CONFUSE: vs Bull Market bear swipes prices DOWN (pessimism, falling); bull tosses prices UP (optimism, rising).

Example: During the 2008 global financial crisis, Indian markets entered a deep bear phase and the SENSEX lost more than half its value from its peak.

Simple meaning: Many small investors pool their money, and an expert invests it for them.

Technical definition: An investment vehicle that pools money from many investors and invests it in shares, bonds and other securities under professional management; regulated by SEBI, valued daily by NAV.

TNPSC key point: Mutual funds are regulated by SEBI, and each unit's value is the Net Asset Value (NAV); UTI (1963) was India's first mutual fund.

Visual memory: A village of small investors each drops one coin into one giant community pot; a wise chef labelled "FUND MANAGER" stirs the pot and cooks a giant investment biryani of shares and bonds, then serves every villager a portion sized exactly to the coins they put in.

Image idea: Many small hands dropping coins into one big pot stirred by a chef, big bold text "MUTUAL FUND", clean background.

Hook: MUTUAL FUND = COMMUNITY MONEY POT
pooled money, expert-managed, shared returns.

Example: A Chennai salaried employee investing Rs. 500 monthly through a SIP joins lakhs of others whose pooled money a fund manager invests across Indian companies.

Simple meaning: A financial contract whose value depends on something else, like a share or commodity.

Technical definition: A financial contract that derives its value from an underlying asset such as shares, indices, commodities, currencies. The main types being forwards, futures, options and swaps.

TNPSC key point: A derivative has NO independent value. It derives value from an underlying asset; futures and options are the most traded derivatives in India.

Visual memory: A shadow puppet dances wildly on the wall but it is only a SHADOW: when the real puppet (the share) moves its arm, the shadow moves; if the real puppet vanishes, the shadow is worth nothing. Traders bet furiously on the shadow's every move.

Image idea: A share certificate casting a large dancing shadow that traders point at, big bold text "DERIVATIVE", clean background.

Hook: DERIVATIVE = SHADOW OF THE ASSET. Its value comes only from the underlying.

Example: NIFTY futures and options traded on the NSE are derivatives. Their prices dance to the movements of the underlying NIFTY 50 index.

Simple meaning: The watchdog that regulates India's stock markets and protects investors.

Technical definition: The Securities and Exchange Board of India is a statutory regulator of the securities market, protecting investors and regulating stock exchanges, brokers, mutual funds and listed companies.

TNPSC key point: SEBI was set up in 1988 and became a STATUTORY body through the SEBI Act, 1992; headquarters at Mumbai. It regulates SECURITIES markets, not banks.

Visual memory: A sharp-eyed traffic police officer in a "SEBI 1992" uniform stands at the gates of the stock exchange with a whistle and CCTV eyes, waving honest investors through, blowing the whistle on insider traders and dragging fraudsters out by the collar.

Image idea: A watchdog with a police cap guarding a stock exchange gate, badge reading "1992", big bold text "SEBI", clean background.

Hook: SEBI = STOCK MARKET TRAFFIC POLICE. Securities watchdog, statutory since 1992.

DO NOT CONFUSE: vs RBI. SEBI regulates the securities/stock market (statutory 1992); RBI regulates banks, money supply and monetary policy.

Example: When a company launches an IPO or a broker in Chennai opens your demat account, every step follows SEBI's regulations.

Unified Payments Interface (UPI)

MODERATE

Simple meaning: The system that lets you send money instantly from phone to phone, any bank to any bank.

Technical definition: A real-time payment system that transfers money instantly between bank accounts through mobile phones using a virtual payment address; built by NPCI and launched in 2016.

TNPSC key point: UPI was built by NPCI (National Payments Corporation of India) and launched in 2016. It is an instant, 24x7, bank-to-bank transfers.

Visual memory: A tea-shop customer points his phone at a QR code like a magic wand. "beep!" a coin literally teleports out of his bank vault, flies through the air as light, and drops into the tea master's bank vault before the tea is even poured.

Image idea: A phone scanning a QR code with a coin teleporting between two bank buildings as a beam of light, big bold text "UPI", clean background.

Hook: UPI = MONEY TELEPORTER. NPCI's 2016 instant bank-to-bank magic.

Example: From Chennai tea kadais to Madurai vegetable markets, tiny QR-code boards let customers pay even Rs. 10 instantly through UPI apps.

Simple meaning: Bringing banking services to every person, especially the poor.

Technical definition: Delivery of affordable financial services like bank accounts, credit, insurance, pensions to all sections of society, especially low-income and unbanked groups.

TNPSC key point: Pradhan Mantri Jan Dhan Yojana (PMJDY, 2014) is India's flagship financial inclusion scheme to open zero-balance bank accounts for every household.

Visual memory: A giant bank building sprouts hundreds of walking legs and marches out of the city over hills, into villages and huts bending down politely at each doorstep to hand every farmer, fisherwoman and street vendor a shiny bank passbook.

Image idea: A bank building with legs walking to village huts handing out passbooks, big bold text "FINANCIAL INCLUSION", clean background.

Hook: FINANCIAL INCLUSION = WALKING BANK. Banking reaches every doorstep, no one left out.

Example: Under PMJDY, crores of Jan Dhan accounts were opened across India, letting rural Tamil Nadu families receive government benefits straight into their own bank accounts.

Simple meaning: Very small loans given to poor people who cannot get normal bank loans.

Technical definition: Provision of small loans, savings and other financial services to low-income households without collateral, typically through microfinance institutions and self-help groups.

TNPSC key point: Microfinance = small loans WITHOUT collateral; the model was popularised by Muhammad Yunus's Grameen Bank in Bangladesh (Nobel Peace Prize 2006).

Visual memory: A banker with a magnifying glass hands out tiny, ant-sized loan bags to a long queue of village women. No gold, no land papers demanded, just a handshake and each tiny bag grows into a tailoring shop, a cow, a petty store.

Image idea: A magnifying glass over a tiny money bag being handed to a village woman, small sprouting shop behind her, big bold text "MICROFINANCE", clean background.

Hook: MICROFINANCE = TINY LOAN, NO COLLATERAL

small money that grows big livelihoods.

Example: A rural Tamil Nadu woman takes a small microfinance loan through her SHG to buy a sewing machine and start a home tailoring business.

Self-Help Group (SHG)

MODERATE

Simple meaning: A small group of village people, mostly women, who save together and lend to each other.

Technical definition: A voluntary group of typically 10-20 members, mostly women, who pool savings regularly and provide small loans to members, often linked to banks under NABARD's SHG-Bank Linkage Programme.

TNPSC key point: The SHG movement is especially strong in Tamil Nadu the state's pioneering Mahalir Thittam programme built a massive network of women's SHGs.

Visual memory: Fifteen village women sit in a circle under a banyan tree, each dropping a coin into a shared brass pot every week the pot glows, grows, and takes turns flying into each member's house to fund a goat, a shop, a school fee a money merry-go-round of sisterhood.

Image idea: Women seated in a circle around one glowing shared savings pot under a tree, big bold text "SHG", clean background.

Hook: SHG = SAVINGS CIRCLE UNDER THE TREE women save together, lend to each other.

Example: Tamil Nadu's Mahalir Thittam SHGs helped lakhs of women access bank credit, run micro-businesses and gain a voice in village decisions.

Simple meaning: Linking bank accounts, Aadhaar and mobiles to send government money straight to people.

Technical definition: The combination of Jan Dhan bank accounts + Aadhaar identity + Mobile numbers, used to deliver subsidies and welfare through Direct Benefit Transfer (DBT), cutting out leakages.

TNPSC key point: JAM = Jan Dhan + Aadhaar + Mobile
the backbone of Direct Benefit Transfer that stops middlemen and duplicate beneficiaries.

Visual memory: Three superheroes stand in formation
J with a passbook shield, A with a fingerprint badge glowing on his chest, M with a phone antenna helmet
together they fire one combined laser beam that carries a subsidy rupee directly into a villager's account, vaporising the greedy middleman standing in between.

Image idea: Three superhero figures labelled J, A, M
firing one combined beam of money into a bank account, big bold text "JAM TRINITY", clean background.

Hook: JAM = THREE-HERO COMBO
Jan Dhan + Aadhaar + Mobile deliver benefits directly.

Example: An LPG subsidy lands directly in a Tamil Nadu household's Jan Dhan account, verified by Aadhaar and confirmed by SMS on the linked mobile
pure JAM in action.

Central Bank Digital Currency (e-Rupee)

ADVANCED

Simple meaning: Digital cash issued by the RBI itself
official money on your phone.

Technical definition: A digital form of legal tender currency issued by the central bank; India's e-Rupee (Digital Rupee) is issued by the RBI as its own liability, with pilots launched in 2022.

TNPSC key point: The e-Rupee is an RBI LIABILITY and LEGAL TENDER completely different from private cryptocurrencies, which no one guarantees.

Visual memory: The RBI Governor waves a wand over a paper rupee note and it dissolves into glowing pixels that fly into a phone but the pixels still wear the tiny official RBI seal and Ashoka emblem, shouting "I am REAL money, just digital!"

Image idea: A rupee note transforming into glowing pixels entering a smartphone, RBI seal shining on the pixels, big bold text "e-RUPEE", clean background.

Hook: e-RUPEE = PIXEL MONEY WITH RBI'S SEAL official digital legal tender.

DO NOT CONFUSE: vs Cryptocurrency
e-Rupee is issued by RBI and is legal tender; cryptocurrency is private, unbacked and NOT legal tender in India.

Example: RBI's Digital Rupee pilots let users in select Indian cities pay merchants with e-Rupee wallets sovereign digital cash, unlike Bitcoin.

Simple meaning: The government's policy think tank that replaced the old Planning Commission.

Technical definition: The National Institution for Transforming India, formed on 1 January 2015 as the government's premier policy think tank promoting cooperative federalism, with NO power to allocate funds.

TNPSC key point: NITI Aayog (2015) replaced the Planning Commission; it only advises – it has NO fund allocation power (funds are devolved via the Finance Commission, Art 280).

Visual memory: A giant brain wearing spectacles sits in Delhi drawing brilliant blueprints and handing them to the states – but when a state stretches out its palm for money, the brain turns its empty pockets inside out: "Ideas only! For cash, go to the Finance Commission next door."

Image idea: A large friendly brain with glasses holding blueprints, its pockets turned out empty, big bold text "NITI AAYOG", clean background.

Hook: NITI AAYOG = BRAIN WITH EMPTY POCKETS – think tank since 2015, advice yes, funds no.

DO NOT CONFUSE: vs Planning Commission and Finance Commission – NITI Aayog (2015, non-constitutional think tank, no funds) replaced the Planning Commission; the Finance Commission is a constitutional body (Art 280) that actually devolves taxes to states.

Example: NITI Aayog's Aspirational Districts Programme monitors development indicators in backward districts, including districts of Tamil Nadu, but the money flows through other channels.

Simple meaning: The government's annual report card on the economy, released just before the Budget.

Technical definition: An annual document of the Ministry of Finance, prepared under the Chief Economic Adviser, reviewing the economy's performance and outlook; presented in Parliament a day before the Union Budget.

TNPSC key point: The Economic Survey is presented ONE DAY BEFORE the Union Budget and is prepared by the team of the Chief Economic Adviser (CEA).

Visual memory: The night before the big Budget movie premieres, the Chief Economic Adviser walks out first with a giant report card of the nation
marks for GDP, inflation, jobs like the trailer released one day before the blockbuster.

Image idea: A giant report card stamped "DAY BEFORE BUDGET" held up by an economist figure, big bold text "ECONOMIC SURVEY", clean background.

Hook: ECONOMIC SURVEY = TRAILER BEFORE THE BUDGET MOVIE
CEA's report card, one day early.

DO NOT CONFUSE: vs Union Budget the Survey reviews the past year (by the CEA, day before); the Budget announces next year's revenue and spending (by the Finance Minister).

Example: Every year TNPSC aspirants study the Economic Survey's chapters on growth, inflation and employment tabled in Parliament the day before the Union Budget.

Simple meaning: The big 1991 reforms that opened up India's economy to markets and the world.

Technical definition: The New Economic Policy of 1991
 Liberalisation (removing licences and controls), Privatisation (bigger private-sector role) and Globalisation (opening to world trade and investment)
 triggered by the Balance of Payments crisis.

TNPSC key point: LPG 1991 = PM Narasimha Rao + FM Manmohan Singh, forced by the BoP crisis the exam's favourite combo of names, year and cause.

Visual memory: India, 1991: the treasury is almost empty and gold is being loaded onto a plane then Rao and Manmohan Singh together turn three giant keys labelled L, P, G on a rusted iron gate; it creaks open and sunlight, foreign ships and new factories flood in.

Image idea: Two statesmen turning three giant keys marked L, P, G in a massive opening gate stamped "1991", big bold text "LPG REFORMS 1991", clean background.

Hook: LPG 1991 = THREE KEYS OPEN INDIA'S GATE Liberalise, Privatises, Globalise after the BoP crisis.

Example: Post-1991 liberalisation brought global automakers, electronics firms and IT parks to Tamil Nadu, transforming Chennai's industrial belt.

Simple meaning: Government selling part of its shares in public sector companies.

Technical definition: The sale of a portion of the government's equity stake in public sector undertakings (PSUs) to raise resources, while the government may still retain ownership or control.

TNPSC key point: Disinvestment = selling PART of the government's stake (control may remain with government); handled by DIPAM under the Ministry of Finance.

Visual memory: The government holds a huge PSU cake and slices off a piece to sell at the market counter but keeps the bigger chunk, the knife and the recipe firmly in its own hands, announcing "I am selling a slice, NOT the bakery!"

Image idea: A government hand slicing one piece from a large cake labelled "PSU" and selling the slice, big bold text "DISINVESTMENT", clean background.

Hook: DISINVESTMENT = SELLING A SLICE, KEEPING THE CAKE
partial sale of government stake.

DO NOT CONFUSE: vs Privatisation
disinvestment sells part of the stake (government may keep control); privatisation transfers ownership/control itself to private hands.

Example: The government selling a minority stake in a PSU through the stock market is disinvestment; the Air India sale, where control passed to the Tata group, went further into privatisation.

Gross State Domestic Product (GSDP) & Tamil Nadu Economy

TOUGH

Simple meaning: GSDP is a state's own GDP. It is the total value of everything produced inside that state in a year.

Technical definition: The money value of all final goods and services produced within a state's geographical boundaries in a financial year. It is the state-level counterpart of national GDP.

TNPSC key point: Tamil Nadu is among India's largest state economies and one of its most urbanised states. It is strong in automobiles (Chennai, the "Detroit of Asia"), textiles (Tiruppur, Coimbatore), leather and electronics.

Visual memory: The Tamil Nadu map turns into a roaring mega-factory: cars roll out of Chennai's corner, T-shirts shoot from Tiruppur like confetti cannons, leather shoes march out of Vellore, circuit boards sparkle near Sriperumbudur and a giant meter on top labelled "GSDP" spins and climbs.

Image idea: A Tamil Nadu state map shaped as a factory producing cars, T-shirts, shoes and chips, with a rising meter on top, big bold text "GSDP", clean background.

Hook: GSDP = THE STATE'S OWN GDP METER. Everything Tamil Nadu produces in a year.

DO NOT CONFUSE: vs GDP. GDP measures the whole nation's output; GSDP measures one state's output within its own boundaries.

Example: Tamil Nadu's GSDP is powered by Chennai's auto plants, Tiruppur's knitwear exports, Coimbatore's textile and pump industries, and fast-growing electronics manufacturing.

A. Top 50 Must-Memorise Terms

- Opportunity Cost** (#2) The "next best alternative foregone" definition is a direct-question staple.

2. **Law of Demand** (#12) The inverse price-quantity relation plus its Giffen exception appears again and again.
3. **Giffen Good** (#25) The classic "exception to the law of demand" MCQ.
4. **Monopoly** (#32) The single seller as "price maker" is a favourite match-the-following item.
5. **Public Good** (#43) The non-rival, non-excludable feature pair is asked almost verbatim.
6. **Stagflation** (#56) The "stagnation plus inflation together" is a one-line definition question TNPSC loves.
7. **Gross Domestic Product (GDP)** (#62) The territory-based definition anchors every national income question.
8. **Gross National Product (GNP)** (#63) The GDP + net factor income from abroad formula is tested repeatedly.
9. **Net National Product (NNP)** (#65) "NNP at factor cost = National Income" is a perennial correct option.
10. **Real GDP** (#72) The measurement at constant base-year prices separates it from nominal GDP in MCQs.
11. **Inflation** (#81) The definition, causes and effects supply questions in nearly every paper.
12. **Deflation** (#82) The falling price level, and why it is dangerous, is a standard conceptual question.
13. **Disinflation** (#83) The "slowing but still positive inflation" nuance is a built-in trap option.
14. **Wholesale Price Index (WPI)** (#91) The goods-only coverage and non-target status get tested often.
15. **Consumer Price Index (CPI)** (#92) "which index does RBI target?" is a repeat question.
16. **Broad Money (M3)** (#105) The composition of money aggregates is a favourite formula MCQ.
17. **Non-Performing Asset (NPA)** (#116) The 90-day overdue rule is a precise fact TNPSC checks.
18. **Repo Rate** (#122) The direction "RBI lends to banks" is tested against reverse repo constantly.
19. **Reverse Repo Rate** (#123) The liquidity-absorbing opposite of repo; direction questions recur.
20. **Cash Reserve Ratio (CRR)** (#124) The "kept with RBI, in cash, no interest" is a three-fact MCQ goldmine.
21. **Statutory Liquidity Ratio (SLR)** (#125) The "kept with the bank itself" is the exact contrast examiners exploit.

22. **Monetary Policy Committee (MPC)** (#129) ₹ 6-member composition and the CPI 4% $\pm 2\%$ target are direct facts.
23. **Lender of Last Resort** (#137) ₹ a stock "function of RBI" match-the-following entry.
24. **Consolidated Fund of India** (#146) ₹ Article 266 and the parliamentary-approval rule are exam regulars.
25. **Fiscal Deficit** (#151) ₹ the borrowings-excluded formula is among the most repeated economics questions.
26. **Revenue Deficit** (#152) ₹ revenue expenditure minus revenue receipts; tested against fiscal deficit.
27. **Primary Deficit** (#153) ₹ "fiscal deficit minus interest payments" is asked as a straight formula.
28. **FRBM Act** (#159) ₹ the 2003 year and fiscal-discipline targets are direct factual questions.
29. **Direct Tax** (#161) ₹ classify-the-tax questions hinge on the non-shiftable burden idea.
30. **Goods and Services Tax (GST)** (#165) ₹ 101st Amendment and 1 July 2017 rollout are guaranteed facts.
31. **Finance Commission** (#176) ₹ Article 280 and the five-year cycle are among TNPSC's most-asked facts.
32. **Poverty Line** (#181) ₹ committee names and the consumption basis feed repeat questions.
33. **Disguised Unemployment** (#191) ₹ "zero marginal product in agriculture" is a signature Indian-economy MCQ.
34. **Demographic Dividend** (#204) ₹ the working-age bulge concept is a favourite in development questions.
35. **Lorenz Curve** (#208) ₹ the inequality diagram is tested with its partner, the Gini coefficient.
36. **Gini Coefficient** (#209) ₹ the 0-to-1 scale meaning is a precise, frequently asked fact.
37. **Human Development Index (HDI)** (#211) ₹ UNDP authorship and the three dimensions are certain questions.
38. **Minimum Support Price (MSP)** (#221) ₹ "who recommends, who announces" is a classic agriculture MCQ.
39. **Green Revolution** (#222) ₹ HYV seeds and the personalities involved are staple questions.
40. **Public Distribution System (PDS)** (#224) ₹ Tamil Nadu's universal PDS is a state-specific favourite.
41. **MGNREGA** (#239) ₹ 2005 Act and the 100-day legal guarantee are dependable factual questions.

42. **Balance of Payments (BoP)** (#242) "always balances in accounting terms" is a tested subtlety.
43. **Current Account Deficit (CAD)** (#245) its components versus the trade deficit are repeat material.
44. **World Trade Organization (WTO)** (#250) 1995 birth and GATT parentage are fixed exam facts.
45. **Devaluation** (#258) the official-versus-market distinction and 1949/1966/1991 years recur.
46. **Foreign Direct Investment (FDI)** (#261) lasting interest and control define it in contrast questions.
47. **Foreign Portfolio Investment (FPI)** (#262) the "hot money" tag makes it a ready trap option.
48. **Treasury Bill (T-Bill)** (#275) zero-coupon, issued-at-discount features are precise MCQ facts.
49. **SEBI** (#289) regulator identification and its statutory year are direct questions.
50. **NITI Aayog** (#296) 2015 birth, Planning Commission replacement and no-fund-power are certainties.

B. Top 30 Most Confusing Term Pairs

1. **GDP vs GNP:** GDP counts production by LOCATION (inside India's territory); GNP counts by NATIONALITY (GDP + net factor income from abroad).
2. **GNP vs NNP:** NNP is simply GNP minus depreciation (capital consumption); NNP at factor cost is National Income.
3. **Nominal GDP vs Real GDP:** Nominal uses current-year prices; Real uses constant base-year prices, removing inflation.
4. **Fiscal Deficit vs Revenue Deficit:** Fiscal deficit is the TOTAL borrowing gap (all expenditure minus all non-borrowing receipts); revenue deficit is the gap on the revenue account alone.
5. **Fiscal Deficit vs Primary Deficit:** Primary deficit = fiscal deficit MINUS interest payments "it shows this year's fresh borrowing need without past debt's burden."
6. **Inflation vs Deflation:** Inflation is a sustained RISE in the general price level; deflation is an actual FALL in it.
7. **Disinflation vs Deflation:** Disinflation is inflation SLOWING but still positive (prices still rising); deflation is prices actually falling.

8. **Repo Rate vs Reverse Repo Rate:**Repo: RBI LENDS to banks (injects liquidity); reverse repo: RBI BORROWS from banks (absorbs liquidity).
9. **CRR vs SLR:**CRR is cash parked WITH RBI earning nothing; SLR is liquid assets (cash, gold, G-Secs) held by the bank ITSELF.
10. **Direct Tax vs Indirect Tax:**Direct tax burden cannot be shifted (income tax); indirect tax burden is passed to the consumer (GST).
11. **Current Account vs Capital Account:**Current account records goods, services, income and transfers; capital account records asset and loan flows (FDI, FPI, ECB).
12. **BoT vs BoP:**Balance of Trade covers only GOODS exports-imports; Balance of Payments covers ALL external transactions.
13. **Economic Growth vs Economic Development:**Growth is a quantitative rise in output; development adds qualitative change Æ health, education, equity.
14. **Absolute Poverty vs Relative Poverty:**Absolute: below a fixed minimum-needs cut-off; relative: poor compared with others in society.
15. **FDI vs FPI:**FDI brings lasting interest and management control; FPI merely buys tradable securities Æ quick "hot money".
16. **Depreciation vs Devaluation:**Depreciation is a market-driven fall in currency value; devaluation is an OFFICIAL cut under a fixed-rate system.
17. **Appreciation vs Revaluation:**Appreciation is a market-driven rise in currency value; revaluation is an official upward reset by the government/central bank.
18. **Tax Buoyancy vs Tax Elasticity:**Buoyancy measures actual revenue growth INCLUDING rate/policy changes; elasticity measures response with tax rates UNCHANGED.
19. **Cess vs Surcharge:**Cess is levied for a SPECIFIC earmarked purpose; surcharge is a tax-on-tax with no earmark Æ neither is shared with states.
20. **Moral Hazard vs Adverse Selection:**Moral hazard is risky behaviour AFTER the contract (insured driver turns careless); adverse selection is hidden bad risk BEFORE the contract.
21. **Giffen Good vs Veblen Good:**Giffen: a poor man's staple bought MORE as price rises (income effect); Veblen: a rich man's status good desired BECAUSE it is pricey.
22. **M1 vs M3:**M1 (narrow money) = currency + demand deposits + other RBI deposits; M3 (broad money) = M1 + time deposits.
23. **Lorenz Curve vs Gini Coefficient:**Lorenz is the PICTURE of income distribution; Gini is the single NUMBER (0 to 1) derived from that picture.
24. **Money Market vs Capital Market:**Money market deals in short-term funds (up to one year); capital market deals in long-term funds (shares, bonds).
25. **Primary Market vs Secondary Market:**Primary market issues NEW securities (IPOs, fresh capital to the company); secondary market trades EXISTING ones among investors.

26. **Equity Share vs Debenture:** Equity is OWNERSHIP with variable dividend; debenture is a LOAN to the company with fixed interest, repaid first.
27. **NITI Aayog vs Finance Commission:** NITI Aayog is an advisory think tank created by executive resolution; the Finance Commission is a CONSTITUTIONAL body (Art 280) that devolves taxes.
28. **Green GDP vs Green Economy:** Green GDP is a MEASUREMENT (GDP adjusted for environmental costs); green economy is a development MODEL that is low-carbon and resource-efficient.
29. **Payments Bank vs Small Finance Bank:** Payments banks accept limited deposits but CANNOT lend; small finance banks can both take deposits AND lend to small borrowers.
30. **PPP model vs Purchasing Power Parity:** PPP model = Public-Private Partnership in infrastructure projects; Purchasing Power Parity = a method of comparing currencies by what they buy.

Part C. Top 30 TNPSC Trap Concepts

1. **Trap:** RBI targets WPI inflation **Truth:** RBI targets CPI (Combined) at 4% $\pm 2\%$, decided by the MPC.
2. **Trap:** Fiscal deficit counts borrowings as receipts **Truth:** borrowings are EXCLUDED from receipts; fiscal deficit equals the government's borrowing requirement.
3. **Trap:** Devaluation and depreciation are the same **Truth:** devaluation is an official act under fixed rates; depreciation is a market-driven fall.
4. **Trap:** National Income = NNP at market price **Truth:** National Income is NNP at FACTOR COST (market price minus indirect taxes plus subsidies).
5. **Trap:** An Indian company's factory in Dubai adds to India's GDP **Truth:** GDP is territorial; that output enters India's GNP via net factor income from abroad.
6. **Trap:** Pensions and scholarships are counted in national income **Truth:** transfer payments are excluded, no production takes place against them.
7. **Trap:** Disinflation means prices are falling **Truth:** prices still RISE during disinflation, only at a slower rate; falling prices is deflation.
8. **Trap:** CRR is maintained in the bank's own vault **Truth:** CRR is cash kept WITH RBI; it is SLR that stays with the bank itself.
9. **Trap:** Banks earn interest on CRR balances **Truth:** RBI pays NO interest on CRR.
10. **Trap:** Repo rate is the rate at which RBI borrows **Truth:** repo is RBI LENDING to banks; reverse repo is RBI borrowing.

11. **Trap:** Bank Rate and Repo Rate are identical **Truth:** repo lending is against securities for the short term; Bank Rate is long-term lending without such collateral.
12. **Trap:** The Constitution uses the word "Budget" **Truth:** Article 112 calls it the "Annual Financial Statement".
13. **Trap:** Government can freely withdraw from the Consolidated Fund **Truth:** every withdrawal needs parliamentary appropriation; only the Contingency Fund (Art 267) allows advance spending pending approval.
14. **Trap:** Public Account withdrawals need Parliament's approval **Truth:** they do NOT the government holds this money (provident funds, small savings) as a banker or trustee.
15. **Trap:** Vote on Account and Interim Budget are the same **Truth:** Vote on Account authorises only EXPENDITURE for a short period; an interim budget presents both receipts and expenditure.
16. **Trap:** Finance Bill and Appropriation Bill do the same job **Truth:** the Finance Bill enacts TAX proposals; the Appropriation Bill authorises WITHDRAWAL from the Consolidated Fund.
17. **Trap:** GST came through the 100th Amendment, launched in 2016 **Truth:** it is the 101st Constitutional Amendment Act 2016, rolled out on 1 July 2017.
18. **Trap:** GST is a direct tax because consumers pay it **Truth:** GST is an INDIRECT tax the burden is shifted to the consumer through prices.
19. **Trap:** Cess and surcharge are shared with states **Truth:** both lie OUTSIDE the divisible pool; states get no share.
20. **Trap:** NITI Aayog devolves taxes to states **Truth:** tax devolution is the Finance Commission's constitutional job (Art 280); NITI Aayog only advises.
21. **Trap:** India's poverty line is based on income **Truth:** it is based on CONSUMPTION expenditure, estimated through NSS surveys.
22. **Trap:** HDI is published by the World Bank **Truth:** HDI comes from the UNDP's Human Development Report (since 1990).
23. **Trap:** A Gini coefficient of 1 means perfect equality **Truth:** 0 means perfect equality; 1 means extreme inequality.
24. **Trap:** MPI is just another name for HDI **Truth:** MPI measures overlapping DEPRIVATIONS of the poor (UNDP with OPHI); HDI measures average achievement.
25. **Trap:** Balance of Payments can be in overall deficit **Truth:** BoP always balances in accounting terms; the imbalance appears in components like the current account.
26. **Trap:** Trade deficit and current account deficit are the same **Truth:** CAD also includes services, income and remittances a big trade deficit can shrink after services earnings.

27. **Trap:** Foreign purchase of shares on the stock exchange is FDI **Truth:** that is FPI; FDI means lasting interest and a role in management.
28. **Trap:** WPI includes services like transport and haircuts **Truth:** WPI covers only GOODS; services enter the CPI basket.
29. **Trap:** RBI or CACP declares the MSP **Truth:** CACP only RECOMMENDS; the Union Government (CCEA) announces the MSP.
30. **Trap:** Disguised unemployed persons are visibly jobless **Truth:** they APPEAR employed (on the family farm), but their marginal product is near zero.

📌 D. 50 One-Line Revision Questions

R1. Which Article of the Constitution provides for the Finance Commission?

▼ Answer

👉 Article 280.

R2. Who wrote "The Wealth of Nations" (1776)?

▼ Answer

👉 Adam Smith, the father of economics.

R3. Which 2009 expert group redefined India's poverty line methodology?

▼ Answer

👉 The Suresh Tendulkar Committee.

R4.In which year was the RBI established?

▼ Answer

Answer: 1935 (under the RBI Act, 1934).

R5.When was the RBI nationalised?

▼ Answer

Answer: 1949.

R6.Who issues the one-rupee note?

▼ Answer

Answer: The Government of India (it bears the Finance Secretary's signature, not the RBI Governor's).

R7.On what date was GST rolled out nationwide?

▼ Answer

Answer: 1 July 2017.

R8.Which Constitutional Amendment introduced GST?

▼ Answer

Answer: The 101st Constitutional Amendment Act, 2016.

R9. Under which Article was the GST Council constituted?

▼ Answer

Article 279A.

R10. The "Annual Financial Statement" is presented under which Article?

▼ Answer

Article 112.

R11. The Contingency Fund of India is provided under which Article?

▼ Answer

Article 267.

R12. On what date was NITI Aayog formed?

▼ Answer

1 January 2015, replacing the Planning Commission.

R13. In which year was the Planning Commission set up?

▼ Answer

1950 (by an executive resolution).

R14.What was the period of the First Five Year Plan?

▼ Answer

Answer: 1951 to 1956.

R15.The Second Five Year Plan was based on whose model?

▼ Answer

Answer: P. C. Mahalanobis (heavy-industry model).

R16.Who is called the father of the Green Revolution in India?

▼ Answer

Answer: M. S. Swaminathan (Norman Borlaug globally).

R17.Operation Flood (White Revolution) is associated with whom?

▼ Answer

Answer: Verghese Kurien.

R18.Which body introduced the HDI, and in which year?

▼ Answer

Answer: The UNDP, in 1990 (pioneered by Mahbub ul Haq).

R19.Who coined the phrase "Hindu rate of growth"?

▼ Answer

Answer| Economist Raj Krishna.

R20.Who developed the Physical Quality of Life Index (PQLI)?

▼ Answer

Answer| Morris D. Morris.

R21.Which country measures Gross National Happiness?

▼ Answer

Answer| Bhutan.

R22.In which year was MGNREGA enacted?

▼ Answer

Answer| 2005.

R23.How many days of employment does MGNREGA guarantee?

▼ Answer

Answer| 100 days per rural household per year, as a legal right.

R24.When was the WTO established?

▼ Answer

It was established on 1 January 1995.

R25.Which agreement was the predecessor of the WTO?

▼ Answer

It was the GATT (General Agreement on Tariffs and Trade).

R26.The IMF and World Bank were born at which conference?

▼ Answer

It was the Bretton Woods Conference, 1944.

R27.Where is the headquarters of the WTO?

▼ Answer

It is in Geneva, Switzerland.

R28.In which three years was the Indian rupee devalued?

▼ Answer

It was in 1949, 1966 and 1991.

R29.In which year were the LPG (liberalisation) reforms launched?

▼ Answer

Answer: 1991.

R30.In which year were 14 major banks nationalised?

▼ Answer

Answer: 1969 (six more followed in 1980).

R31.When was NABARD established?

▼ Answer

Answer: 1982.

R32.In which year were Regional Rural Banks first set up?

▼ Answer

Answer: 1975 (the first was Prathama Bank).

R33.After how many days overdue is a loan classified as an NPA?

▼ Answer

Answer: 90 days.

R34.Who acts as the lender of last resort in India?

▼ Answer

Answer| The Reserve Bank of India.

R35.What is the formula for narrow money, M1?

▼ Answer

Answer| Currency with the public + demand deposits + other deposits with the RBI.

R36.Under the Minimum Reserve System (1956), what backing must RBI keep for issuing currency?

▼ Answer

Answer| Rs. 200 crore of gold and foreign securities.

R37.What is the composition of the Monetary Policy Committee?

▼ Answer

Answer| Six members – three from RBI and three appointed by the Government; the Governor has the casting vote.

R38.What is India's official inflation target?

▼ Answer

Answer| CPI (Combined) inflation of 4%, with a tolerance band of $\pm 2\%$.

R39.In which year was the FRBM Act passed?

▼ Answer

Answer: 2003.

R40.State the formula for fiscal deficit.

▼ Answer

Answer: Total expenditure minus total receipts EXCLUDING borrowings.

R41.State the formula for primary deficit.

▼ Answer

Answer: Fiscal deficit minus interest payments.

R42.Which body recommends the Minimum Support Price?

▼ Answer

Answer: The Commission for Agricultural Costs and Prices (CACP); the Government announces it.

R43.Who prepares the Economic Survey, and when is it presented?

▼ Answer

Answer: The Ministry of Finance (Chief Economic Adviser's team), presented before the Union Budget.

R44.What does Engel's Law state?

▼ Answer

As income rises, the proportion of income spent on food falls.

R45.What does Say's Law state?

▼ Answer

Supply creates its own demand.

R46.The Phillips Curve shows a trade-off between which two variables?

▼ Answer

Inflation and unemployment.

R47.The Laffer Curve relates which two variables?

▼ Answer

Tax RATE and tax REVENUE
beyond a point, higher rates reduce revenue.

R48.What does the Kuznets Curve depict?

▼ Answer

An inverted-U relationship between economic growth and inequality.

R49.In which year did SEBI get statutory powers?

▼ Answer

Answer: 1992 (it was formed in 1988).

R50.Which organisation developed the Unified Payments Interface (UPI)?

▼ Answer

Answer: The National Payments Corporation of India (NPCI).

Part E. 50 Practice MCQs

Q1.In economics, the "opportunity cost" of a decision is best defined as?

- a. The total money actually spent on the chosen alternative
- b. The value of the next best alternative foregone
- c. The sum of the values of all alternatives foregone
- d. The accounting cost minus the implicit cost

▼ Show answer

Answer: **(b)** Opportunity cost is the value of the single next best alternative sacrificed, not all alternatives together.

Q2. Which of the following is a POSITIVE economic statement?

- a. The government should raise the minimum wage to help workers
- b. India ought to spend more of its budget on public health
- c. An increase in money supply, other things being equal, tends to raise the price level
- d. Rich states must transfer more resources to poorer states

▼ Show answer

Answer: (c) Positive economics states verifiable "what is" relationships; "should/ought/must" statements are normative value judgements.

Q3. According to Engel's Law, as household income rises, what happens to spending on food?

- a. The proportion of income spent on food falls
- b. The absolute amount spent on food always falls
- c. The proportion of income spent on food rises
- d. Food spending stays exactly constant

▼ Show answer

Answer: (a) Engel's Law: the share (proportion) of income spent on food declines as income rises, even if absolute food spending grows.

Q4. The Minimum Support Price (MSP) for major crops is announced by the Government of India on the recommendations of which body?

- a. NITI Aayog
- b. Food Corporation of India
- c. Finance Commission
- d. Commission for Agricultural Costs and Prices (CACP)

▼ Show answer

Answer: (d) MSP is a floor price fixed by the government based on CACP recommendations; FCI only procures at that price.

Q5. Which statement correctly distinguishes a Giffen good from a Veblen good?

- a. Both are luxury goods bought for social prestige
- b. A Giffen good is a highly inferior good whose demand rises when price rises because the income effect dominates; a Veblen good is a prestige good demanded more at higher prices for status
- c. A Giffen good is a status symbol, while a Veblen good is a staple of the poor
- d. Both goods obey the law of demand but violate the law of supply

▼ Show answer

Answer: (b) Giffen: inferior staple, income effect outweighs substitution effect; Veblen: luxury, higher price itself adds snob appeal both are exceptions to the law of demand for opposite reasons.

Q6. If the cross elasticity of demand between two goods is positive, the goods are?

- a. Complementary goods
- b. Unrelated goods
- c. Substitute goods
- d. Necessarily inferior goods

▼ Show answer

Answer: (c) A rise in the price of one good raising demand for the other (positive cross elasticity) marks substitutes; complements show negative cross elasticity.

Q7. A market in which there is a single buyer facing many sellers is called?

- a. Monopoly
- b. Monopsony
- c. Oligopoly
- d. Duopoly

▼ Show answer

Answer (b) Monopsony = single buyer (e.g., one large employer in a town); monopoly = single seller – the classic trap pair.

Q8. A formal agreement among rival firms to fix prices or restrict output is known as?

- a. A cartel
- b. A merger
- c. Monopolistic competition
- d. Price discrimination

▼ Show answer

Answer (a) A cartel is collusion among independent oligopoly firms (e.g., OPEC-style output/price fixing) to act like a monopoly.

Q9. Which pair of characteristics defines a pure public good?

- a. Rival and excludable
- b. Non-rival but excludable
- c. Rival but non-excludable
- d. Non-rival and non-excludable

▼ Show answer

Answer (d) A pure public good (e.g., national defence) is non-rival (one person's use does not reduce another's) and non-excludable (non-payers cannot be kept out).

Q10. A person begins driving carelessly AFTER purchasing comprehensive car insurance. This behaviour is an example of?

- a. Adverse selection
- b. Moral hazard
- c. Free rider problem
- d. Negative externality

▼ Show answer

Answer: (b) Moral hazard is riskier behaviour AFTER a contract is signed; adverse selection is hidden information BEFORE the transaction (e.g., the sickest people buying health cover).

Q11. The term "stagflation" describes an economy experiencing?

- a. High inflation together with rapid economic growth
- b. Falling prices together with full employment
- c. High inflation together with stagnant output and high unemployment
- d. Zero inflation with zero growth

▼ Show answer

Answer: (c) Stagflation = stagnation + inflation occurring simultaneously, which defies the simple Phillips Curve trade-off.

Q12. The short-run Phillips Curve depicts which relationship?

- a. An inverse relationship between the rate of inflation and the rate of unemployment
- b. A direct relationship between money supply and GDP
- c. An inverse relationship between tax rates and tax revenue
- d. A direct relationship between savings and investment

▼ Show answer

Answer (a) In the short run, lower unemployment is associated with higher inflation and vice versa – the Phillips trade-off.

Q13. Gross National Product (GNP) equals Gross Domestic Product (GDP) plus?

- a. Depreciation of capital
- b. Net indirect taxes
- c. Transfer payments
- d. Net factor income from abroad (NFIA)

▼ Show answer

Answer (d) $GNP = GDP + NFIA$; GDP is territory-based ("domestic") while GNP is nationality/resident-based, differing only by net factor income from abroad.

Q14. The "National Income" of a country, in the conventional sense, is equal to?

- a. GDP at market price
- b. NNP at factor cost
- c. GNP at market price
- d. NDP at market price

▼ Show answer

Answer (b) National Income = NNP at factor cost, i.e., GNP minus depreciation, valued at factor cost (net of indirect taxes less subsidies).

Q15. The GDP deflator is calculated as?

- a. $(\text{Nominal GDP} \div \text{Real GDP}) \times 100$
- b. $(\text{Real GDP} \div \text{Nominal GDP}) \times 100$
- c. $\text{Nominal GDP} \div \text{Real GDP}$
- d. $(\text{CPI} \div \text{WPI}) \times 100$

▼ Show answer

Answer: (a) The deflator converts nominal into real terms: $(\text{Nominal} \div \text{Real}) \times 100$; it covers all goods and services in GDP, unlike the fixed-basket CPI.

Q16. Purchasing Power Parity (PPP) compares the value of currencies on the basis of?

- a. The official exchange rate fixed by central banks
- b. The interest rate differential between two countries
- c. The cost of a common basket of goods and services in each country
- d. The gold reserves held by each country

▼ Show answer

Answer: (c) PPP asks what a common basket costs in each currency, so it corrects for price-level differences that market exchange rates ignore.

Q17. A country's inflation rate falls from 7.2% to 5.1% to 4.3% over three years while prices continue to rise each year. This situation is called?

- a. Deflation
- b. Disinflation
- c. Reflation
- d. Depression

▼ Show answer

Answer: (b) Disinflation is a falling inflation RATE that is still above zero (prices rising more slowly); deflation requires the price level itself to fall (negative inflation).

Q18. Inflation caused primarily by rising wages and raw material prices pushing up production costs is called?

- a. Cost-push inflation
- b. Demand-pull inflation
- c. Reflation
- d. Base effect

▼ **Show answer**

Answer: (a) Cost-push inflation comes from the supply side (input costs); demand-pull comes from excess aggregate demand ("too much money chasing too few goods").

Q19. Which of the following statements about WPI and CPI is CORRECT?

- a. WPI includes the prices of services while CPI does not
- b. CPI is compiled by the Office of the Economic Adviser, DPIIT
- c. WPI measures retail prices paid by final consumers
- d. WPI excludes services, while CPI captures retail prices including services paid by consumers

▼ **Show answer**

Answer: (d) WPI tracks wholesale goods prices only (no services); CPI tracks the retail consumption basket including services, which is why the RBI targets CPI.

Q20. If the nominal interest rate on a deposit is 9% and inflation is 6%, the approximate real interest rate is?

- a. 15%
- b. 9%
- c. 3%
- d. $9\% - 6\% = 3\%$

▼ Show answer

Answer: (d) Real interest rate = nominal rate - inflation rate = $9\% - 6\% = 3\%$ (the Fisher approximation).

Q21. Broad money (M3) equals narrow money (M1) plus?

- a. Demand deposits with banks
- b. Net time deposits with the banking system
- c. Currency held by the public
- d. Other deposits with the RBI

▼ Show answer

Answer: (b) $M1 = \text{currency with public} + \text{demand deposits} + \text{other deposits with RBI}$; adding time deposits converts it into M3, the trap being that M1's components already include the other three options.

Q22. High-powered money (M0), the monetary base, consists of?

- a. Currency in circulation + bankers' deposits with RBI + other deposits with RBI
- b. Currency with public + demand deposits with banks
- c. M1 + time deposits
- d. Only the currency notes issued by the RBI

▼ **Show answer**

Answer: (a) M0 is the liability of the RBI: circulation currency plus bankers' and other deposits held with the RBI; the money multiplier expands M0 into broad money.

Q23. Under RBI norms, a loan account is generally classified as a Non-Performing Asset (NPA) when interest or principal remains overdue for more than?

- a. 30 days
- b. 60 days
- c. 90 days
- d. 180 days

▼ **Show answer**

Answer: (c) The standard NPA recognition norm for bank term loans is 90 days past due.

Q24. Which statement about Payments Banks is CORRECT?

- a. They can extend large corporate loans like commercial banks
- b. They can accept deposits but cannot extend loans or issue credit cards
- c. They are identical to Small Finance Banks in every respect
- d. They are outside the regulatory purview of the RBI

▼ **Show answer**

Answer: (b) Payments Banks take small deposits and provide remittances but cannot lend or issue credit cards; Small Finance Banks, by contrast, do lend (with priority-sector focus).

Q25. The Repo Rate is best described as the rate at which?

- a. The RBI lends short-term funds to commercial banks against government securities
- b. The RBI borrows surplus funds from commercial banks
- c. Commercial banks lend to their best corporate customers
- d. Banks lend to each other overnight in the call money market

▼ Show answer

Answer (a) Repo: RBI LENDS to banks (injects liquidity); Reverse Repo is the opposite RBI ABSORBS surplus liquidity from banks.

Q26. Which of the following correctly distinguishes CRR from SLR?

- a. CRR is maintained by the bank in its own vaults; SLR is kept with the RBI
- b. Both CRR and SLR are kept as cash with the RBI
- c. CRR is a share of NDTL kept as cash with the RBI, while SLR is a share of NDTL maintained by the bank itself in cash, gold and approved securities
- d. Both CRR and SLR earn attractive interest for banks

▼ Show answer

Answer (c) CRR: cash parked WITH the RBI (earns no interest); SLR: liquid assets (cash/gold/approved G-secs) held BY the bank itself.

Q27. Under India's flexible inflation targeting framework, the RBI's mandated target is?

- a. WPI inflation of 4% with no band
- b. CPI inflation of 6% with a $\pm 2\%$ band
- c. GDP deflator growth of 4%
- d. CPI inflation of 4% with a tolerance band of $\pm 2\%$ (i.e., 2% to 6%)

▼ Show answer

Answer (d) The Monetary Policy Committee targets headline CPI at 4%, with a lower bound of 2% and upper bound of 6% CPI, not WPI.

Q28. A situation where interest rates are already near zero and monetary policy fails to stimulate demand because people prefer to hold cash is called?

- a. A liquidity trap
- b. Crowding out
- c. A bank run
- d. Sterilisation

▼ **Show answer**

Answer: (a) In a liquidity trap (a Keynesian idea), additional money is simply hoarded, making further rate cuts ineffective.

Q29. MGNREGA, enacted in 2005, provides a legal guarantee of?

- a. 200 days of employment to every urban household
- b. At least 100 days of wage employment in a financial year to every rural household whose adult members volunteer to do unskilled manual work
- c. Permanent government jobs for all landless labourers
- d. 50 days of employment to every individual citizen

▼ **Show answer**

Answer: (b) The guarantee is 100 days per rural HOUSEHOLD (not per person) of unskilled manual wage employment, enforceable as a legal right.

Q30. Which of the following is a CAPITAL receipt of the Union Government?

- a. Corporate tax collections
- b. Dividends received from public sector undertakings
- c. Proceeds from disinvestment of a PSU
- d. GST collections

▼ Show answer

Answer (c) Capital receipts either create a liability (borrowings) or reduce assets (disinvestment); taxes and PSU dividends are revenue receipts.

Q31. Which statement about government funds is CORRECT?

- a. Withdrawals from the Public Account require prior parliamentary authorization
- b. The Consolidated Fund can be operated by the executive without any parliamentary vote
- c. Provident fund and small savings collections go into the Consolidated Fund
- d. Withdrawals from the Consolidated Fund need parliamentary authorization, while the Public Account operates without such a vote

▼ Show answer

Answer (d) The Consolidated Fund (Art 266(1)) needs Parliament's sanction for withdrawal; the Public Account (Art 266(2)) holds money in trust (PF, small savings) and needs no such vote.

Q32. Fiscal Deficit is defined as?

- a. Total expenditure minus total receipts excluding borrowings
- b. Revenue expenditure minus revenue receipts
- c. Total expenditure minus interest payments
- d. Total receipts minus total expenditure including borrowings

▼ Show answer

Answer: (a) Fiscal Deficit = Total Expenditure – Total Receipts EXCLUDING borrowings; it therefore equals the government's total borrowing requirement for the year.

Q33. Primary Deficit is calculated as?

- a. Revenue deficit minus grants for creation of capital assets
- b. Fiscal deficit minus interest payments
- c. Fiscal deficit plus interest payments
- d. Revenue receipts minus revenue expenditure

▼ Show answer

Answer: (b) Primary Deficit = Fiscal Deficit – interest payments; it shows fresh borrowing needed apart from servicing past debt (option (a) is the Effective Revenue Deficit).

Q34. Tax buoyancy differs from tax elasticity in that tax buoyancy?

- a. Excludes the effect of all changes in tax rates
- b. Measures only the growth of direct taxes
- c. Is always equal to tax elasticity in the long run
- d. Measures the actual response of tax revenue to GDP growth INCLUDING the effect of discretionary changes in rates and coverage

▼ Show answer

Answer (d) Buoyancy = total observed revenue response (with discretionary rate/base changes); elasticity strips out discretionary changes to show the built-in response alone.

Q35. The Goods and Services Tax (GST) came into force in India through which Constitutional Amendment and from which date?

- a. 100th Amendment; 1 April 2016
- b. 122nd Amendment; 8 November 2016
- c. 101st Constitutional Amendment; 1 July 2017
- d. 102nd Amendment; 1 January 2018

▼ Show answer

Answer (c) The 101st Constitutional Amendment Act enabled GST, which was rolled out nationwide from 1 July 2017 (122nd was the Bill's number, a classic trap).

Q36. Which statement correctly distinguishes a cess from a surcharge?

- a. Both stay outside the divisible pool shared with states, but a cess is levied for a SPECIFIC earmarked purpose while a surcharge is a tax on tax with no earmarked purpose
- b. A cess is shared with states while a surcharge is not
- c. A surcharge is earmarked for a specific purpose while a cess is not
- d. Both are fully shared with states under Finance Commission awards

▼ Show answer

Answer (a) Neither cess nor surcharge enters the divisible pool; the difference is earmarking cess (e.g., for education/health) is purpose-tied, surcharge is not.

Q37. The Finance Commission of India is constituted under which Article of the Constitution, and how often?

- a. Article 360; every 10 years
- b. Article 280; by the President every fifth year (or earlier)
- c. Article 266; every 5 years by Parliament
- d. Article 112; annually

▼ Show answer

Answer (b) Art 280 requires the President to constitute a Finance Commission every fifth year to recommend Centre-State tax devolution and grants.

Q38. Poverty measured against a fixed minimum consumption threshold is _____, while poverty judged in comparison with the living standards of others in society is _____?

- a. Relative poverty; absolute poverty
- b. Primary poverty; secondary poverty
- c. Absolute poverty; relative poverty
- d. Chronic poverty; transient poverty

▼ **Show answer**

Answer: (c) Absolute poverty uses a fixed poverty-line basket; relative poverty is deprivation relative to the society's average, so it can persist even in rich countries.

Q39. The Multidimensional Poverty Index (MPI) measures deprivation across which three dimensions?

- a. Income, wealth and consumption
- b. Food, clothing and shelter
- c. Employment, wages and savings
- d. Health, education and standard of living

▼ **Show answer**

Answer: (d) The MPI (UNDP & OPHI) aggregates indicators under health, education and living standards going beyond income-only poverty lines.

Q40. If several workers are withdrawn from a family farm and total farm output does NOT fall, those workers were?

- a. Disguisedly unemployed, since their marginal product was approximately zero
- b. Frictionally unemployed
- c. Cyclically unemployed
- d. Fully and productively employed

▼ Show answer

Answer: (a) Disguised unemployment (typical of Indian agriculture) means more workers are engaged than needed, so the marginal product of the extra workers is near zero.

Q41. An engineer loses her job permanently because automation has made her specific skills obsolete. This is an example of?

- a. Frictional unemployment
- b. Structural unemployment
- c. Seasonal unemployment
- d. Voluntary unemployment

▼ Show answer

Answer: (b) Structural unemployment arises from a mismatch between skills and available jobs (technology/industry change); frictional is only the short spell between jobs.

Q42. Which statement about the Lorenz Curve and the Gini Coefficient is CORRECT?

- a. The Gini coefficient is plotted on a graph while the Lorenz curve is a single number
- b. A Gini value of 1 indicates perfect equality
- c. The Gini coefficient is derived from the Lorenz curve, with 0 indicating perfect equality and 1 indicating perfect inequality
- d. The Lorenz curve measures inflation while Gini measures growth

▼ Show answer

Answer: (c) The Lorenz CURVE plots cumulative income share against cumulative population; the Gini NUMBER is the ratio of the gap area to the whole triangle 0 = equality, 1 = total inequality.

Q43. Which statement correctly distinguishes economic growth from economic development?

- a. Growth and development are identical concepts
- b. Development is purely a rise in GDP while growth includes welfare
- c. Growth is measured only in poor countries, development only in rich ones
- d. Growth is the quantitative rise in output, while development includes growth PLUS qualitative improvements in health, education and distribution

▼ Show answer

Answer: (d) Growth = more output (quantitative); development = growth plus structural and welfare change (qualitative) growth is possible without development.

Q44. The Human Development Index (HDI), published by the UNDP, combines which dimensions?

- a. A long and healthy life (life expectancy), knowledge (years of schooling) and a decent standard of living (per capita income)
- b. Poverty, unemployment and inflation
- c. Exports, imports and forex reserves
- d. Health, caste and land ownership

▼ **Show answer**

Answer: (a) HDI = health (life expectancy) + education (mean and expected years of schooling) + standard of living (income per capita), combined as an index.

Q45. Which statement correctly distinguishes Balance of Trade (BoT) from Balance of Payments (BoP)?

- a. BoT includes services and remittances while BoP covers only goods
- b. BoT covers only visible merchandise (goods) trade, while BoP records ALL economic transactions with the rest of the world including services, transfers and capital flows
- c. BoT and BoP are two names for the same account
- d. BoP covers only capital flows while BoT covers the current account

▼ **Show answer**

Answer: (b) BoT = goods exports minus goods imports only; BoP is the comprehensive record (current account + capital/financial account) and always balances in the accounting sense.

Q46. Which statement correctly distinguishes currency depreciation from devaluation?

- a. Depreciation is a deliberate government act; devaluation is caused by market forces
- b. Both occur only under fixed exchange rate systems
- c. Devaluation is an official, deliberate lowering of the currency's value under a fixed/pegged exchange rate, while depreciation is a market-driven fall under a floating regime
- d. Depreciation raises export prices while devaluation lowers import prices

▼ **Show answer**

Answer: (c) Devaluation = official act (fixed regime); depreciation = market outcome (floating regime); both make exports cheaper, but the cause differs.

Q47. Which statement correctly distinguishes FDI from FPI?

- a. FPI gives management control while FDI does not
- b. FDI flows only into government bonds
- c. FPI is more stable and long-term than FDI
- d. FDI involves a lasting interest and a degree of management control in an enterprise, while FPI is investment in shares/bonds without control and is more volatile

▼ **Show answer**

Answer: (d) FDI brings ownership stake, technology and control (durable); FPI is portfolio "hot money" in financial assets that can exit quickly.

Q48. When market interest rates (yields) rise, the prices of existing bonds?

- a. Fall, because bond prices and yields move in opposite directions
- b. Rise, because bonds become more attractive
- c. Remain unchanged, as coupons are fixed
- d. First rise and then permanently stay higher

▼ Show answer

Answer (a) An old bond's fixed coupon looks less attractive when new yields are higher, so its market price must fall – the inverse price–yield rule.

Q49. Which statement correctly distinguishes an equity share from a debenture?

- a. Debenture holders are owners of the company while equity holders are creditors
- b. Equity holders are part-owners entitled to variable dividends, while debenture holders are creditors entitled to fixed interest
- c. Both instruments carry guaranteed fixed returns
- d. Equity is a debt instrument while a debenture confers voting rights

▼ Show answer

Answer (b) Equity = ownership, residual and variable returns, voting rights; debenture = loan capital, fixed interest, repayment priority over shareholders.

Q50. Which of the following statements about NITI Aayog is CORRECT?

- a. It is a constitutional body created under Article 280
- b. It allocates five-year plan funds to the states
- c. It was established on 1 January 2015 as a policy think tank replacing the Planning Commission, without powers to allocate funds
- d. It frames India's monetary policy jointly with the RBI

▼ Show answer

Answer: (c) NITI Aayog (2015) replaced the Planning Commission as an advisory think tank promoting cooperative federalism; fund devolution rests with the Finance Commission and ministries.

Exercise F. 20 Match-the-Following

M1. Match List-I (RBI instruments) with List-II (meanings):

List-I	List-II
A. Repo Rate	1. Rate at which RBI absorbs surplus liquidity from banks
B. Reverse Repo Rate	2. Share of NDTL held by the bank itself in cash, gold and approved securities
C. Cash Reserve Ratio (CRR)	3. Rate at which RBI lends short-term funds to banks against securities
D. Statutory Liquidity Ratio (SLR)	4. Share of NDTL kept as a cash balance with the RBI

▼ Show answer

Answer: A-3, B-1, C-4, D-2

M2. Match List-I (deficits) with List-II (formulas):

List-I	List-II
A. Fiscal Deficit	1. Fiscal deficit $\hat{=}$ interest payments
B. Revenue Deficit	2. Total expenditure $\hat{=}$ total receipts excluding borrowings
C. Primary Deficit	3. Revenue deficit $\hat{=}$ grants for creation of capital assets
D. Effective Revenue Deficit	4. Revenue expenditure $\hat{=}$ revenue receipts

▼ Show answer

Answer: A-2, B-4, C-1, D-3

M3. Match List-I (curves) with List-II (what they show):

List-I	List-II
A. Phillips Curve	1. Cumulative income share plotted against cumulative population share (inequality)
B. Laffer Curve	2. Inequality first rising and then falling as an economy develops (inverted U)
C. Lorenz Curve	3. Relationship between tax rates and total tax revenue (inverted U)
D. Kuznets Curve	4. Short-run inverse relationship between inflation and unemployment

▼ Show answer

Answer: A-4, B-3, C-1, D-2

M4. Match List-I (milestones) with List-II (years):

List-I	List-II
A. MGNREGA enacted	1. 2003
B. FRBM Act	2. 2005
C. GST rollout	3. 1991
D. LPG Reforms	4. 2017

▼ Show answer

Answer: A-2, B-1, C-4, D-3

M5. Match List-I (institutions) with List-II (years):

List-I	List-II
A. World Trade Organization (WTO)	1. 1935
B. NITI Aayog	2. 1992
C. SEBI given statutory powers	3. 1995
D. Reserve Bank of India established	4. 2015

▼ Show answer

Answer: A-3, B-4, C-2, D-1

M6. Match List-I (indices) with List-II (compilers/publishers):

List-I	List-II
A. Wholesale Price Index (WPI)	1. National Statistical Office (MoSPI)
B. Index of Industrial Production (IIP)	2. United Nations Development Programme (UNDP)
C. Human Development Index (HDI)	3. Bombay Stock Exchange (BSE)
D. SENSEX	4. Office of the Economic Adviser, DPIIT

▼ Show answer

Answer: A-4, B-1, C-2, D-3

M7. Match List-I (types of unemployment) with List-II (descriptions):

List-I	List-II
A. Disguised Unemployment	1. Joblessness during the off-season, as in agriculture and tourism
B. Frictional Unemployment	2. More workers engaged than needed, with marginal product near zero
C. Structural Unemployment	3. Temporary spell while workers move between jobs or search for work
D. Seasonal Unemployment	4. Mismatch between workers' skills and the jobs available

▼ Show answer

Answer: A-2, B-3, C-4, D-1

M8. Match List-I (types of goods) with List-II (demand behaviour):

List-I	List-II
A. Giffen Good	1. Prestige good demanded MORE at higher prices for status display
B. Veblen Good	2. Demand rises as consumer income rises
C. Inferior Good	3. Highly inferior staple whose demand rises when its price rises (income effect dominates)
D. Normal Good	4. Demand falls as consumer income rises

▼ Show answer

Answer: A-3, B-1, C-4, D-2

M9. Match List-I (market structures) with List-II (features):

List-I	List-II
A. Perfect Competition	1. Many sellers offering differentiated products with some price-setting power
B. Monopoly	2. A few large, mutually interdependent firms dominate the market
C. Oligopoly	3. A single seller with no close substitutes for its product
D. Monopolistic Competition	4. Many sellers of a homogeneous product; every firm is a price taker

▼ Show answer

Answer: A-4, B-3, C-2, D-1

M10. Match List-I (inflation situations) with List-II (descriptions):

List-I	List-II
A. Demand-Pull Inflation	1. Extremely rapid price rise in which the currency loses value dramatically
B. Cost-Push Inflation	2. "Too much money chasing too few goods" → excess aggregate demand
C. Stagflation	3. High inflation coexisting with stagnant output and high unemployment
D. Hyperinflation	4. Prices pushed up by rising wages and raw material costs

▼ Show answer

→ A-2, B-4, C-3, D-1

M11. Match List-I (money concepts) with List-II (meanings):

List-I	List-II
A. High-Powered Money (M0)	1. M1 plus net time deposits with the banking system
B. Narrow Money (M1)	2. Ratio of broad money to the monetary base
C. Broad Money (M3)	3. Currency in circulation plus bankers' and other deposits with the RBI
D. Money Multiplier	4. Currency with the public plus demand deposits plus other deposits with the RBI

▼ Show answer

→ A-3, B-4, C-1, D-2

M12. Match List-I (budget concepts) with List-II (descriptions):

List-I	List-II
A. Consolidated Fund of India	1. Fund under Article 267 for unforeseen expenditure, at the disposal of the President
B. Contingency Fund of India	2. Fund under Article 266(1) holding all revenues and loans; withdrawal needs Parliament's sanction
C. Public Account of India	3. Parliament's advance grant to meet expenditure until the full budget is passed
D. Vote on Account	4. Account under Article 266(2) holding money in trust, such as provident funds and small savings

▼ Show answer

Answer: A-2, B-1, C-4, D-3

M13. Match List-I (exchange-rate terms) with List-II (meanings):

List-I	List-II
A. Currency Depreciation	1. Market-driven RISE in a currency's value under a floating regime
B. Devaluation	2. Official, deliberate LOWERING of the currency's value under a fixed regime
C. Currency Appreciation	3. Official, deliberate RAISING of the currency's value under a fixed regime
D. Revaluation	4. Market-driven FALL in a currency's value under a floating regime

▼ Show answer

Answer: A-4, B-2, C-1, D-3

M14. Match List-I (external accounts) with List-II (contents):

List-I	List-II
A. Balance of Trade	1. Trade in goods and services, income flows and transfers such as remittances
B. Current Account	2. FDI, FPI, external borrowings, loans and banking capital flows
C. Capital Account	3. Exports minus imports of visible merchandise (goods) only
D. Balance of Payments	4. Systematic record of ALL economic transactions with the rest of the world

▼ Show answer

Answer: A-3, B-1, C-2, D-4

M15. Match List-I (instruments) with List-II (features):

List-I	List-II
A. Treasury Bill	1. Negotiable short-term instrument issued by banks against deposits
B. Commercial Paper	2. Short-term (up to 364 days) zero-coupon government paper issued at a discount
C. Certificate of Deposit	3. Long-term dated government bond that pays periodic coupon interest
D. Government Security (dated G-Sec)	4. Unsecured short-term promissory note issued by corporates

▼ Show answer

Answer: A-2, B-4, C-1, D-3

M16. Match List-I (agricultural interventions) with List-II (purposes):

List-I	List-II
A. Minimum Support Price (MSP)	1. Pan-India electronic trading platform for agricultural commodities
B. Crop Insurance (PMFBY)	2. Credit facility giving farmers timely short-term loans for cultivation
C. e-NAM	3. Compensates farmers for crop loss due to natural calamities, pests and diseases
D. Kisan Credit Card	4. Floor price announced on CACP advice to protect farmers from price crashes

▼ Show answer

Answer: A-4, B-3, C-1, D-2

M17. Match List-I (taxes) with List-II (definitions):

List-I	List-II
A. Progressive Tax	1. Tax whose burden falls proportionally more heavily on the poor
B. Regressive Tax	2. Tax imposed to correct a negative externality such as pollution
C. Pigouvian Tax	3. Tax whose rate rises as the taxpayer's income rises
D. Tobin Tax	4. Proposed tax on foreign-exchange (currency) transactions to curb speculation

▼ Show answer

Answer: A-3, B-1, C-2, D-4

M18. Match List-I (poverty concepts) with List-II (meanings):

List-I	List-II
A. Head Count Ratio	1. Unconditional periodic cash transfer paid to all citizens
B. Poverty Trap	2. Proportion of the population living below the poverty line
C. Universal Basic Income (UBI)	3. Self-reinforcing mechanism that keeps the poor in poverty across generations
D. Feminisation of Poverty	4. Rising share of women among the world's poor

▼ Show answer

Answer: A-2, B-3, C-1, D-4

M19. Match List-I (advanced monetary tools) with List-II (meanings):

List-I	List-II
A. Quantitative Easing (QE)	1. Direct, non-repayable transfer of money to the public or government
B. Helicopter Money	2. Offsetting the liquidity impact of forex intervention through open market operations
C. Operation Twist	3. Simultaneous purchase of long-term and sale of short-term securities to flatten the yield curve
D. Sterilisation	4. Large-scale central bank purchases of assets to inject liquidity when rates are already low

▼ Show answer

Answer: A-4, B-1, C-3, D-2

M20. Match List-I (concepts) with List-II (economists associated):

List-I	List-II
A. Invisible Hand	1. David Ricardo
B. Say's Law ("supply creates its own demand")	2. John Maynard Keynes
C. Paradox of Thrift	3. Adam Smith
D. Comparative Advantage	4. Jean-Baptiste Say

▼ Show answer

Answer: A-3, B-4, C-2, D-1

Assertion-Reason Questions G. 20

Assertion-Reason Questions

AR1.

Assertion (A): The fiscal deficit indicates the total borrowing requirement of the government for the year.

Reason (R): Fiscal deficit is defined as total expenditure minus total receipts excluding borrowings.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) Because borrowings are excluded from receipts, the gap must be financed entirely by borrowing, so the definition itself explains the assertion.

AR2.

Assertion (A):Disinflation means a negative inflation rate, with the general price level falling.

Reason (R):Deflation is a sustained fall in the general price level.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

✖ (d) A is false: disinflation is a FALLING inflation rate that is still above zero; R correctly defines deflation.

AR3.

Assertion (A):Devaluation of a currency is possible only under a fixed or pegged exchange rate system.

Reason (R):Under a floating exchange rate system, a fall in a currency's value caused by market forces is called depreciation.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

✖ (b) Both statements are true, but R describes the floating-rate case and does not explain WHY devaluation requires an officially fixed parity to be lowered.

AR4.

Assertion (A):An increase in the repo rate tends to make bank credit costlier for borrowers.

Reason (R):The repo rate is the rate at which the RBI lends short-term funds to commercial banks against securities, so a higher repo rate raises banks' cost of funds.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) Banks borrow from the RBI at the repo rate; when that cost rises, banks pass it on through higher lending rates. R directly explains A.

AR5.

Assertion (A):The Cash Reserve Ratio earns banks an attractive rate of interest.

Reason (R):CRR is the share of a bank's net demand and time liabilities that must be kept as a cash balance with the RBI.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (d) A is false: the RBI pays NO interest on CRR balances; R correctly defines CRR.

AR6.

Assertion (A): When market interest rates rise, the prices of existing bonds fall.

Reason (R): The fixed coupon of an existing bond becomes less attractive relative to new higher-yielding bonds, so its price must drop to equalise returns.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) This is exactly the mechanism behind the inverse bond price-yield relationship; R explains A.

AR7.

Assertion (A): A country's GNP can be smaller than its GDP.

Reason (R): Net factor income from abroad is negative when factor incomes paid to non-residents exceed factor incomes received by residents from abroad.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) $GNP = GDP + NFIA$; when NFIA is negative (as it often is for India), GNP falls below GDP. R explains A.

AR8.

Assertion (A):Giffen goods are an exception to the law of demand.

Reason (R):For a Giffen good, a highly inferior staple, the negative income effect of a price rise outweighs the substitution effect, so quantity demanded rises with price.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) The dominance of the income effect over the substitution effect is precisely why the demand curve slopes upward for Giffen goods.

AR9.

Assertion (A):The demand for a Veblen good rises when its price rises.

Reason (R):Veblen goods are highly inferior goods consumed mainly by the poor.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (c) A is true (snob/prestige effect), but R is false. Veblen goods are LUXURY status goods; it is Giffen goods that are inferior staples.

AR10.

Assertion (A): GST is a destination-based consumption tax.

Reason (R): GST was enabled by the 101st Constitutional Amendment and implemented from 1 July 2017.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

❌ (b) Both facts are true, but the amendment number and rollout date do not explain WHY GST accrues to the destination (consuming) state.

AR11.

Assertion (A): A Lorenz curve lying farther from the line of equality indicates greater income inequality.

Reason (R): The Gini coefficient is the ratio of the area between the line of equality and the Lorenz curve to the total area under the line of equality.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

❌ (b) Both are true; but A follows from what the Lorenz curve itself plots (cumulative shares), not from how the Gini coefficient is computed from it.

AR12.

Assertion (A): Foreign Portfolio Investment is often described as "hot money".

Reason (R): FPI is held in easily tradable shares and bonds and can be pulled out of the country at short notice.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) The quick-exit liquidity of portfolio flows is exactly what earns FPI the "hot money" label.

AR13.

Assertion (A): FDI is generally more volatile than FPI.

Reason (R): FDI involves a lasting interest in an enterprise along with a degree of management control.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (d) A is false: FDI is the STABLE, long-term flow, and R's true description of lasting interest is the very reason why.

AR14.

Assertion (A): A rise in the Cash Reserve Ratio increases the money supply in the economy.

Reason (R): The money multiplier varies inversely with the reserve ratios banks must maintain.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (d) A is false: a higher CRR curbs banks' capacity for credit creation, shrinking money supply; R's inverse multiplier relationship is true.

AR15.

Assertion (A): Tax buoyancy captures the effect of discretionary changes in tax rates and coverage on revenue growth.

Reason (R): Tax elasticity measures the response of tax revenue to GDP growth after excluding the effect of discretionary changes.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (b) Both definitions are true, but the definition of elasticity does not explain what buoyancy includes; they are complementary, contrasting measures.

AR16.

Assertion (A): A Vote on Account enables the government to meet its expenditure for a few months before the full budget is passed.

Reason (R): No money can be withdrawn from the Consolidated Fund of India without authorization by Parliament.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (a) Precisely because every withdrawal from the Consolidated Fund needs Parliament's sanction, an advance grant (Vote on Account) is required to keep spending lawful until the budget is enacted.

AR17.

Assertion (A): The reverse repo rate is normally kept higher than the repo rate.

Reason (R): Under reverse repo operations, the RBI absorbs surplus liquidity and pays interest to banks.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (d) A is false: the reverse repo rate sits BELOW the repo rate (the policy corridor's floor); R correctly describes reverse repo operations.

AR18.

Assertion (A): MGNREGA gives rural households a legally enforceable right to demand wage employment.

Reason (R): MGNREGA was enacted by Parliament in the year 2005.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (b) Both are true, but the year of enactment does not explain the rights-based character of the guarantee (which flows from the statute's provisions).

AR19.

Assertion (A): The Balance of Payments always balances in the accounting sense.

Reason (R): The Balance of Trade includes trade in services and remittances along with goods.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (c) A is true (double-entry accounting makes BoP sum to zero with errors and omissions); R is false BoT covers visible GOODS trade only.

AR20.

Assertion (A): Depreciation of the rupee tends to make Indian exports more price-competitive abroad.

Reason (R): Depreciation is a deliberate act carried out by an official government order.

- (a) Both A and R are true and R is the correct explanation of A
- (b) Both A and R are true but R is NOT the correct explanation of A
- (c) A is true but R is false
- (d) A is false but R is true

▼ Show answer

Answer: (c) A is true (a cheaper rupee lowers the foreign-currency price of exports); R is false depreciation is market-driven; the official act is devaluation.

Dr. H. Last-Day Revision Table (Top 50)

#	Term	One-line meaning	Memory image	Key trap
2	Opportunity Cost	Value of the next best alternative foregone	The crying ticket you gave up	Only the NEXT BEST alternative, not all of them
12	Law of Demand	Price up, quantity demanded down, other things equal	Seesaw: price up, quantity down	Giffen and Veblen goods are exceptions
25	Giffen Good	Inferior staple bought MORE when its price rises	Villain bread: price up, poor buy more	Not Veblen that is a status good of the rich
32	Monopoly	Single seller who sets the price	One-seller king makes the price	Monopsony = single BUYER
43	Public Good	Non-rival and non-excludable good (defence, street light)	Street light shining for all	Merit goods (education) are excludable

56	Stagflation	Stagnant output and unemployment WITH high inflation	Stuck car with a swelling balloon	It defies the Phillips curve trade-off
62	GDP	Value of final output produced within domestic territory	Everything inside the fence	Location-based, not nationality (that is GNP)
63	GNP	GDP plus net factor income from abroad	The passport collects worldwide	Nationality-based, not territory
65	NNP	GNP minus depreciation	Passport sack minus rust scoop	NNP at FACTOR COST = National Income
72	Real GDP	GDP measured at constant base-year prices	Weighed with the jacket off	Nominal GDP uses current prices
81	Inflation	Sustained rise in the general price level	Balloon up, wallet down	Falling inflation is not falling prices
82	Deflation	Actual fall in the general price level	The punctured balloon	Not the same as disinflation
83	Disinflation	Inflation slowing down but still positive	The tired balloon-blower	Prices still rise, only slower
91	WPI	Index of wholesale prices of goods only	Godown scale that rejects the barber	No services; NOT RBI's target
92	CPI	Index of retail prices of the consumer basket	The crowned family basket	RBI targets CPI, not WPI
105	Broad Money (M3)	M1 plus time deposits with banks	Broad sumo with FD belly	Time deposits sit in M3, not M1
116	NPA	Loan overdue beyond 90 days, no longer "performing"	Loan in a hospital bed	The rule is 90 days, not 180
122	Repo Rate	Rate at which RBI lends short-term to banks	RBI pours money into bank's bucket	Reverse repo is the opposite flow

123	Reverse Repo Rate	Rate at which RBI borrows from banks	Money flowing back into RBI	Raising it ABSORBS liquidity
124	CRR	Share of deposits banks keep as cash with RBI	Cash locked in RBI's safe	Kept with RBI, earns NO interest
125	SLR	Share of deposits held as liquid assets by the bank itself	Treasure shelf in bank's own vault	With the bank itself, not RBI
129	MPC	Six-member body that sets the repo rate to hit the CPI target	Six judges and one golden gavel	Governor has the casting vote; target is CPI 4% $\pm 2\%$
137	Lender of Last Resort	RBI's emergency lending to banks in crisis	RBI lifeguard's final rescue	A function of RBI, not the government
146	Consolidated Fund of India	Main government fund; withdrawal needs Parliament's nod	Vault whose key is with Parliament	Contingency Fund (Art 267) allows spending before approval
151	Fiscal Deficit	Total expenditure minus receipts excluding borrowings	Leaking govt wallet filled by borrowing	Borrowings are NOT counted as receipts
152	Revenue Deficit	Revenue expenditure exceeding revenue receipts	Grocery bill bigger than salary	Only the revenue account, not the whole budget
153	Primary Deficit	Fiscal deficit minus interest payments	Fiscal deficit minus interest backpack	Subtract interest PAYMENTS, nothing else
159	FRBM Act	2003 law imposing fiscal discipline targets	2003 borrowing diet belt	Year is 2003; target fiscal deficit 3% of GDP
161	Direct Tax	Tax whose burden cannot be shifted to others	Arrow glued to your chest	Income tax is direct; GST is indirect

165	GST	Single nationwide indirect tax on goods and services	Many taxes blended into one bottle	101st Amendment, not 100th; from 1 July 2017
176	Finance Commission	Constitutional body dividing taxes between Centre and states	The five-yearly cake-cutter	Article 280; NITI Aayog cannot devolve taxes
181	Poverty Line	Consumption cut-off below which a person is officially poor	The red cut-off line	Based on consumption, not income
191	Disguised Unemployment	Extra workers whose removal leaves output unchanged	Five workers on a two-man field	They LOOK employed; marginal product is zero
204	Demographic Dividend	Growth boost when working-age share of population rises	Youth army lifts the coin	A bonus only if the youth are skilled and employed
208	Lorenz Curve	Graph of cumulative income share against population share	Sagging hammock vs straight rope	Deeper sag = MORE inequality
209	Gini Coefficient	Inequality number derived from the Lorenz curve	Judge's score for the hammock	0 = perfect equality, 1 = extreme inequality
211	HDI	Composite index of health, education and income	Three-legged stool	Published by UNDP, not the World Bank
221	MSP	Guaranteed floor price for notified crops	The floor farmers cannot fall through	CACP recommends; the Government (CCEA) announces
222	Green Revolution	HYV-seed-led surge in foodgrain output	Miracle seed skyscraper	Wheat benefited first; Swaminathan led it in India
224	PDS	Subsidised foodgrain delivery through ration shops	Ration shop with TN's door open to all	Tamil Nadu runs a UNIVERSAL PDS

239	MGNREGA	Legal right to 100 days of rural wage employment	Spade plus legal scroll	2005 Act; 100 days per HOUSEHOLD, not per person
242	Balance of Payments	Record of all transactions with the rest of the world	The border's full ledger	Always balances overall in accounting terms
245	Current Account Deficit	Current account payments exceeding receipts	Leaking earnings bucket	Not the same as the trade deficit
250	WTO	Global trade rules body set up in 1995	Geneva's trade referee	Successor of GATT, not of the IMF
258	Devaluation	Official cut in a currency's value under fixed rates	Government's deliberate sword cut	Market-driven fall is depreciation; years 1949, 1966, 1991
261	FDI	Foreign investment with lasting interest and control	Factory from a suitcase with roots	Stock-exchange buying is FPI, not FDI
262	FPI	Foreign purchase of tradable shares and bonds	Sprinter with shares, hot money	Exits fast "hot money", unlike FDI
275	Treasury Bill	Short-term zero-coupon paper of the Central Government	Discount ticket redeemed at full value	No interest coupon; issued by the Centre only
289	SEBI	Regulator of India's securities market	Stock market traffic police	Formed 1988, statutory only in 1992
296	NITI Aayog	Government think tank that replaced the Planning Commission	Brain with empty pockets	Since 2015; advises but allocates NO funds

Economics Visual Memory Book – TNPSC Group 1 / 2 / 2A revision companion

Remember the image – remember the term – win the mark. Figures marked [CURRENT DATA – VERIFY SEPARATELY] must be checked against the latest Economic Survey / RBI releases.